



**GREEN
CLIMATE
FUND**

Meeting of the Board
23 – 26 October 2023
Tbilisi, Georgia
Provisional agenda item 12

GCF/B.37/02/Add.11

2 October 2023

Consideration of funding proposals – Addendum XI

Funding proposal package for FP220

Summary

This addendum contains the following six parts:

- a) A funding proposal summary titled "Africa Rural Climate Adaptation Finance Mechanism (ARCAFIM) for East Africa region" submitted by International Fund for Agricultural Development;
- b) No-objection letter(s) issued by the national designated authority(ies) or focal point(s);
- c) Environmental and Social report(s) disclosure;
- d) Independent Technical Advisory Panel's assessment;
- e) Response from the accredited entity to the independent Technical Advisory Panel's assessment; and
- f) Gender documentation of the funding proposal.

These documents are presented as submitted by the accredited entity and the national designated authority(ies) or focal point(s), respectively. Pursuant to the Comprehensive Information Disclosure Policy of the Fund, the funding proposal titled "Africa Rural Climate Adaptation Finance Mechanism (ARCAFIM) for East Africa region" submitted by International Fund for Agricultural Development is being circulated on a limited distribution basis only to Board Members and Alternate Board Members to ensure confidentiality of certain proprietary, legally privileged, or commercially sensitive information of the entity.

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Funding Proposal

Project/Programme title:	Africa Rural Climate Adaptation Finance Mechanism (ARCAFIM) for East Africa region
Country(ies):	Kenya, Uganda, Tanzania, Rwanda
Accredited Entity:	IFAD
Date of first submission:	[2023/05/25]
Date of current submission	[2023/09/29]
Version number	[V.1]



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Note to Accredited Entities on the use of the funding proposal template

- Accredited Entities should provide summary information in the proposal with cross-reference to annexes such as feasibility studies, gender action plan, term sheet, etc.
- Accredited Entities should ensure that annexes provided are consistent with the details provided in the funding proposal. Updates to the funding proposal and/or annexes must be reflected in all relevant documents.
- The total number of pages for the funding proposal (excluding annexes) **should not exceed 60**. Proposals exceeding the prescribed length will not be assessed within the usual service standard time.
- The recommended font is Arial, size 11.
- Under the [GCF Information Disclosure Policy](#), project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Accredited Entities are asked to fill out information on disclosure in section G.4.

Please submit the completed proposal to:

fundingproposal@gcfund.org

Please use the following name convention for the file name:

"FP-[Accredited Entity Short Name]-[Country/Region]-[YYYY/MM/DD]"

A. PROGRAMME SUMMARY			
A.1. Project or programme	Programme	A.2. Public or private sector	Private
A.3. Request for Proposals (RFP)	Not applicable		
A.4. Result area(s)	Check the applicable GCF result area(s) that the <u>overall</u> proposed project/programme targets below. For each checked result area(s), indicate the estimated percentage of GCF and Co-financers' contribution devoted to it. The total of the percentages when summed should be 100% for GCF and Co-financers' contribution respectively.		
		GCF contribution	Co-financers' contribution ¹
	Mitigation total		
	☐ Energy generation and access		
	☐ Low-emission transport		
	☐ Buildings, cities, industries and appliances		
	☐ Forestry and land use		
	Adaptation total		
	☒ Most vulnerable people and communities	50 %	50 %
	☒ Health and well-being, and food and water security	50 %	50 %
☐ Infrastructure and built environment			
☐ Ecosystems and ecosystem services			
A.5. Expected mitigation outcome (Core indicator 1: GHG emissions reduced, avoided or removed / sequestered)	N/A	A.6. Expected adaptation outcome	1.427 million people (direct and indirect beneficiaries) 1.16 million people (direct) 0.267 million people (indirect) 0.7 % of total population 0.16 % of total population
A.7. Total financing (GCF + co-finance ²)	200 000 000 USD	A.9. Project size	Medium (Upto USD 250 million)
A.8. Total GCF funding requested	55 000 000 USD		
A.10. Financial instrument(s) requested for the GCF funding	☒ Grant 10 000 000 ☐ Equity <u>Enter number</u> ☒ Loan 45 000 000 ☐ Results-based payment <u>Enter number</u> ☐ Guarantee <u>Enter number</u>		
A.11. Implementation period	12 years	A.12. Total lifespan	12 years
A.13. Expected date of AE internal approval	This is the date that the Accredited Entity obtained/will obtain its own approval to implement the project/programme, if available. 12/15/2023	A.14. ESS category	Refer to the AE's safeguard policy and GCF ESS Standards to assess your FP category. I-2

A.15. Has this FP been submitted as a CN before?	Yes ☒ No ☐	A.16. Has Readiness or PPF support been used to prepare this FP?	Yes ☐ No ☒
A.17. Is this FP included in the entity work programme?	Yes ☒ No ☐	A.18. Is this FP included in the country programme?	Yes ☐ No ☐
A.19. Complementarity and coherence	Yes ☒ No ☐		
A.20. Executing Entity information	In this Funding Proposal (FP), “Executing Entity (EE)” refers to the entity that will sign a Subsidiary Agreement with IFAD to execute, carry out or implement the Funded Activity. IFAD has assessed the capacity of the EE in accordance with IFAD policies and procedures. IFAD (AE) acts as a co-EE and will implement solely the activities related to the CCA Rural Finance Policy Dialogues, Knowledge Management and Programme Coordination, which are detailed in Component 2 under Output 2.3. Executing Entity 1: Equity Bank (Kenya) Limited - Subsidiary of Equity Group Holdings Plc, publicly listed regional financial services company, headquartered in Nairobi, Kenya Executing Entity 2: IFAD - IFAD (AE) acts as a co-EE solely for Output 2.3.		

¹ Co-financer’s contribution means the financial resources required, whether Public Finance or Private Finance, in addition to the GCF contribution (i.e. GCF financial resources requested by the Accredited Entity) to implement the project or programme described in the funding proposal.

² Refer to the Policy of Co-financing of the GCF.

A.21. Executive summary

A progressive but rapid shift in agricultural practices in Africa will be critical as harsh climatic conditions will increase in most countries of the region and new climatic threats for crop production and livestock keeping are projected to emerge. By 2030 - 2040, new and innovative agricultural systems need to be implemented in many regions where the climate will soon be no longer suitable for current practices. The lack of adequate and appropriate private sector financing for Climate Change Adaptation (CCA) investments jeopardizes the materialization of this transformation process in Sub-Saharan Africa. Currently, there is a gap of well-functioning and replicable, significant scale private sector CCA finance programmes across the African regions, although some new interventions are emerging. The CCA finance efforts led by public sector, on the other hand, are often grant-based and have limited capacity to leverage sustainable long term market driven financing.

With the Africa Rural Climate Adaptation Finance Mechanism (ARCAFIM), IFAD's aim is to introduce a practical, widely implementable model for achieving a paradigm shift towards systematic large-scale use of private financial resources for rural CCA investments, the impact of which would go well beyond the direct impacts and time frame of the Programme. The key implementing/executing partners of IFAD are the regional ARCAFIM "Host Banks", which are leading commercial banks in the regions and which co-finance the programme investments. IFAD, as a GCF Accredited Entity, will on-lend the funds provided for ARCAFIM by GCF and other international financiers and be the lender of record of the ARCAFIM funds to the Host Banks. IFAD will disburse the funds for ARCAFIM on-lending to the regional Host Banks. The IFAD ARCAFIM loans will be matched 1:1 by the Host Banks, thus doubling the ARCAFIM financing resources. Supported by appropriate tracking and monitoring arrangement, IFAD will monitor and oversee that Host Banks will use the loan proceeds exclusively for on-lending under the ARCAFIM programme to the targeted beneficiaries based on agreements and definitions of the Loan Agreements between IFAD and the Host Banks.

Operating with a projected total budget of US\$ 600 million, the ARCAFIM overall development goal is "Wider use of commercial resources for Climate Change Adaptation in the region, enhancing the well-being of rural communities through climate resilient livelihoods". To achieve this, the two programme Outcomes are: (i) ARCAFIM PFIs expand and mainstream CCA finance in the region resulting in increased CC resilience and improved food security levels of rural communities; and (ii) Improved capacity of PFIs and agriculture value chain participants to adapt to risks imposed by climatic changes. These Outcomes are achieved by a set of activities that include deployment of tailored financial products and offer of dedicated technical assistance to all stakeholders in the targeted African countries. .

With this application to GCF, IFAD seeks from the Green Climate Fund the approval for GCF financing share of US\$ 55 million (US\$ 45 million loan, US\$ 10 million TA grant) for the ARCAFIM Phase 1 operations in the East Africa Region. The planned, phased expansion of ARCAFIM and the progress in programme preparations in the four regions is described in the table below. IFAD also seeks a confirmation on the GCF's interest in co-financing this systematic large-scale promotion of private sector CCA finance with the next phases of ARCAFIM in the four African regions (East, South, North and West/Central).

Target Region	Partner Selection	Country Studies	Climate Justification	Financing Structure	Results Frame	Target Budget	Target Schedule
Phase 1: Eastern Africa (Concept Note approved)	Done	Done	Done	Done	Done	USD 200 mil	Approval in 2023
Phase 2: Southern Africa (Concept Note approved)	Done	Done	Done	In progress	In progress	USD 100 mil	Approval in 2024
Phase 3: Northern Africa	In progress	To be done	To be done	To be done	To be done	USD 150 mil (tbc)	Approval in 2025
Phase 4: West-Central Africa	To be done	To be done	To be done	To be done	To be done	USD 150 mil (tbc)	Approval in 2026

Under the ARCAFIM framework, the same model, programme structure and key activities will be used in each region to achieve the programme targets, with adjustments to the local climatical, economic and financial sector environments. This model is scalable and replicable with a vision to become a leading co-investment platform for CCA finance targeting small producers and rural poor. The key objective is to achieve a demonstration effect and paradigm shift by designing approaches and methodologies for private sector CCA lending targeting small producers and rural poor, and proof of concept for implementation at scale.

For Phase 1 to be implemented in the East Africa Region with the total budget of US\$ 200 million (GCF share US\$ 55 million), the target ARCAFIM Phase 1 countries are Kenya, Tanzania, Uganda and Rwanda, selected for the reasons that (i) they are either Low Income Countries or Lower Middle Income Countries; (ii) all are under severe climate change stress, higher compared to average in developing countries as stated by the IPCC 2022 report on Climate Change Impacts, Adaptation and Vulnerability; and finally (iii) in the target countries, there is a substantial market of small-scale agriculture production with high potential for rural CCA financing. The Host Bank for the ARCAFIM Phase 1 operations will be Equity Bank (Kenya) Limited (EBK), subsidiary of Equity Group Holdings PLC (EGH). EBK is the Borrower as well as the Executing Entity for ARCAFIM for East Africa. EBK will on-lend the loan received from IFAD to Equity Bank Uganda Limited (EBUL), Equity Bank Rwanda PLC (EBR), and Equity Bank (Tanzania) Limited (EBTL) through sub-loan agreements to be executed between EBK and each of the three country subsidiaries of EGH. EGH is the largest banking group in the region with a high level of ESG integration in its operations, a strategic focus to increase its rural and agricultural portfolio, track-record of micro lending in the agriculture sector, a strong balance sheet to match the international capital investments, and ability to hedge funding in US\$ and disburse loans to low-income borrowers in local currencies.

To achieve the ARCAFIM objectives, the programme activities in East African and later in other regions are structured into two mutually reinforcing components: (a) Component 1: Effective Financing for Rural Adaptation Targeting Small Producers and Rural MSMEs; and (b) Component 2: Innovations and Capacity for Rural Adaptation (collectively, the Funded Activities).

In East Africa, Component 1 will provide catalytic international financial resources of US\$ 90 million (50% - US\$ 45 million - from the GCF, 50% - US\$ 45 million - from the IFAD-organized co-financiers) to the Host Bank for on-lending for CCA purposes in the programme target countries. The total ARCAFIM on-lending resources in this region will be US\$ 180 million, which includes a matching amount of US\$ 90 million financed by the Host Bank. The delivery of the CCA loans to the final target groups will take place either directly through the Host Bank branch/agency networks or through different types of rural on-lending financial intermediaries. To support Component 1 implementation, ARCAFIM will provide a Taxonomy of investment categories which are justified and eligible for CCA finance end-use in this private sector operation. The developed CCA Taxonomy will be critical for the later mainstreaming and replication of the ARCAFIM CCA finance model. To further encourage the active use of ARCAFIM lending capital, the proposed financial structure of the programme includes credit risk sharing between IFAD, financially supported by international partners, including GCF and the Host Bank.

Component 2, with grant-based funding of US\$ 20 million in East Africa, will promote critical innovations and address non-financial barriers currently preventing greater CCA financing in the ARCAFIM target regions. *Firstly*, it will strengthen the awareness and capacity of Participating Financial Institutions (PFIs) to offer CCA financial services to the small producer and MSME markets in the climate-vulnerable rural areas. *Secondly*, it will develop the CCA investment capacities and financial literacy skills of small-scale producers and rural MSMEs. *Thirdly*, ARCAFIM will improve climate finance enabling environment through CCA finance policy dialogues. Gender and social inclusion (GESI) dimensions will be mainstreamed throughout this process. To promote wider application of the ARCAFIM model outside the direct ARCAFIM stakeholders, IFAD, the other co-financiers, and the Host Bank will proactively share knowledge and information of the ARCAFIM performance and achieved results through various regional and international networks. Successful implementation of the programme is expected to encourage African financial institutions and international financiers to re-visit their policies on climate finance and seek new rural business opportunities based on climate smart agricultural practices and modern CC adaptation technologies, designed and delivered with a GESI lens.

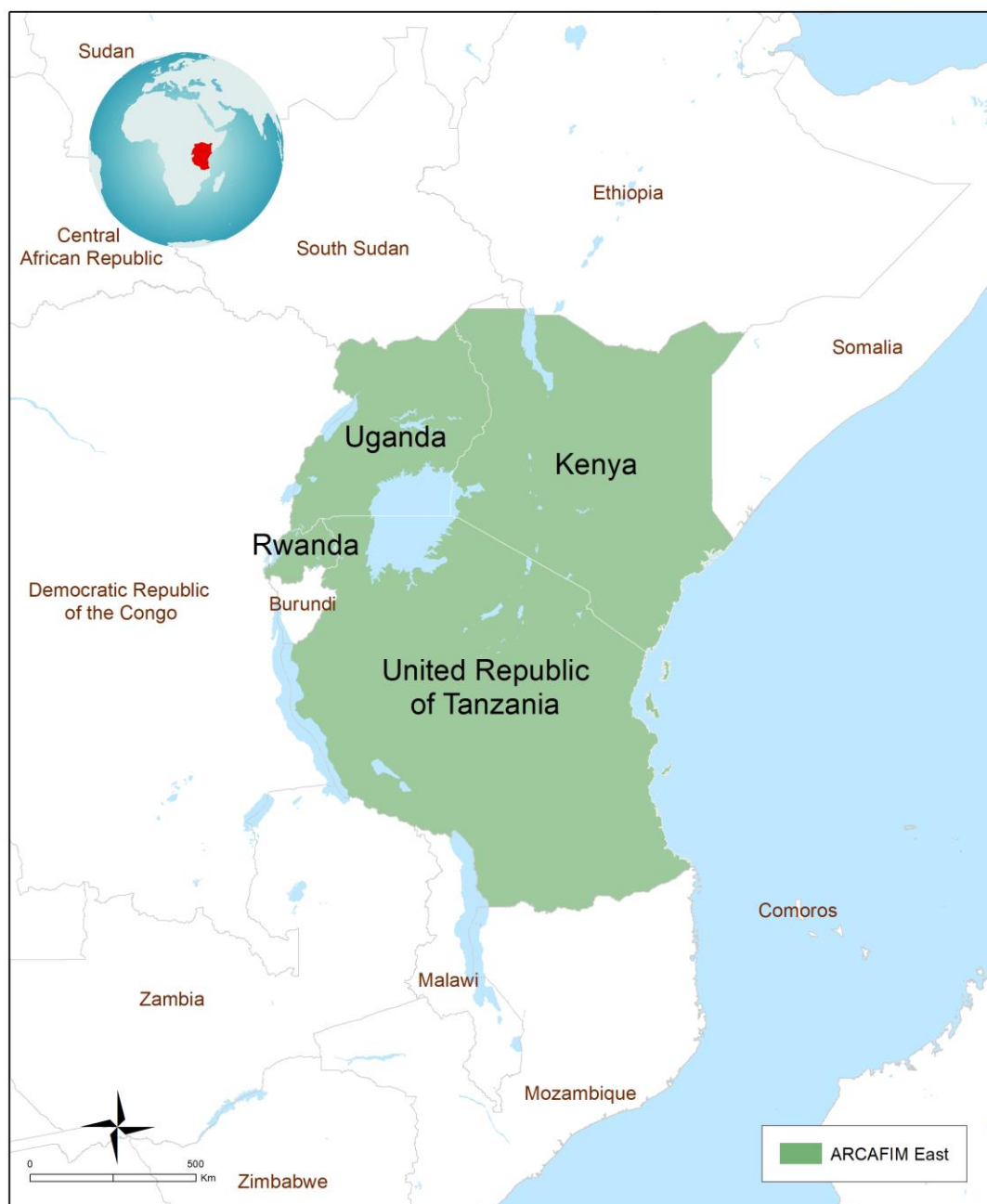
The overall Programme description presented below provides a framework for the ARCAFIM Mechanism implementation in all the four AFRICAN regions. The presentation also includes the climate context, detailed budgets, implementation targets and expected programme results for the Phase 1 operations in East Africa, for which GCF co-financing is sought under this application.

B. PROJECT/PROGRAMME INFORMATION

B.1. Climate context

1. ARCAFIM mechanism will target climate vulnerable economies in African continent in sequenced phases. ARCAFIM Phase 1 will be rolled out in four countries in East Africa, for which GCF financing is sought under this Funding Proposal. The targeted countries are Kenya, Uganda, Tanzania and Rwanda, (Figure 1). They are all low-income or lower middle-income and have significant agriculture sectors of small producers that face severe climate risk as described below.

Figure 1. ARCAFIM target countries in Eastern Africa



Climate Baseline

2. In East Africa, the climate zones covering the programme's target countries (Kenya, Rwanda, Tanzania and Uganda) are diverse, ranging from arid to temperate to tropical. Temperatures are high and characterized by little seasonal variation across much of the region. Temperatures are lower in the highland regions of Kenya and Tanzania. The highest temperatures are experienced in the drier interior regions towards the north and east, where average summer temperatures exceed 30°C³, cooling to around 26°C in coastal areas. There are three main rainfall regimes — in equatorial regions (much of the area described), there are two rainy seasons with peaks in October and April; in the north, the primary rainy season is June to August; and in the south the primary rainy season is December to February. These seasons are linked to the annual north–south movement of the precipitation-inducing Inter Tropical Convergence Zone (ITCZ), which shifts toward warmer air bringing rainy seasons in the respective warm months of areas north and south of the equator. Additionally, precipitation is periodically influenced (every two to seven years) by the El Niño Southern Oscillation (ENSO), leading to alternate periods of above- and below-average rainfall. Annual rainfall averages from nearly 0 mm in parts of northwest Kenya to over 2,000 mm in highland areas of the region. There is substantial interannual and interdecadal rainfall variability, and both droughts and floods are common⁴.

Table 1. Baseline climatic conditions in ARCAFIM's target countries

Country	Climate overview	Average temperature	Average rainfall
Kenya ⁵	- Variation in climate due to proximity to the ocean, with the eastern coastal regions having a humid, tropical climate, and the northern region being arid. - Central highlands have a cooler, moderate climate.	Average annual temperatures range from 18°C in the central highlands to 26°C along the coast.	- Average annual rainfall is 668 mm, with most of precipitation occurring from March to June and October to December. - Western and highland regions receive 2,000 and 1,000 mm of precipitation per year respectively, compared to northern regions which receive less than 250 mm annually.
Rwanda ^{6,7}	Tropical climate with four distinct climatic zones: eastern plains, central plateau, highlands, and regions around Lake Kivu.	Rwanda's annual average temperature is 19.4°C.	- Most parts of the country receive precipitation throughout the year, however, there are two main rainfall seasons: Feb to May and Sep to Dec. - Average annual precipitation amounts to 1,178 mm. - The eastern plains, central plateau, highlands and Lake Kivu areas receive average annual precipitation of 700 to 1,100 mm, 1,100 to 1,300 mm, 1,300 to 1,600 mm and 1,200 to 1,500 mm, respectively.
Tanzania ⁸	- Climate is varied due to the country's proximity to the ocean, the presence of large inland lakes as well as diverse altitude ranges. - Tanzania has four basic climatic zones: lowland coastal, highlands, plateau and semi-arid zone.	- Temperatures vary depending on altitude and proximity to the coast. - Coastal regions have average monthly temperatures of 27°C – 29°C, whereas averages in central and northern semi-arid regions are 20°C to 30°C.	- Rainfall is primarily bimodal; however, the central, south and western regions experience unimodal rainfall. These regions have prolonged rainfall from November to April, whereas the Lake Victoria basin, North-eastern highlands, and northern coastal regions of the country experience rainfall from March to May, as well as October to December. - Tanzania receives less than 1,000 mm rainfall on average per year. - The highland, southern and western regions of the country receive on average a maximum of 2,000 mm rainfall per year, compared to the central regions receiving an average of 600 mm rainfall annually.

³ Daron, JD. 2014. "Regional Climate Messages: East Africa". Scientific report from the CARIAd Adaptation at Scale in Semi-Arid Regions (ASSAR) project, December 2014. Online available:

http://www.assar.uct.ac.za/sites/default/files/image_tool/images/138/RDS_reports/climate_messages/East%20Africa%20Climate%20Messages%20-%20Version%201%20-%20Regional%20Level.pdf

⁴ USAID. 2020. Climate risk profile: East Africa. Online available:

https://www.climateknowledgeportal.org/sites/default/files/asset/document/2020_USAID_ATLAS_CRP-East-Africa-Regional.pdf

⁵ Online Available: https://climateknowledgeportal.worldbank.org/sites/default/files/2021-01/15724-WB_Kenya%20Country%20Profile-WEB.pdf

⁶ Online Available: <https://climateknowledgeportal.worldbank.org/country/rwanda/climate-data-historical>

⁷ Online available: <https://webapps.ifad.org/members/eb/118/docs/EB-2016-118-R-19-Project-design-report.pdf>

⁸ Online Available: <https://unfccc.int/sites/default/files/resource/tzanc2.pdf>

Uganda ⁹	Uganda's climate is mostly tropical and includes two rainy seasons in a calendar year, extending from March to May and September to December, respectively.	The average annual temperature for Uganda is 22.8°C.	- Southern regions have two rainy seasons, receiving an average minimum of 600 mm and an average maximum of 2,200 mm per year. - Northern regions are characterized by one rainy season (March–October) averaging 400 mm–1,600 mm/year.
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B.1.b. Climate change problem

Observed Climate Change

3. There has been a clear trend of increasing average temperatures across East Africa since the 1960s, while precipitation trends have been weak and variable. Observed trends for the regions with a focus on the project's target countries is presented in Table 2.

Table 2 Summary of observed climate change trends for East Africa^{10, 11, 12}

Climate variable	Observed trends
Temperature	- Increased average temperatures of 1°C to 1.5°C since the 1960s, with the greatest warming in the region's north and centre and least warming along coastal Kenya. - In Rwanda's south-west and eastern regions, temperatures increased by between 1.4°C and 2.6°C from 1971 to 2016. - Between 1960 and 2006, average temperatures in Tanzania have increased by 1°C. - Average annual temperatures in Uganda have increased by as much as 1.3°C since the 1950s.
Rainfall	- Precipitation trends are weak and variable across the region; however, evidence suggests a decrease in precipitation in the March–May period since the late 1970s in some areas (i.e., Central Kenya, and Uganda). - Across the region, increased frequency, duration and intensity of heavy rainfall events.
Drought and dry spells	Increased frequency and severity of droughts since the 1990s (most notably in Kenya, Tanzania and Uganda).
Glaciers	Glacial surface area loss of 80% across Mt. Kenya (0.5 km² to 0.1 km²), Mt. Kilimanjaro (6 km² to ~1 km²) and the Ruwenzori Mountains (~10.6 km² to ~1.7 km²) from 1900 to 2010.
Sea-level rise	- From 1984 to 2016, observed average rise in sea level of 1.58 mm per year for Tanzania (Zanzibar). - From 1986 to 2016, observed average rise in sea level of 3.46 mm per year for Kenya (Mombasa).

Projected Climate Change

4. In East Africa, climate models indicate continued increases in average temperatures (and heat waves), as well as the frequency and intensity of heavy rainfall events. The future of overall precipitation changes is less certain, with most models showing increased precipitation for much of the region (with the exception of southern Tanzania) but with shifts in seasonality. Despite potential precipitation increases shown in some models, droughts are expected to intensify in the 21st century due to longer dry spells combined with increased evaporation and a greater proportion of precipitation coming in heavy rainfall events.

5. Table 3 below outlines projected climate trends throughout the target countries.

Table 3. Summary of projected climate trends for East Africa¹³

Climate variable	Projected trends
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⁹ Climate Risk Profile: Uganda (2021): The World Bank Group. Online Available:

https://climateknowledgeportal.worldbank.org/sites/default/files/2021-05/15464-WB_Uganda%20Country%20Profile-WEB%20%281%29.pdf

¹⁰ Given the page and word limits of the Funding Proposal template, Table 2 is kept short. However, details on the observed trends have been provided per country and more details are available in the Annex 23.

¹¹ USAID. 2020. Climate risk profile: East Africa. Online available:

https://www.climateknowledgeportal.org/sites/default/files/asset/document/2020_USAID_ATLAS_CRP-East-Africa-Regional.pdf

¹² OCHA (2022). Climate Change Profile: Mozambique. Available from <https://reliefweb.int/report/mozambique/climate-change-profile-mozambique>

¹³ USAID. 2020. Climate risk profile: East Africa. Online available:

https://www.climateknowledgeportal.org/sites/default/files/asset/document/2020_USAID_ATLAS_CRP-East-Africa-Regional.pdf

Temperature	- Under the SSP 2 4.5 mid-emission scenario, Average temperatures in the near term (2021–2040) are expected to increase by between 0.7°C and 1.3°C in Kenya and Rwanda, and by between 0.7°C and 1.2°C in Tanzania and Uganda (IPCC AR6). - Number of days per annum with maximum temperatures above 35°C will increase by between 8 and 24 in Kenya, and 2.7 and 10.6 in Rwanda, Tanzania and Uganda by 2040 (SSP 2 4.5 scenario; IPCC AR6). - There is high confidence that extreme heat will intensify, and surface temperatures will increase across East Africa by 2050¹⁴.
Rainfall	- Uncertain trend for average annual precipitation; most models point to an increase across the region by 2050, particularly during the northeast monsoon period (except for southern Tanzania) and with the greatest potential increases for Kenya. Under a mid-emissions scenario (SSP2 4.5), near term (2021–2040) total precipitation is expected to increase by between 1.4% and 9.9% in Kenya and Rwanda and between 0.7% and 10.4%, in Tanzania and Uganda relative to a baseline period of 1981 to 2010, as modelled for the IPCC's AR6. - Shifts in rainfall seasonality for much of the region, including increased precipitation during October–December (the short rainy season north of the equator) and decreased March–May precipitation (the long rainy season north of the equator). - An increase in interseasonal and interannual rainfall variability.
Heavy rainfall	- Increased frequency and intensity of heavy precipitation events. Models project that maximum one-day precipitation in Kenya under the SSP2 4.5 mid-emissions scenario, in the near term (2021–2040), will increase by 4.2%–16.5%, while in Rwanda, Tanzania and Uganda it will increase by 2.6%–16.4%. - There is high confidence that extreme precipitation events will intensify across East Africa by 2050¹⁵.
Drought and dry spells	- Intensified drought occurrences. - Drought area in East Africa is likely to increase at the end of the 21st century by 16%, 36%, and 54% under RCP 2.6, 4.5, and 8.5, respectively, with the areas affected by extreme drought increasing more rapidly than severe and moderate droughts. - Spatially, drought event, duration, frequency and intensity would increase in Tanzania, but generally decrease in Kenya, Uganda, and Rwanda¹⁶. - There is high confidence that glaciers will disappear from East Africa by 2050.
Glaciers	There is high confidence that glaciers will disappear from East Africa by 2050.
Sea-level rise	There is high confidence that sea levels along the East African coastline will rise by 2050¹⁷, with estimations varying between 16 cm to 46 cm (Kenya and Tanzania)

*The confidence relating to the Climatic Impact Drivers (CID) future changes summarized in this table, refers to the regional synthesis compiled by IPCC WGI. CIDs and confidence trends refer to a 20-to-30-year period centred around 2050 and/or consistent with 2°C global warming, compared to a similar period within 1960-2014 or 1850-1900¹⁸.

Climate change vulnerabilities and impacts

- Climate variability and change pose major obstacles to resilience in East Africa, where increasing temperatures and shifting rainfall patterns are already affecting economic growth, small producer livelihoods, food security, health, and ecosystems. The region is characterized by rapid urbanization at 4.0%–6.2% annually for much of the region, higher than sub-Saharan Africa as a whole, which is one of the world's most rapidly urbanizing areas. More than 70% of the population, however, still live in rural areas where population growth continues and people rely heavily on climate-sensitive rainfed agriculture and pastoralism, especially small producers. Overall, agriculture exceeds 24% of GDP in all the region's countries. Projections indicate that reduced crop productivity in much of the region is expected to increase poverty and food insecurity among populations, particularly among the already low-income small producers. The combination of urbanization and declining agricultural productivity and pastoralism will adversely affect livelihoods, health, infrastructure, and food security. In the Lake Victoria Basin, home to approximately 45 million people across areas of Kenya, Rwanda, Tanzania, and Uganda, drought in recent years has already pushed more than 10% of the population toward chronic food insecurity. At the same time climate-sensitive diseases like malaria are poised to expand into the warming East African highlands and Lake Victoria region¹⁹.
- Crop Production:** Warming temperatures and changing precipitation patterns are expected to decrease subsistence and cash crop production, which remain a critical source of small producer livelihoods and economic activity across the region. Small producer farms account for up to 90% of crop production across the region and the main source of employment for the region's 297 million rural residents. The dominant crops are a cereal–legume mix that includes maize, millet, sorghum, wheat, and beans; major cash crops include coffee and tea. The already low yields

¹⁴ Online Available: <https://interactive-atlas.ipcc.ch>

¹⁵ Source: <https://interactive-atlas.ipcc.ch>

¹⁶ Gebremedhin, GH. et al. 2020. Projected impacts of climate change on drought patterns over East Africa. Earth's Future, Volume 8, Issue 7, July 2020. <https://doi.org/10.1029/2020EF001502>

¹⁷ Online Available: <https://interactive-atlas.ipcc.ch>

¹⁸ Online Available: <https://interactive-atlas.ipcc.ch>

¹⁹ Ibid

resulting from low-input rainfed production with limited processing, storage, and transportation infrastructure make the vast majority of crop production highly vulnerable to changes in temperature and rainfall. Heat and unreliable rainfall are expected to reduce maize, bean, banana, and plantain yields at lower elevations by the 2030s to 2050s. However, in higher elevations, temperature increases are projected to expand the areas for crop production potential. This expanded production potential could increase to cultivation pressure on mountain slopes and in protected areas, with implications for ecosystem services and biodiversity.

8. Maize, which accounts for nearly half of calories consumed in the region, is expected to experience yield reductions of 8%–37% across East Africa by the 2090s. An average of between 600 mm and 1,200 mm of rainfall annually is generally sufficient for maize or cassava cultivation. Yet, with the projected increased irregularities in rain patterns, these crops are expected to be highly vulnerable to climate change²⁰. Lowland bean production, vital for nutritional security, is expected to become unviable due to rising temperatures sometime after mid-century, particularly affecting Tanzania and Uganda. In drier areas of East Africa, even drought-resilient millet, sorghum, and cassava yields may become increasingly marginal. Wetter rainy seasons could prevent staple crops (e.g., maize, sweet potatoes) from maturing, although increased rainfall would be favourable for other crops (e.g., perennials and a range of fruits and vegetables). A warmer, wetter climate may also raise crop and postharvest losses due to heightened risk of mildew, leaf spot, and bacterial stem and root rot and increased fungus growth in stored seeds. Increasing heat and pest stress (e.g., coffee berry borer) are expected to diminish the area suitable for coffee and tea production by 20%–40% across countries including Kenya, Rwanda and Uganda by 2100. However, the areas suitable for coffee production are expected to expand into higher elevations as well, which may have substantial negative environmental implications (e.g., deforestation, reduced water availability, nutrient loading in streams). For East Africa's water-intensive cut flower industry, heat and water stress, heavy rainfall resulting in soil degradation, and growing tensions over access to limited water resources threaten production. Along the coast, sea level rise is expected to increase water logging, salinization, and inundation of agricultural lands with particular risk for mango, cashew, and coconut harvests²¹.
9. *Livestock*: Rising temperatures, shifting rainfall patterns, droughts, and increased erratic heavy rainfall events are the most significant stressors facing the region's main livestock species: cattle, sheep, goats, camels, and poultry. East Africa's livestock are integral for the region's culture, as well as food security and livelihoods, particularly in arid and semi-arid lands, and contribute significantly to GDP. Increasingly unreliable rainfall patterns and frequently occurring droughts have had a considerable impact on grazing availability, fodder quality and livestock production in these regions. As climate variability and change, including heat and water stress, make crop production more tenuous, livestock production is expected to replace areas of mixed crop–livestock systems in some coastal and mid-elevation areas by the 2050s. While typically more resilient to climate variability and shocks than crops, livestock are susceptible to heat stress, and their viability is affected by the productivity and availability of pasture, feed production, water availability, and pest and disease dynamics. Recurrent climate-related shocks are already leading to critical livestock losses. Rising temperatures and flooding could also increase the incidence of diseases, such as anthrax and Rift Valley Fever, and expand the range of ticks carrying diseases such as East Coast Fever. Increased seasonal and drought-related water stress, alongside warming trends, have already impacted pastures, fodder crops, and water availability in some areas, including the Lake Victoria Basin. For pastoralist communities, climate-related changes in pasture and water availability could alter pastoral mobility, exacerbating the already on-going tensions over land and water resources in the region²².
10. *Fisheries*: Climate change will affect fisheries in the ARCAFIM target areas in diverse ways. The key variables affecting marine and inland fisheries in East Africa include changes in water temperature, precipitation, salinity, river flow, nutrient levels, lake levels, storm frequency and intensity, and flooding. Aquaculture, increasingly important to food security in the region, is highly sensitive to climate change variables because cultured fish are less able to adapt to changes by migrating or by changing their ranges to occupy more favourable conditions²³. The continuing reliance on marine resources has placed strain on the fisheries productivity along the western Indian Ocean, with

²⁰ Parkinson, V.(2013). Climate Learning for African Agriculture: Working Paper No.6 Climate Learning for African Agriculture: The Case of Mozambique. Available from https://www.nri.org/images/documents/development-programmes/climate_change/publications/WorkingPaper6Mozambique.pdf

²⁰ Parkinson, V.(2013). Climate Learning for African Agriculture: Working Paper No.6 Climate Learning for African Agriculture: The Case of Mozambique. Available from https://www.nri.org/images/documents/development-programmes/climate_change/publications/WorkingPaper6Mozambique.pdf

²¹ USAID. 2020. Climate risk profile: East Africa. Online available:

https://www.climatelinks.org/sites/default/files/asset/document/2020_USAID_ATLAS_CRP-East-Africa-Regional.pdf

²² USAID. 2020. Climate risk profile: East Africa. Online available:

https://www.climatelinks.org/sites/default/files/asset/document/2020_USAID_ATLAS_CRP-East-Africa-Regional.pdf

²³ Available at: https://www.climatelinks.org/sites/default/files/asset/document/2017_USAID-PREPARED-TetraTech_Vulnerability-Impacts-Adaptation-Assessment-East-Africa-Food-Security-Agriculture.pdf

30% of oceans in this region being fished at biologically unsustainable levels. In the last decades, increasing ocean temperatures, rising sea levels and intensified tropical storms have been of notable concerns for artisanal fishing activities on the coastline. Overall, adverse climate change impacts threaten the sustained growth of the fisheries sector in the targeted East African countries that simultaneously face major challenges in feeding their fast-growing populations with the products from the crop cultivation and livestock sub-sectors.

11. Rural lives: Climate change is not only one of the greatest environmental and development challenges facing the world today, but also one that will have critical impacts on human rights and inequalities, including gender inequality. Women and girls are impacted disproportionately from the effects of climate change due to factors such as entrenched discriminatory social and cultural norms, a lack of entitlements to land and other credit assets and unequal access to land, water and productive assets, compounded by limited mobility and decision-making power in many contexts. Their mortality from climate-related disasters is higher than that of men and climate-induced floods and droughts exacerbate women's poverty and unpaid domestic and care work burdens. Yet in many African countries, women are recognized as agents of change who make valuable contributions to climate change mitigation and adaptation efforts.

Micro, Small and Medium Sized Enterprises in Food Systems

12. The majority of businesses involved in food systems in East Africa are Micro, Small and Medium Size Enterprises (MSMEs) and perform various functions in the food value chains. According to a recent study by AGRA²⁴, trading, logistics and processing constitute about 40% of the total gross value of the agri-food system in the region, equal to the share coming from farms, while retailers constitute the remaining 20%. Increased weather unpredictability and frequency of extreme events will continue to have an acute impact on these critical MSME operations in the food system, especially when they are involved with small primary producers across the crop production, livestock and fisheries sectors. For the MSMEs in particular, the impacts include disruptions in raw material supply chain planning, increased prices of primary producer outputs, and destabilized markets for agriculture services including mechanization, logistics, storage and trade.²⁵ As temperatures rise and extreme weather events come more frequent due to climate change, the already-insufficient transportation infrastructure will become more vulnerable and further complicate the operations of rural MSMEs. The ability of MSMEs in food value chains to adapt and respond to climate change will be critically important considering their importance to the Eastern African economies in their roles of providers of services and employment in rural communities²⁶.

Demand and Supply of Rural and Agriculture Finance for Climate Adaptation

13. In order to estimate the CCA finance demand in the targeted countries, a demand side analysis has been conducted through both top-down macroeconomic modelling and a comprehensive and extensive stakeholder consultation in each country. The below summary of the top-down macroeconomic modelling shows that the potential for CCA investments in agriculture is at a significantly higher level compared to resources made available by ARCAFIM:.

Parameter (US\$)	Kenya	Uganda	Tanzania	Rwanda
Estimated demand for CCA irrigation, rainwater harvesting, sustainable land practices and CCA agronomy solutions	6 010 mil	16 120 mil	30 170 mil	2 730 mil
Regional Total	55.03 Billion US\$			

A supply-side analysis was also conducted, as part of the same study, to identify the gap between supply and demand in the targeted countries. Overall, the landscape for agricultural finance in East Africa is nascent. Although an increasing number financial institutions (FIs) (including commercial banks, microfinance institutions and SACCOs) are offering agricultural lending products, the conditions for accessing these loans including high-interest rates, collateral requirements, and short repayment periods often excluded smallholder farmers, and indicated a reluctance by FIs to lend to this segment of the market. High interest rates and short repayment periods were both also commonly cited as barriers by smallholder farmer associations in the four East African countries. Data collected through interviews with financial institutions indicated that there are currently very limited financial products targeted to climate change adaptation. The interest rates and loan tenors given by FIs and those perceived by farmers' association are different, with farmers often perceiving them to be higher and shorter than FI's information. Interest rates noted by respondents in the region vary widely, but in most cases, stated annual interest rates are between

²⁴ <https://www.ifpri.org/blog/how-small-businesses-are-driving-growth-across-african-agriculture>

²⁵ Source: https://csis-website-prod.s3.amazonaws.com/s3fs-public/publication/210830_Runde_SMEs_Climate_Change.pdf?XkQTGGFUIFQC7zQjIsCIApyo0Kjo89Ce

²⁶ Source: https://csis-website-prod.s3.amazonaws.com/s3fs-public/publication/210830_Runde_SMEs_Climate_Change.pdf?XkQTGGFUIFQC7zQjIsCIApyo0Kjo89Ce

20% - 35%. FIs offering interest rates at the lower end of the scale benefit from access concessional lending (from governments and development FIs).

B.1.c. Proposed solution: Africa Rural Climate Adaptation Finance Mechanism (ARCAFIM)

14. A progressive but rapid shift in agricultural practices in East Africa will be critical as harsh climatic conditions will increase in most countries of the region and new climatic threats for crop production, livestock keeping, and fisheries are projected to emerge, as described in the above sections B.1.a and B.1.b. By 2030 - 2040, new and innovative agricultural systems need to be implemented in many regions where the climate will soon be no longer suitable for current practices. The lack of adequate and appropriate private sector financing for CCA investments is a serious threat for the materialization of this transformation process.
15. Building on lessons learned and best practices from ongoing climate change adaptation programming²⁷, mainly through the public sector, IFAD proposes a new private sector led Africa Rural Climate Adaptation Finance Mechanism (ARCAFIM), with the aim is to introduce a practical, widely implementable model for achieving a paradigm shift towards systematic large-scale use of private financial resources for rural CCA investments. Through the projected paradigm shift, the impact of ARCAFIM would go well beyond the direct impacts and time frame of the Programme. In the next Section, the identified underlying overall key barriers for increasing the volumes of CCA financing and investments in the target area are described, leading to the presentation of the ARCAFIM Theory of Change (TOC) and the Programme's overreaching impact logic. This is followed by the detailed descriptions of the ARCAFIM targets, its key components and activities, implementation approach and resource use, as well as longer term strategies in reaching the wider paradigm change objectives.
16. **The overall Programme description presented below provides a framework for the ARCAFIM Mechanism implementation across the AFRICAN regions. The presentation also includes detailed budgets, implementation targets and expected programme results for the Phase 1 operations in East Africa, for which GCF co-financing sought under this application.**

B.2 (a). Theory of change narrative and diagram

17. Only very limited financing is currently allocated to small producers' CC adaptation investments²⁸, despite urgent need for increased investment volumes in low-income and lower middle-income countries in the Eastern Africa, facing high climate stress. Particularly, financing by private sector financial institutions (FIs) rarely includes loans for rural adaptation projects of small producers. This leads to a low overall level of CC adaptation investments especially in the food systems and rural value chains. In addition, the international community pledged to support indigenous peoples' efforts as stewards of mother earth and lessening interlinked factors of vulnerability. Underlying key barriers for increasing the volumes of CCA financing and investments are identified and presented in Table 4 below, together with solutions that ARCAFIM programme can provide.

Table 4: Key Barriers for Inclusive CCA Financing for Small-Scale Rural Producers and MSMEs²⁹

Category	Barriers	ARCAFIM Solutions
General Barriers for Inclusive Rural Finance	- Real and perceived high risks of financing investments by small-scale producers and rural MSMEs - Weak financial infrastructure to help inform risk assessments - Small ticket sizes and high transaction costs in rural operations - Lack of credit/banking histories among small-scale producers and MSMEs	- Risk sharing embedded into the financing solution. Demonstration effect. (Activity 1.1.2) - Risk assessment capacities of FIs strengthened (Activity 2.1.2) - Digital solutions to reduce transaction costs for small ticket size loans (Activity 2.1.3) - Business management training support to small producers and MSMEs to generate financial reports (Activities 2.2.2)

²⁷ The most relevant GCF and IFAD baseline projects with direct complementarities with ARCAFIM are presented in Section D5 below when discussing the country ownership and the practical ways the proposed ARCAFIM programme can co-operate with the on-going GCF and IFAD interventions in the target countries.

²⁸ [Only 1.7% of the global CC financing targets small-scale agriculture producers. See: IFAD/CPI, 2020: Examining the Climate Finance Gap for Small-Scale Agriculture, https://www.ifad.org/documents/38714170/42157470/climate-finance-gap_smallscale_agr.pdf/34b2e25b-7572-b31d-6d0c-d5ea5ea8f96f](https://www.ifad.org/documents/38714170/42157470/climate-finance-gap_smallscale_agr.pdf/34b2e25b-7572-b31d-6d0c-d5ea5ea8f96f)

²⁹ The mentioned sub-activity numbering refers to activities described below at section E.6

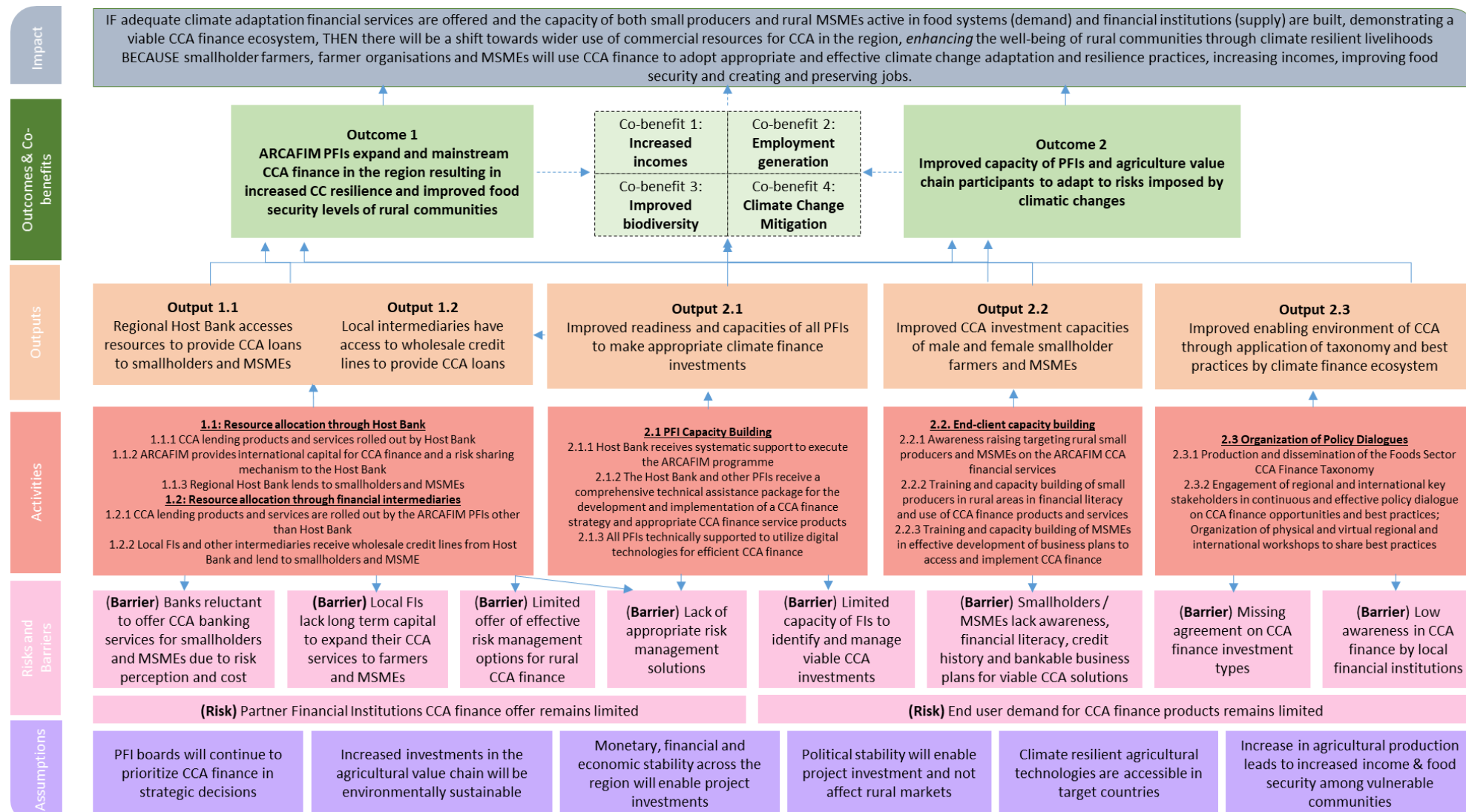
	• Legal and governance barriers including regulations on collaterals and risk ratings for banks • Lack of financial literacy skills among small producers • Cultural barriers against entrepreneurship • Unwillingness to covert traditional livelihood assets into tradable goods • Lack of collateral in the form of titles to land • Women's ability to invest in CCA technologies and practices compromised by many factors • Hesitancy to regard women smallholders and small entrepreneurs as 'safe' borrowers	• Development of a dedicated taxonomy instrument for CCA finance governance, and policy dialogue to identify and resolve legal barriers during implementation (Activity 2.3.1) • Financial literacy trainings to all ARCAFIM clients (Activity 2.2.2) • Implementation of ARCAFIM's gender and social inclusion action plan to address barriers including social and cultural norms, which perpetuate GESI inequalities
Additional demand-side barriers of CCA financing	• Limited awareness and lack of understanding of CCA investment opportunities, technologies, and benefits among small-scale producers and MSMEs • Prevailing small producer preference for near-term benefits instead of medium to long-term savings and revenue streams by CCA investment options • Lack of borrower capacity to develop sound CCA investment proposals for financial institutions to assess the financial benefits compared to costs, and to meet the customary collateral requirements • Low risk appetite by small-scale producers for borrowing money for less known CCA investment approaches	• Capacity building and awareness raising of pipeline of client groups (Activity 2.2.1) • Identification and promotion of CCA investment solutions that provide both near-term and long-term benefits and sustainability (Activity 2.1.2) • Technical assistance to project borrowers on CCA investment proposal preparation including cost-benefit assessments, joint group investments and contract farming (Activities 2.2.2 and 2.2.3) • Promotion of profitable CCA models through technical assistance, awareness raising materials and demonstration effect (Activity 2.2.1)
Additional supply-side barriers of CCA financing	• Lack of access to long-term capital by local financial institutions to support CCA investment activities • Low awareness in CCA finance by local financial institutions • Lack of staff capacity to assess, price and monitor CCA loans • Lack among banks and non-bank FIs of suitable lending products that would match the requirements of private CCA investments of small producers • Lack of appropriate risk management solutions, including credit ratings and risk transfer and pooling instruments required in CCA lending • High up-front costs and risks for developing new business lines in green and particularly in CC adaptation finance	• Project offers long term CCA finance capital (Activities 1.1.2 and 1.2.2) • Capacity building of participating financial institutions in CCA finance (Activity 2.1.2) • Training of financial institution staff on CCA loan assessments, pricing and monitoring (Activities 2.1.1 and 2.1.2) • Development of dedicated climate finance lending products that meet the requirements of international funders as well as clients (Activity 2.1.2) • Risk sharing solution in the CCA loan portfolio which includes risk cover (Activity 1.1.2) • Capacity building support to participating financial institutions in development of new CC adaptation finance business lines (Activity 2.1.2)

18. ARCAFIM will offer such solutions by supporting the project Host Bank and Partner Financial Institutions (PFIs) with financial and technical capacities to deploy tailored CCA financial products; offering targeted TA to Host Banks, PFIs (supply) and smallholder farmers and MSMEs (demand) to scale up both the availability and uptake of CCA finance; and facilitating improvements in the enabling environment for CCA finance in the programme countries. These activities are expected to increase the availability of appropriate and gender- responsive CCA finance in the region, improve the capacity of PFIs to deliver and report on CCA finance, and improve the capacity of male and female smallholder farmers and MSMEs to access and manage CCA finance. As a result, smallholder farmers and MSMEs will use CCA finance to implement effective climate change adaptation and resilience practices. These practices are expected to increase the resiliency of rural communities to climate change, which in turn will increase agricultural productivity and thus food and water security, incomes and employment; all of which will enhance the well-being of rural communities. In addition, by strengthening the optimal use of natural, social and human assets, biodiversity benefits will be achieved; and by improving the efficiency of resource use and renewable energy options in the agriculture sector, the project will ensure that GHG emissions will not be increased, however to ensure focus on adaptation benefits there will not be comprehensive Climate Change Mitigation objectives and measurement structure in the programme. ARCAFIM will also facilitate an enabling environment for ARCAFIM's PFIs and other financial institutions to design, deliver and report of CCA finance; will share best practices in CCA finance learned

from the program's partners; and engage in continuous dialogue with policymakers and influencers to address emerging challenges or risks identified during program implementation. These activities are expected result in an expansion of commercial CCA finance models for low-income rural populations. The ARCAFIM programme will use the twin-track approach to mainstream gender empowerment and social inclusion considerations into its operations, complemented by targeted interventions to overcome any specific barriers as necessary. This approach will enable programme opportunities to be expanded to women, youth and persons with disabilities, while also addressing the main gaps and barriers they face to inclusion.

19. As result of the ARCAFIM interventions, the two key outcomes of the programme include (i) ARCAFIM PFIs expand and mainstream CCA finance in the region resulting in increased CC resilience and improved food security levels of rural communities; and (ii) Improved capacity of PFIs and agriculture value chain participants to adapt to risks imposed by climatic changes. Closely related to these, the important co-benefits from successful ARCAFIM implementation include increased rural household incomes, employment generation, improved biodiversity and climate change mitigation in the targeted communities. The **outcomes** for women and youth as a result of accessing CCA finance will be securing climate change-resilient livelihoods with the benefits of food and water security (including reduced workloads associated with household tasks); improved business and employment opportunities and incomes; gains in voice and decision-making over the use of assets and outputs, including income generated; and reductions in harmful practices and domestic violence.
20. Diagram 1 below presents the ARCAFIM Theory of Change (TOC) and overreaching logic. In summary, the logic underlying the programme's overall goal, impact and paradigm change functions as follows: **IF** adequate climate adaptation financial services are offered and the capacity of both small producers and rural MSMEs active in food systems (demand) and financial institutions (supply) are built, demonstrating a viable CCA finance ecosystem, **THEN** there will be a shift towards wider use of commercial resources for CCA in the region, *enhancing* the well-being of rural communities through climate resilient livelihoods **BECAUSE** smallholder farmers and MSMEs will use CCA finance to adopt appropriate and effective climate change adaptation and resilience practices, increasing incomes, improving food security and creating and preserving jobs. In medium- to long term, the creation of ARCAFIM's viable CCA finance ecosystem and its demonstration effect will lead to a paradigm shift towards significantly wider use of commercial resources for CCA investments in the target regions.
21. The Theory of Change links ARCAFIM closely to GCF's key Adaptation Result Areas (ARAs) and Core Indicators. The ARCAFIM operations are directly aligned with GCF's ARA1 (most vulnerable people and communities) and ARA2 (health, well-being, food and water security). Regarding the GCF Core Indicators, the TOC together with the ARCAFIM design documents show the way the programme will contribute to climate resilient technology development, dissemination and innovation (Core Indicator 6), to market development/transformation at the local, sectoral and national level (Core Indicator 7), and to effective CCA knowledge generation and learning processes, and the use of good CCA practices, methodologies and standards (Core Indicator 8). These links to GCF ARAs and Core Indicators form a key element when presenting the comprehensive Logical Framework in Section E, to guide the ARCAFIM operations and the monitoring of its results.
22. There is a need to identify and address social norms that perpetuate gender empowerment and social inclusion (GESI) inequalities and exacerbate barriers on both the supply and demand sides of CCA financial inclusion. Unless negative norms and behaviours are addressed, women still face challenges in accessing formal financial products even when customized financial products and services are available. GESI activities are present in programme component 2 (which addresses the non-financial barriers to CCA financing) and programme implementation arrangements. Early programme implementation arrangements will ensure there is sufficient capacity and skills to deliver and track GESI performance through the recruitment of specialists, selection of implementing partners, strengthening capacity of those responsible for programme delivery, and the monitoring, evaluation and learning system.

Diagram 1: ARCAFIM Theory of Change



B.2 (b). Outcome mapping to GCF results areas and co-benefit categorization

Fill in the GCF results area table below to map each project/programme outcome identified in section B.2(a) to the contributing GCF results area(s) by referring to the description of eight results areas provided in the guidance note.

Outcome number	GCF Mitigation Results Area (MRA 1-4)				GCF Adaptation Results Area (ARA 1-4)			
	MRA 1 Energy generation and access	MRA 2 Low-emission transport	MRA 3 Building, cities, industries, appliances	MRA 4 Forestry and land use	ARA 1 Most vulnerable people and communities	ARA 2 Health, well-being, food and water security	ARA 3 Infrastructure and built environment	ARA 4 Ecosystems and ecosystem services
Outcome 1	☐	☐	☐	☐	☒	☒	☐	☐
Outcome 2	☐	☐	☐	☐	☒	☒	☐	☐

If any co-benefits have been identified in section B.2(a), fill in the Co-benefit table below to map each co-benefit to the corresponding category as defined in the FP guidance note.

Co-benefit number	Co-benefit					
	Environmental	Social	Economic	Gender	Adaptation	Mitigation
Co-benefit 1	☐	☒	☒	☒	☐	☐
Co-benefit 2	☐	☒	☒	☒	☐	☐
Co-benefit 3	☐	☐	☐	☐	☐	☐
Co-benefit 4	☐	☐	☐	☐	☐	☒

B.3. Project/programme description

ARCAFIM Overview

1. Overall ARCAFIM Approach. Rural small producers are responsible for estimated average of 80% of food production in Sub-Saharan African countries³⁰, while MSMEs involved in food systems provide services and valuable jobs and income opportunities to rural low-income population. Due to environmental, technical, economic, social and political factors, these small producers and MSMEs disproportionately experience the effects of climate change and external shocks on their livelihoods. To maintain and improve their levels of productivity, they urgently need dedicated investment resources to build stronger resilience to climate change, but have been struggling so far to attract sufficient financing for the purpose. While the exact share of climate finance for adaptation activities by small producers in ARCAFIM target countries is unknown, evidence suggests that it is very low, in view of the limited share (1.7%) of small-scale agriculture producers' share of the global CC financing which includes both adaptation and mitigation resources³¹.
2. As discussed in B.1 above, various barriers, including both demand and supply side challenges, restrict the expansion of CCA financing across all markets in Africa. The Africa Rural Climate Adaptation Finance Mechanism (ARCAFIM) will address these barriers causing limited CCA financing from formal financial sector targeting small producers in Africa, by deploying catalytic financial instruments (i.e. risk sharing facility) into the mainstream private financial sector in each participating country combined with well targeted technical support interventions that address both supply and demand side non-financial barriers to greater CCA financing. By doing so, ARCAFIM seeks to achieve a demonstration effect and paradigm shift towards large-scale implementation of financing models for increased climate change resilience among the economically active low-income rural populations and small producers, notably women and youth.

³⁰ IFAD and FAO 2019: <https://www.fao.org/3/ca4672en/ca4672en.pdf>; FAO 2014: <https://www.fao.org/3/i4040e/i4040e.pdf>

³¹ IFAD/CPI, 2020: Examining the Climate Finance Gap for Small-Scale Agriculture, https://www.ifad.org/documents/38714170/42157470/climate-finance-gap_smallscale_agr.pdf/34b2e25b-7572-b31d-6d0c-d5ea5ea8f96f

3. IFAD, as a GCF Accredited Entity and a global leading organisation with over 40 years of successful track record investing in rural poor and small producers, will act as the manager of ARCAFIM ensuring overall programme oversight and coordination. The ARCAFIM is designed to be scalable and replicable, with the ambition is to roll it out to other African regions following a gradual phased approach starting with Phase 1 implementation in East Africa.
4. Country Selection. The ARCAFIM target countries under Phase 1 in East Africa region are Kenya, Tanzania, Uganda and Rwanda, selected for the reasons that (i) they are either Low Income Countries or Lower Middle Income Countries; (ii) all are under severe climate change stress, higher compared to average in developing countries as stated by the IPCC 2022 report on Climate Change Impacts, Adaptation and Vulnerability³²; (iii) in the target countries, there is a substantial market of small-scale agriculture production with high potential for rural CCA financing, and (iv) the Host Bank has significant operations and suitable delivery networks to reach the intended ARCAFIM target groups with CCA finance products.
5. The regional approach, based on strong regional Host Bank, will allow to achieve economies of scale, efficiency and significant demonstration effect by leveraging on the strengths of a large-scale regional partner organization with a high level of ESG integration in their operations, a strong balance sheet, appropriate operational capacities, and ability to hedge funding in US\$ and offer loans to low-income borrowers in local currencies. The phased approach will also enable learning by testing the implementability of the model with strong partner organisations in East Africa and integrate lessons learnt into effective messages on how to promote CCA finance on a wider scale over the African continent.
6. Host Banks. ARCAFIM's main Partner Financial Institutions, "Host Banks", will at regional level manage both the financial and non-financial ARCAFIM services to the programme target groups based on ARCAFIM eligibility criteria and other terms and conditions, agreed upon in the programme design and included in the financing agreements between IFAD and the Host Banks. Financial resources provided by IFAD, financially supported by its international partners, to the Host Banks will be exclusively on-lent to small producers and those rural MSMEs that provide services and jobs to rural low-income people in the food systems, directly from the Host Bank subsidiaries or indirectly through intermediary financial institutions. The CCA lending methods developed and used under ARCAFIM will follow each Host Bank's operational structure and network, rural and agriculture finance strategy, and their digital tools development approach.
7. Based on IFAD's extensive rural finance experience in Africa and reviews of financial markets in the targeted countries as well as interviews with several candidate banks, the Equity Group was selected as ARCAFIM the Host Bank for East Africa. The criteria for Host Bank identification included: (a) status of a leading commercial bank in the targeted countries, (b) solid institutional and financial conditions, (c) strong interest in agriculture and rural finance operations as reflected in the size of portfolio or foreseen strategies to scale up lending to the sector, (d) corporate objective to develop and scale-up the bank's climate finance and particularly climate adaptation finance operations, (e) a regional branch or agency network to operate in at least 4-5 countries relevant for ARCAFIM, (f) strong expressed interest to manage and co-finance the ARCAFIM programme, and (g) established governance, social and environmental management structures.
8. Expected Outreach, Results and Targeting. ARCAFIM will achieve its goal and outcomes, described in the Theory of Change above, by deploying tailored financial products and targeted TA to scale up CCA finance through the local private financial sector in the targeted countries. For East Africa, through the 12 years of implementation, the projected volume of increased small producer and MSME access to CCA lending is US\$ 266 million through four-five revolved investment cycles for small producers and three investment cycles for MSMEs of the total capital base of US\$ 180 million with expected 6% average loss and 20% share of new clients per cycle.
9. The expected outreach to households, through the revolved investment capital, is based on the expected level of agreement of ARCAFIM investment channels and the climate finance taxonomy of investment types described at Section B3, Component 1. Investment values at small scale producer level will range between US\$ 50 – US\$ 7,500 per farm and the MSME investment values will range between US\$ 1,000 – US\$ 300,000. The average investment per client is projected at US\$ 716 for small producers and US\$ 150,000 for the MSMEs. With the minimum of 70% of small producer investments (and maximum 30% of MSME investments) of the total ARCAFIM investments, the expected number of loans will be about 260,000 for small producers and 500 for MSMEs.

³² <https://www.ipcc.ch/report/sixth-assessment-report-working-group-ii/>

10. Therefore, as result of ARCAFIM by programme completion, about 260,000 small producers at Africa will invest in improved or new climate resilient production systems and directly access the ARCAFIM adaptation benefits. Through the 500 MSME loans, an additional 60,000 small producer households will benefit indirectly (assumed average 120 per MSME) through their linkages in the value chains, and 15,000 rural people will benefit from job creation (assumed average 30 per MSME). By project completion the total outreach is estimated at about 335,000 households with 1.494 million people. The expected outreach will be continuously monitored through the ARCAFIM M&E system including the MIS quarterly financial reports, Host Bank annual reports, and through the household surveys at project years 3, 6, 9 and 12.
11. The ARCAFIM ultimate beneficiaries are low-income, economically active rural households and small producers, with specific target on women and youth. IFAD has strong capacities in targeting investments to rural small producers and the linked MSMEs, as well as in measurement of achieved development impact. ARCAFIM's core target groups, small-scale agriculture producers and rural MSMEs, are aligned with the targeting strategies of IFAD and its ongoing projects in the target countries. In summary, the ARCAFIM targeting and beneficiary profiles include small scale producers, rural microenterprises and agribusiness-SMEs which are critical to the development of sustainable food systems and agriculture value chains:
 - *Small scale producers and rural microenterprises* in the project targeted rural areas with exposure to climate change hazards. This target group is the final beneficiary of all ARCAFIM activities and investments. These producers and micro-entrepreneurs have limited access to CCA financial services and products. The final composition of this core target group is specified by demand for the ARCAFIM micro- and small financing packages, including willingness to implement CCA finance products.
 - *Agribusiness-SMEs* that have viable and smallholder-inclusive business models such as post-harvest processing, local service and input material provision, logistics, storage and distribution, with potential to create climate resilient production opportunities and stable jobs for small-scale agriculture producers. Due to risks inherent in the agriculture sector, as well as insufficient business planning capacities, agro-businesses have limited access to finance to expand their outreach in smallholder communities and employment creation in the VCs. All ARCAFIM supported agri-businesses are involved in and promote inclusive value chains development, establish market opportunities for small producers, and provide employment for under-employed rural men, women and youth in the targeted rural areas. Their role is critical in the development of rural value chains and food systems, vital for sustainable small producer livelihoods.

ARCAFIM Components

12. To achieve the ARCAFIM objectives, the programme activities are structured into two mutually reinforcing components: (a) Component 1: Effective Financing for Rural Adaptation Targeting Small Producers and Rural MSMEs; and (b) Component 2: Innovations and Capacity for Rural Adaptation Investments. The Component 2 capacity building activities are aligned as a required element for the CCA investments under Component 1.

Component 1: Effective Financing for Rural Adaptation Targeting Small Producers and Rural MSMEs

13. Under Component 1 in East Africa Region, ARCAFIM will provide catalytic international financial resources of US\$ 90 million (50% from the GCF, 50% from the IFAD-organized co-financiers) to the selected Host Bank (Equity Group) for on-lending for CCA purposes in the programme target countries. The total ARCAFIM on-lending resources, which are dedicated for CCA loans targeting small producers and rural MSMEs active in food systems, are US\$ 180 million, which includes a matching amount of US\$ 90 million financed by the Host Bank.
14. The delivery of the CCA loans to the final target groups will take place either directly through the Host Bank branch/agency network or through different types of rural financial intermediaries. The loan delivery channels at the start-up of the operations (to be adjusted during implementation) are categorized under Outputs 1.1 and 1.2, and will include:

Output 1.1: Regional Host Bank accesses resources to provide CCA loans to smallholders and MSMEs

- Direct micro-lending through Host Bank branches and agent networks. Target: small-scale crop, livestock and aquaculture producers. 3 -12 months' seasonal input loans and 6 - 60 months' long-term investment loans of US\$ 50 – US\$ 7,500.

- Direct SME loans by Host Bank branches and agent networks. Target: Value Chain MSMEs, input material providers, technical service providers, CC information providers. 1 - 12 months' seasonal input loans and 6 - 60 months' long-term investment loans of US\$ 1,000 – US\$ 300,000.

Output 1.2: Local intermediaries have access to wholesale credit lines to provide CCA loans

- Indirect micro-lending via wholesale loans to Microfinance Institutions (MFIs), Savings and Credit Cooperatives (SACCOs) and Fintechs. For on-lending to small-scale crop, livestock and aquaculture producers. 2-5 years wholesale loans. Wholesale loan size US\$ 50,000 – US\$ 3,500,000. End user loans US\$ 50 – US\$ 7,500.
- Indirect micro-lending via wholesale loans to value chain lead companies. End investment target: small-scale farmers on outgrower/contracted schemes. Lead company loans US\$ 50,000 – US\$ 1,000,000. End user loans US\$ 50 – US\$ 7,500 in cash/kind³³.

15. **Selection criteria for intermediaries.** The organizations to operate wholesale lending resources will be selected by the Host Bank in consultation with IFAD. The selection criteria will include: (a) sound institutional and financial condition, (b) focus on agriculture and/or rural finance operations that includes collaboration with small scale producers, with a proven commitment to poverty reduction and gender equality, (c) objective to develop and scale-up climate finance and particularly climate adaptation finance operations and the capacity to develop and appraise a pipeline of CCA investments, (d) sufficient network to operate in rural areas with climate change effected small producers, (e) strong expressed interest to participate in the ARCAFIM programme, (f) appropriate quality governance, social and environmental management structures, and (g) registration under the appropriate national legal framework and supervision structures. In addition to screening against ARCAFIM criteria, the Host Bank will perform its regular credit risk assessment, and the full method will be documented in the ARCAFIM Operations Manual.
16. **For all loan delivery channels,** the lending methods to effectively reach the final target group of ARCAFIM will vary between the target countries. For the East Africa region overall, the survey-based projected shares as measured in US\$ volume are (a) direct micro-loans by the Host Bank: 40%, (b) direct SME loans by the Host Bank and their subsidiaries: 30%, and (c) wholesale loans through MFIs, SACCOs and value chain companies: 30%. **End-use of CCA Finance.** One of the main barriers to mobilization of private sector financing into CCA investments is that there is no clear mutual understanding and agreement on what types of investments can be considered for the end-use of climate adaptation finance that is likely to be commercially viable for farmers. Without such agreement, it has remained challenging for private sector to mobilize CCA funds and especially challenging to implement projects and report back on CCA results.
17. To overcome this barrier, ARCAFIM introduces a new operational framework with the title: "Climate Change Adaptation Finance Taxonomy for Sub-Saharan African Food Systems". The draft Taxonomy includes firstly an overall presentation and justification for eligible CCA investment types for the PFIs, and secondly, a localized financial and technical viability assessment for a subset of CCA solutions that are recommended for PFI investments at country and agroecological zone level. The Taxonomy documentation has been developed following an analytical process: (i) categorization of SSA CC risks in rural and agriculture sector, (ii) mapping of CCA models as adverse impact reduction measures for the CC risk categories, (iii) mapping of CCA models with private sector accountability and ownership, (iv) assessment of viability by private sector (farms, MSMEs) to implement CCA models, (v) categorization of FI-viable CCA models per CC risk, and (vii) at country level, categorization of the taxonomy by agronomic geographical zones and crops for technically and financially viable CCA models. The framework will adopt a holistic livelihood approach and will include technologies and practices that make not only the productive activities more climate change resilient but also the domestic aspects of rural livelihoods, such as water collection/harvesting, storage and use; fuel collection and use; food processing and preparation; and energy.
18. Table 5 below summarizes the categorization of eligible CCA investment types for each potential borrower group and risk type. This Table will be included in legal agreements to be signed between IFAD and the Host Bank, defining the general categories of eligible end-borrower adaptation investments that can be financed with ARCAFIM support. The Taxonomy should be considered a living document that can be revised and expanded through consensus between ARCAFIM stakeholders. The operationalization and broad distribution

³³ In-kind loan by a value chain lead company refers to its offer of physical inputs to supply chain farmers on loan basis and monitored in their nominal value. The company can provide tailored quality materials for the specific production system and with a lower price compared to local market. Repayment schedule is tailored to production system harvests and sales to the lead company, per agreement between the lead company and its supplier farmers.

of the Taxonomy development will continue during the ARCAFIM implementation as a joint exercise between IFAD, the Host Bank and other ARCAFIM stakeholders, including the National Designated Authorities and the PFIs. The wider objective is that the Taxonomy will be applied as a mainstreamed tool by ARCAFIM participating financial institutions, as well as by other financial institutions and international financiers supporting CC adaptation in Africa (see more in Component 2).

Table 5: Rural CCA investment options summary

Hazards		Private sector stakeholder categories and investment types		
	Small-scale crop producer CCA investment types:	Small-scale livestock and aquaculture producer CCA investment types:	Agribusiness enterprise CCA investment types:	
Water deficit & temperature stress	- Drought and heat tolerant seeds and seedlings - Dams, micro water harvesting and storage - Small scale sustainable irrigation solutions - Shade house, shading and cover cropping - Soil management and mulching - Sustainable fertilizer solutions - Product diversification and intercropping - Agroforestry solutions - On-farm post-harvest facilities	- Water flow infrastructure - Rainwater harvesting systems, dams and reservoirs - Drought and heat tolerant fodder varieties - Silvo-pastoral and rotational grazing systems - Sustainable pasture management - Climate resilient aquaculture solutions - Integrated farm systems with aquaculture - Climate resilient shelters, logistics, construction - Natural and artificial shading facilities - Heat stress reduction systems i.e. ventilations, showers - Species selection	(Relevant for all climate risk categories) Input material and equipment services - Climate resilient inputs delivery - Irrigation systems delivery and services - Mechanization services and/or distribution - Sustainable energy solutions - In-kind production finance - Technical assistance	
Water excess, floods	- Adapted seeds and seedlings - Pest and disease tolerant variety selection - Sustainable pesticide solutions - Integrated pest management - Integrated soil fertility management - Terracing and contour farming - Product diversification and intercropping - Farm-based post-harvest infrastructure - Dams, water harvesting and storage solutions	- Sustainable pasture management - Water flow management infra and drainage systems - Pest and disease tolerant fodder varieties - Rainwater harvesting systems, dams and reservoirs - Sustainable pesticide solutions - Climate resilient aquaculture systems - Climate resilient shelters and logistics - On-farm processing of livestock and fish products - Veterinary prophylaxis and vaccination facilities	Digital platforms and CCA intelligence - Digital value chain services - Digital finance services - Digital climate adaptation services - Advisory services - Data management and decision support tools - Climate risk and impact assessment	
Heavy wind	- Physical and biophysical flood protection - Storm and flood proofed infrastructure - Wind breakers and covers - Upstream water management infrastructure - On-farm post-harvest facilities - Drainage systems	- Physical and biophysical flood protection - Storm and flood proofed infrastructure - Wind breaker and covers - Product diversification - Climate resilient shelters and logistics	Climate risk transfer - CCA insurance services - Bundled product development - Index-based service solutions	
Soil depletion	- Integrated soil fertility management - Terracing and contour farming - Soil management and mulching - Agroforestry solutions - Drainage systems	- Sustainable pasture management - Water flow infrastructure - Drainage systems	Supply Chain Lead Companies - Contract farming arrangements - Primary production TA and quality assurance - Logistics and storage services - In-kind finance of farm inputs and services	

19. In addition to the CCA taxonomy, commercial viability assessments of CCA measures and trade-offs between options has been conducted, and based on the assessments, an indicative list of main adaptation activities for each crop in each agro-climatic zone is summarized in Table 6 below, together with the sectors, hazards, associated climate change risk/impact. At individual sub-project level, the final set of interventions will be identified by the end clients themselves based on ARCAFIM viability analysis of alternative options, and trainings provided.

Table 6: Indicative list of main adaptation activities

1). Crop producer (applicable GCF result areas: ARA 1 and ARA 2)

Agro-climatologic al zone	Hazard	Risk/Impact	Adaptatio n activity	Adaptation benefit	Crop by country
Tropical dry	- Water deficit - Heavy wind - Water excess - Soil depletion - Temperature stress	Yield change: from 0% (Cassava) to -10% (Millet, Maize) against 2001-2020 period within the 2041-2060 period	Shading & Micro Water Harvesting	- Increase in yield: from Millet (30%), Cassava (40%), Tea (60%), Sorghum (70%) to Sweet potato (90%) - Reduction in negative yield volatility induced by climate-related hazards: heat stress and water deficit	Kenya: Coffee arabica, Cassava, Sweet potato, Tea, Millet, Sorghum Uganda: Coffee arabica, Sweet potato Tanzania: Banana, Coffee Arabica, Cassava, Common beans, Sweet poato
			Mulching & Micro Water Harvesting	- Increase in yield: from Cassava (40%), Tea (90%), Sweet potato (90%), Sorghum, Maize, Coffee arabica and Millet (+100%) - Reduction in negative yield volatility induced by climate-related hazards: soil depletion, water deficit, water excess	Kenya: Coffee arabica, Cassava, Sweet potato, Tea, Maize, Millet, Sorghum Uganda: Coffee arabica, Cassava, Maize, Sweet potato, Tea Rwanda: Banana, Coffee Arabica, Common Beans, Cassava, Sorghum Tanzania: Banana, Coffee Arabica, Cassava, Common beans, Maize, Tree cotton, Soyabean
			Wind Breaking & Micro Water Harvesting	- Increase in yield: from Cassava (30%), Pearl millet (40%), Tea (50%), Coffee arabica, Sweet potato, Maize (60%) and Sorghum (70%) - Reduction in negative yield volatility induced by climate-related hazards: soil depletion, heavy wind, water deficit	Kenya: Coffee arabica, Cassava, Sweet potato, Tea, Maize, Millet, Sorghum Uganda: Coffee arabica, Cassava, Maize, Sweet potato, Tea Rwanda: Banana, Coffee Arabica, Common Beans, Cassava, Sorghum Tanzania: Banana, Coffee Arabica, Cassava, Common beans, Maize, Tree cotton, Soyabean
Tropical humid	- Water deficit - Water excess - Temperature stress - Soil depletion - Heavy wind	Yield change: about -10% against 2001-2020 period for most crops within the 2041-2060 period. With common beans the most affected crop.	Micro Water Harvesting	- Increase in yield: from Pearl millet, Sweet potato, Coffee arabica, Maize, Banana (20%) and Soyabean, Tree cotton, Cassava and Common Bean (30%) - Reduction in negative yield volatility induced by climate-related hazards: soil depletion, water deficit	Kenya: Coffee arabica, Cassava, Sweet potato, Tea, Maize, Millet, Sorghum Uganda: Coffee arabica, Cassava, Maize, Sweet potato, Tea Rwanda: Banana, Coffee Arabica, Common Beans, Cassava, Sorghum Tanzania: Banana, Coffee Arabica, Cassava, Common beans, Maize, Tree cotton, Soyabean
			Wind Breaking & Micro Water Harvesting	Increase in yield: from Coffee arabica (10%), Sorghum, Sweet potato, Banana (20%), Tree cotton, Common Bean,	Kenya: Coffee arabica, Sweet potato Uganda: Coffee arabica, Cassava,

				Maize (30%), Pearl millet and Cassava (40%) Reduction in negative yield volatility induced by climate-related hazards: soil depletion, heavy wind, water deficit	Rwanda: Banana, Coffee Arabica, Cassava Tanzania: Banana, Cassava, Maize, Tree cotton
			Mulching & Micro Water Harvesting	- Increase in yield: from Pearl millet, Sweet potato, Coffee arabica, Banana (20%), Cassava, Maize, Common Bean and Tree cotton (30%) - Reduction in negative yield volatility induced by climate-related hazards: soil depletion, water excess, water deficit	
Temperate	- Water deficit - Water excess - Temperature stress - Soil depletion - Heavy wind	Yield change: about -5% within the 2041-2060 period, beans is the most affected crop.	Wind Breaking	- Increase in yield: Coffee arabica (12%) - Reduction in negative yield volatility induced by climate-related hazards: soil depletion, heavy wind	Kenya: Coffee arabica, Tea Uganda: none Rwanda: Banana Tanzania: Banana, Cassava
			Shading & Micro Water Harvesting	- Increase in yield: Sorghum, Banana (10%), Common Bean, Tea, Coffee arabica, Sweet potato (30%) and Cassava (40%) - Reduction in negative yield volatility induced by climate-related hazards: soil depletion, temperature stress, water deficit	Kenya: Coffee arabica, Cassava, Sweet potato, Tea Uganda: Coffee arabica, Sweet potato, Tea Rwanda: Banana Tanzania: Banana, Cassava
			Mulching & Micro Water Harvesting	- Increase in yield: Banana (10%), Tea, Common Bean (40%), Cassava, Coffee arabica (50%), Sweet potato (60%) - Reduction in negative yield volatility induced by climate-related hazards: soil depletion, heavy wind	

2). Livestock producer (applicable GCF result areas: ARA 1 and ARA 2)

Agro-climatologic al zone	Hazard	Risk/Impact	Sector ot typology	Adaptation activity	Adaptation benefit
Tropical dry	- Water deficit - Water excess, floods - Temperat ure stress - Heavy winds - Soil depletion	Heat stress: average of 1°C increase of the mean temperature (severe THI for sheep and poultry). Climatic suitability: reduction of 1 to 4%. RVF risk: increased RVF risk from 10 to 40%. TBDs risk: reduced TBDs risk from 28% to an increase to 10%.	Grassland Sedentary	Veterinary prophylaxis	- Constant monitoring of outbreak risk - Low cost effectiveness
			Landless system	- Micro harvesting - Veterinary prophylaxis - Variety selection - Agroforestry	- CBR: 1.5 - 1.55 (Micro harvesting) - CBR: 2.85 - 3.16 (agroforestry)
			Grassland Nomadic	Veterinary prophylaxis	Constant monitoring of outbreak risk

				Silvo-pastoral and rotational grazing systems (including Movement)	Low cost effectiveness
Tropical humid	- Water deficit - Water excess, floods - Temperature stress - Heavy winds - Soil depletion	Heat stress: average of 1°C increase of the mean temperature (severe THI for sheep and poultry). Climatic suitability: reduction of 1 to 3%. RVF risk: increased from 18 to 29%. TBDs risk: reduced from 8 to 59%.	Grassland Sedentary	Veterinary prophylaxis and vaccination facilities	- Constant monitoring of outbreak risk - Low cost effectiveness
			Landless system	- Micro water harvesting - Veterinary prophylaxis and vaccination facilities - Drought and heat tolerant fodder varieties	- CBR: 1.5 - 1.55 (Micro harvesting) - CBR: 2.85 - 3.16 (agroforestry)
			Grassland Nomadic	- Veterinary prophylaxis and vaccination facilities - Silvo-pastoral and rotational grazing systems (including Movement)	- Constant monitoring of outbreak risk - Low cost effectiveness
Temperate	- Water deficit - Water excess, floods - Temperature stress - Heavy winds - Soil depletion	Heat stress: average of 1°C increase of the mean temperature (severe THI for sheep and poultry). Climatic suitability: reduction between 1 to 12%. RVF risk: increased from 12 to 29%. TBDs risk: outbreak risk from a 17% reduction to a 14% increase.	Grassland Sedentary	- Veterinary prophylaxis and vaccination facilities - Drainage systems	- Constant monitoring of outbreak risk - Low cost effectiveness - CBR: 1.045 (drainage system)
			Landless system	- Micro water harvesting - Veterinary prophylaxis and vaccination facilities - Drainage systems - Drought and heat tolerant fodder varieties	- CBR: 1.5 - 1.55 (Micro harvesting) - CBR: 1.045 (drainage system) - Constant monitoring of outbreak risk - Low cost effectiveness - CBR: 2.01 (variety selection)
			Grassland Nomadic	- Veterinary prophylaxis and vaccination facilities - Movement	- Constant monitoring of outbreak risk - Low cost effectiveness

3). Aquaculture producer (applicable GCF result areas: ARA 1 and ARA 2)

Lake type	Hazard	Risk/Impact	Adaptation activity	Adaptation benefit
Seasonal Southern Hot	- Water deficit - Water excess, floods - Water temperature stress - Heavy winds	Water temperature stress : average of 0.78°C increase of the mean temperature. Dissolved Oxygen stress: reduction of - 0.15 ppm. Wind Speed : increased wind speed from 2.52 m/s to 2.59	Climate resilient aquaculture solutions: Water drainage Integrated farm systems with aquaculture: Agroforestry/vegetation practices	- Shade and reduces direct sunlight, thereby lowering water temperature - Avoid waterlogging and excess water accumulation, leading to higher temperatures and oxygen depletion
			Climate resilient aquaculture solutions : Pond oxygen	Adequate oxygen levels in the water, promoting fish health and growth.

		m/s with maximum up to 8.05 m/s.	stones or water movement systems (hoses)	Improve the overall well-being of value chain.
			Climate resilient aquaculture solutions: Conventional cages or fixed cages as a more cost-effective option	- Fish well being and safety - Low cost effectiveness
Southern Hot	- Water deficit - Water excess, floods - Water temperature stress - Heavy winds	Water temperature stress : average of 0.78°C increase of the mean temperature. Dissolved Oxygen stress: reduction of - 0.15 ppm. Wind Speed : increased wind speed from 2.52 m/s with maximum up to 8.05 m/s.	Climate resilient aquaculture solutions: Water drainage Integrated farm systems with aquaculture: Agroforestry/vegetation practices	- Shade and reduces direct sunlight, thereby lowering water temperature - Avoid waterlogging and excess water accumulation, leading to higher temperatures and oxygen depletion
			Climate resilient aquaculture solutions: Pond oxygen stones or water movement systems (hoses)	- Adequate oxygen levels in the water, promoting fish health and growth - Improve the overall well-being of value chain.
			Climate resilient aquaculture solutions: Conventional cages or fixed cages as a more cost-effective option	- Fish well being and safety - Low cost effectiveness
Tropical Hot	- Water deficit - Water excess, floods - Water temperature stress - Heavy winds	Water temperature stress : average of 1°C increase of the mean temperature. Dissolved Oxygen stress: decrease of - 0.14 ppm. Wind Speed : increased wind speed from 2.87 m/s to 2.96 m/s with maximum up to 8.05 m/s.	Climate resilient aquaculture solutions Water drainage Integrated farm systems with aquaculture: Agroforestry/vegetation practices	- Shade and reduces direct sunlight, thereby lowering water temperature - Avoid waterlogging and excess water accumulation, leading to higher temperatures and oxygen depletion
			Climate resilient aquaculture solutions: Pond oxygen stones or water movement systems (hoses)	- Adequate oxygen levels in the water, promoting fish health and growth. - Improve the overall well-being of value chain.
			Climate resilient aquaculture solutions: Conventional cages or fixed cages as a more cost-effective option	- Fish well being and safety - Low cost effectiveness

20. **ARCAFIM risk management solution.** The ARCAFIM financial structure is based on a blended finance risk sharing structure that unlocks international capital (including from GCF as the key international financier) and crowds in regional capital for the ARCAFIM CCA financing operations at scale. The favourable financing terms of the international ARCAFIM loans to the Host Bank, together with non-financial support will make it possible to provide competitive financing for CCA investments at affordable terms to the target groups, including adequate repayment and grace periods.

Component 2: Innovations and Capacity for Rural Adaptation Investments

21. As a required element to support the Component 1 investments, Component 2 will address non-financial barriers currently preventing greater CCA financing in the ARCAFIM target regions. With a total technical assistance budget of US\$ 20 million³⁴, *firstly*, ARCAFIM will strengthen the awareness and capacity of Participating Financial Institutions to offer rural CCA finance services and *secondly*, the project will develop the CCA investment capacities and financial literacy skills of small-scale producers and rural MSMEs that will apply for ARCAFIM financing. *Thirdly*, ARCAFIM will improve climate finance enabling environment through CCA finance policy dialogues and the development of a Taxonomy for CCA Rural Finance that can be implemented in East Africa and more widely, in all regions of Africa.

³⁴ As part of this budget, IFAD is negotiating with the Government of Denmark to co-finance the ARCAFIM TA component costs, together with GCF and IFAD contributions.

22. *Output 2.1: Improved readiness and capacities of all PFIs to make appropriate climate finance investments.* ARCAFIM will provide global top end expertise to the regional Host Bank – Equity Bank Group – and its network of subsidiaries and branches in the four target countries, as well as an estimated 20 other PFIs that will perform as local intermediary financial service providers (see Component 1 on the respective lending roles and selection criteria for the intermediaries). The capacity building service will ensure that the provided credit will deliver real, effective and transformational adaptation impact and is channelled to the intended purposes and beneficiaries. The Host Bank with IFAD support will recruit systematic support to establish the ARCAFIM programme management systems, to coordinate the programme implementation and report on the performance. All ARCAFIM PFIs will be sensitized to the importance of CCA and receive a demand-driven package of technical support and innovation services, with the aim to develop and offer appropriate CCA rural financial services, appropriate risk management practices in CCA financing, and reduce transaction costs by strengthened delivery channels. Initiation of the Technical Assistance to PFIs is a condition to access to ARCAFIM financing for on-lending.
23. The Output will be managed by the Host Bank. The implementation will be through competitively selected external service providers and through the Equity Bank Foundation, which is dedicated for social transformation through inclusive finance and has a strong network and track record on the same. The external service provider selection process is conducted jointly by the Host Bank and IFAD to ensure mobilization of global top end capacities for the task. The Host Bank and its Equity Bank Foundation will share 50% of the costs of the activities implemented through the Foundation.
24. *Participating FIs* (Host Bank's branch network as well as local intermediaries) involved in ARCAFIM financing activities will receive technical support packages tailored for their specific needs. A preliminary demand analysis for the capacity building services was conducted during the ARCAFIM design, confirming that in the financial sector there is limited understanding of CCA finance for agriculture value chains however a high interest to initiate climate finance portfolios with available appropriate support. The ARCAFIM capacity building to PFIs will be launched at project start up to support the Host Bank Group and branches and subsequently to other PFIs against their expressions of demand to participate in the ARCAFIM implementation. Technical support areas will include: (i) development of CCA finance strategy and costing of its implementation, (ii) development or strengthening of CCA lending products that comply with the eligibility criteria under ARCAFIM Taxonomy, that are reported as a separate category in the Host Bank's management information system, and that target small producers, rural poor and MSMEs active in food systems, (iii) support rural outreach and social inclusion strategies, including CCA finance advisory capacities, (iv) strengthen Digital Finance Services by inclusion of functions for climate, rural and agricultural finance, to enable data driven, affordable and effective risk management and support functions for CCA lending, (v) support improved Management Information Systems (MIS), (vi) develop agriculture and climate insurance products and solutions such as bundled service packages, and (vii) support strengthened ESG standards and management systems including CC risk management structures for each PFI to comply with IFAD, GCF and other co-financier safeguards. Furthermore, ARCAFIM will work with the PFIs to develop technical assistance packages delivered to small producers and MSMEs under Output 2.2.
25. *Technology-enabled innovative solutions.* Technical support to PFIs will also be provided to identify and pilot digital technologies which reduce transaction costs, and/or improve the credit assessment and risk management of small CCA loans. The solutions to be implemented directly under the ARCAFIM Host Bank delivery channels or by intermediary financial service providers, including Fintechs, can include but are not limited to: (i) location services for farmer plots and GIS-based information of the agriculture models and expected yields contributing to client risk assessments in a cost-effective manner, (ii) digital payments/mobile wallet transaction histories of small producers, contributing to the cost-effective client risk assessment, (iii) data analytics capabilities of PFIs to include new types of data like farm boundaries and soil health incorporated into the credit assessment to improve accessibility of potential borrowers including women and youth who typically lack credit histories and collateral, (iv) cost-effective transactions of small-scale financing to small producers by utilization of mobile money systems including savings, credit and payment services, (v) tracking of the utilization of ARCAFIM investment resources through mobile payment systems, and (vi) integration of technical advisory packages and weather information into the mobile banking financial service interface. Details of selected solutions will be developed and contracts with digital service providers launched in the project initiation period and during Programme Year 1.
26. *GESI.* The CCA finance strategy (including CCA financial advisory capacities) and rural outreach and social inclusion strategies will specifically address how the CCA products and services will developed and disseminated to women, youth and people with disabilities. Methods for community engagement and outreach will be inclusive and gender responsive. CCA lending products and services (including climate risk insurance,

digital technologies and advisory services) will be tailored to the needs, resources and capacities of women and youth who are small producers or micro/small entrepreneurs in the food system.

27. Output 2.2: Improved CCA investment capacities of smallholder farmers and MSMEs. Recognizing the urgent need to stimulate CCA finance demand among rural small producers and MSMEs involved in food systems, ARCAFIM will offer targeted and practical technical assistance to these target groups. The pipeline generated through the capacity building directly builds to the investment outreach of the PFIs, ensuring effective and appropriate utilisation of the ARCAFIM Component 1 financial resources. In the four East African target countries, the Output activities will reach an estimated 325,000 small producers and 625 agribusinesses. The selection criteria and identification process for the target groups is explained above under Component 1.
28. This Output will also be managed by the Host Bank. Its execution will be mainly through the Equity Bank Foundation that has extensive experience in implementation of technical assistance operations to prospective financial service clients. For the activities implemented through the Foundation, 50% of the costs will be covered by the Foundation. To bridge gaps in the Foundation's technical capacity related to Climate Change Adaptation as well as the Foundation's outreach potential in areas with thinner footprint, external technical assistance partners will be competitively recruited by the Host Bank with IFAD support and oversight.
29. Small-Scale Agriculture Producer CCA Investment Promotion and Financial Literacy Services. An estimated 16,000 rural producer groups will be trained, with average 20 participants in each group. The activity will increase knowledge of viable CCA options and financial services among small producers, and enhance the financial literacy skills and savings culture among the supported households, leading to increased volumes and sustainability of CCA investments. Capacity building topics will include: CCA investment options, basic banking skills, "Saving for a Purpose", managing resources, borrowing with special focus on the medium to long-term perspective required in the CCA loans, interest rates, collateral, bank transactions and payments, and the use of mobile and digital banking services. Furthermore, a targeted module for women empowerment in the use of financial services will be developed.
30. Agribusiness CCA Business Development Services (BDS). The aim of the CCA BDS is to strengthen the knowledge of rural enterprises of viable CCA options, benefits and related financial services, and to develop their business planning, investment start-up and financial management capacity, thereby increasing the demand for CCA finance and lowering the investment risk for the PFIs. Furthermore, bankability assessments can be completed for agribusinesses, helping to inform the PFIs of the real investment risks and opportunities. The BDS services to the targeted 625 agribusinesses will be organized as training of small groups and as individual consulting service, depending on demand, with the aim to ensure that ARCAFIM financing will target well planned productive and screened investments in the rural agricultural sectors, to ensure highest possible positive impact on climate change resilience. During BDS initiation, MSME participation fees will be piloted and progressively introduced with the objective of 25% cost coverage.
31. GESI. Under output 2.2, the gender action plan will ensure that GESI considerations are mainstreamed into the provision of targeted and practical technical assistance to stimulate the demand for CCA finance. Participatory engagement with the community, will ensure CCA products and services meet the priority needs and resources of different groups within the food system, including women, youth and people with disabilities.
32. Output 2.3: Improved enabling environment of CCA through application of taxonomy and best practices by climate finance ecosystem. Policy dialogue on rural CCA finance enabling environment, especially to create functioning private sector investment mechanisms, will be supported by the ARCAFIM team, implemented by IFAD as the Executing Entity for this Output. The deliverables will include: (i) continuous technical backstopping by IFAD to support the ARCAFIM Host Bank and PFIs in the climate adaptation finance operations, (ii) semi-annual technical working papers on emerging topics on climate finance in East Africa region, and on the same topics, semi-annual high-level regional policy workshops, and (iii) regular updates, dissemination and operationalization of the ARCAFIM Taxonomy framework as a key governance tool for CCA finance.
33. For this work, IFAD will closely engage with the GCF-led network of National Designated Authorities and with regional intergovernmental organizations to ensure that the developed best practises will become broadly known and utilized for climate change adaptation programming in the region. Furthermore, to enable effective replication, the ARCAFIM core implementing group will capitalize IFAD's knowledge and networks in international private and public sector stakeholder groups and platforms, including the IFAD-hosted Smallholder and Agri-SME Finance and Investment Network (SAFIN)³⁵, Public Development Banks Platform

³⁵ <https://www.safinetwork.org/>

for Green and Inclusive Food Systems³⁶, the Rural Finance and Investment Learning Centre (RFILC-CABFIN)³⁷, as well as the IFAD-supported Rural Finance Investment Projects at country level and the ongoing COMESA–EAC–SADC Climate Change Program. The objective is to ensure continued enabling environment for climate finance and dialogues to adjust policy frameworks in case of emerging challenges or risks that may prevent ARCAFIM effective implementation and scaling up of its best practices.

34. In particular, during the ARCAFIM start-up period IFAD will, together with the key implementing partners, lead the operationalization of the framework for private sector CCA financing applicable across the Sub-Saharan region (“Climate Change Adaptation Finance Taxonomy for Sub-Saharan African Food Systems”) and support the related policy dialogue on rural CCA finance enabling environment. The developed Taxonomy will immediately serve as the core framework for end-borrower investment eligibility under ARCAFIM, but more broadly, help the climate finance ecosystem at international, regional, national and local levels to justify, monitor and report back on private sector CCA investments. In addition to the overall eligibility framework, IFAD has prepared technical and financial assessments of a subset of eligible investment options and provides investment recommendations to the PFIs for each country and agroecological zone. The steps in the development of the methodology are described under Component 1 above. Following the methodology development and technical groundwork, a series of regional workshops, both virtual and physical, will be organised to complete, agree upon, and disseminate the agreed version of the Taxonomy, as well as continuously update the CCA investment option viability recommendations at local levels. IFAD will lead this effort, joined by the ARCAFIM financiers, including international financing partners, the regional Host Banks, local FIs, local value chain stakeholders as well as the relevant national policy makers and authorities. Technical synergies will be sought with other GCF-financed IFAD projects in Africa with similar types of activities, including in particular the second phase of IGREENFIN programme, and also with climate change adaptation programmes by other development partners.

35. GESI. The policy dialogue on CCA rural finance presents a unique opportunity to engage government and policy makers with GESI challenges and opportunities linked to inclusive CCA finance. Engagement will be broadened to encourage collaboration and exchange between government, NGOs and civil society on the nexus between GESI, climate change and financial services.

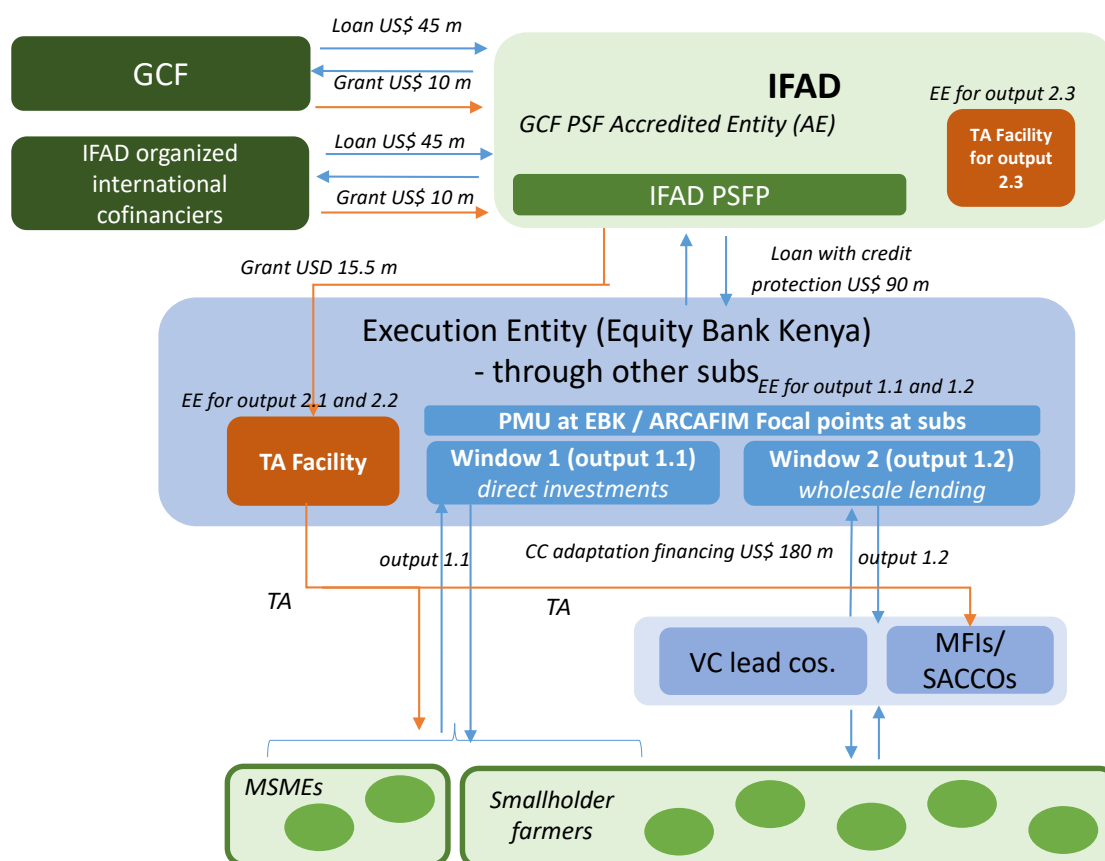
B.4. Implementation arrangements

36. **Overall Implementation Structure.** Diagram 2 shows the overall ARCAFIM implementation structure. Below in this Section, the key implementation roles and approaches of IFAD and the Host Bank are summarised, as well as the core elements of the M&E arrangements and the implementation model of the TA services. The Section is closed with the description of the key elements and practices in the ARCAFIM financial structure and its legal framework.

Diagram 2: ARCAFIM Implementation Structure

³⁶ <https://financeincommon.org/sites/default/files/2021-10/IFAD%20Finance%20in%20Common%20Declaration%202021%20Final.pdf>

³⁷ <https://www.rfilc.org/>



37. **Role of IFAD.** In addition to the co-EE role for output 2.3, IFAD, as a GCF PSF Accredited Entity, will manage the funds provided for ARCAFIM by GCF and other international financiers and be the lender of record of the ARCAFIM funds to the Host Bank. IFAD will disburse the funds for ARCAFIM on-lending to the regional Host Bank subject to satisfaction of the agreed Conditions Precedents for the drawdown. The IFAD ARCAFIM loans will be matched 1:1 by the Host Bank, thus doubling the ARCAFIM financing resources. The IFAD loans to the Host Bank serve as risk protection for the underlying Qualifying Loans in the blended finance structure. IFAD will monitor and oversee that the Host Bank will use the loan proceeds exclusively for on-lending under the ARCAFIM programme to the targeted beneficiaries based on agreements and definitions of the Loan Agreements between IFAD and the Host Bank.
38. Based on monitoring and reporting procedures to be included in the loan agreement between IFAD and the Host Bank, IFAD will provide regular progress reports to GCF and other co-financiers to keep them informed of the ARCAFIM performance including both financial aspects and development results as well as social, environmental and governance safeguards developed for the programme. IFAD will undertake regular supervisions and commission periodical evaluation studies on ARCAFIM development impact. IFAD will also coordinate the development and implementation of the CCA finance taxonomy and policy dialogues under Output 2.3. These functions will be performed by dedicated IFAD staff for the ARCAFIM operation as well as by recruited part-time consultants, all financed with the management fees earned on the loans and grants provided by GCF and other international financiers to IFAD for ARCAFIM.
39. **Role and Approach of Host Bank.** The regional Host Bank, in East Africa the Equity Group, will manage the investment of the ARCAFIM resources and services (financial and non-financial) to the programme target groups, based on ARCAFIM eligibility criteria and other terms and conditions, agreed upon at the programme design and included in the loan agreement between IFAD and the Host Bank. The Host Bank will also perform the role of the GCF Executing Entities for ARCAFIM. The Host Bank will ensure utilization of ARCAFIM resources exclusively to agreed targets, detailed monitoring of the investments, and periodic reporting of the ARCAFIM progress against agreed key indicators. The Host Bank will also coordinate the ARCAFIM-financed technical assistance support to the end target groups to improve their capabilities to participate in CCA finance operations. There are three layers of project management activities under the ARCAFIM programme – i.e.

ARCAFIM Coordination Unit at IFAD, Project Management Unit (PMU) at Host Bank, and ARCAFIM Focal Points at Equity Group Country Subsidiaries. Main roles and responsibilities of each layer are described in Table 7 below. The details of the roles of the Banking Group Head Offices, Country Subsidiaries, and different technical departments of the Host Bank in the ARCAFIM lending operations and in TA provision will be defined in detail in the ARCAFIM Operations Manuals to be developed for Equity Group.

Table 7: Roles and Responsibilities for project management activities under ARCAFIM Project

ARCAFIM Facility Coordination Unit at IFAD	PMU at Host Bank	ARCAFIM Focal Points at country subsidiaries
Manage the fund flows and reporting requirements of ARCAFIM Facility to the financiers	Manage the fund flows and reporting of ARCAFIM Facility	Manage the fund flows and reporting requirements of ARCAFIM Facility
Maintain close relationship and interface with PMU at HB as well as financiers	Maintain close relationship and interface with IFAD ARCAFIM Facility Coordination Unit, as well as with the HB's ARCAFIM Focal points at country subsidiary	Maintain close relationship and interface with PMU at HB
Support the setting up ARCAFIM Database system in Host Bank, and manage the data collection from the system	Setting up ARCAFIM Database system in HB, and manage the data collection from the system	Setting up ARCAFIM Database system in country subsidiary, and manage the data collection from the system
Retention and maintenance of quality filing system of ARCAFIM loan agreement	Supporting initial roll out of the ARCAFIM information system / database to country subsidiaries	Retention and maintenance of quality filing system of risk sharing agreements between HB and subsidiaries
Preparation of regular and ad hoc reports for use by various internal stakeholders and financiers	Retention and maintenance of quality filing system of ARCAFIM loan agreement and risk sharing agreements between HB and subsidiaries	Maintain a database of ARCAFIM eligible transactions under the program
Support and oversight in the analysis and reporting on the impact data, including the ESMS and CCA data for the HBs	Maintain a database of ARCAFIM eligible transactions under the programme	Collect the impact data from the investments, including environmental and social management and climate adaptation benefit data
Review and provide feedback if necessary progress on implementation of GESI plan	Receive and report on the impact data from the investments, including environmental and social management and climate adaptation benefit data	Manage external audit exercise for the Facility
	Manage external audit exercise for the Facility	Guide the implementation of and reporting on the GESI action plan by PFIs and other service providers; provide advice and assistance as necessary
	Oversee implementation of and reporting on GESI action plan; provide advice and assistance as necessary	

40. As described under Component 1, the Host Bank can utilise various alternative channels to effectively reach the ARCAFIM target group with the CCA financing services. In the East Africa Region, the Equity Group operates in ARCAFIM target countries with a wide rural branch network supported by a large number of banking agents. In total, the Group has over 330 branch offices and over 53,000 agents in the ARCAFIM target countries. With this significant outreach and its history as an active lender to small-scale farmers, the Equity Group is well equipped to provide CCA loans direct to smallholders and rural MSMEs. Therefore, direct loans to end borrowers are expected to have a large share of the ARCAFIM portfolio in East Africa. There will, however, also be loans issued through the wholesale lenders such as rural Savings and Credit Cooperatives (SACCOs) and Microfinance Institutions (MFIs), which operate with large rural clienteles in this region.
41. **ARCAFIM Technical Advisory Services.** The implementation and management modality of the ARCAFIM technical support services under Component 2 will be tailored for each type and recipient of these services. For technical support to the Host Bank and to the intermediary PFIs, to develop their CCA lending operations, IFAD will, jointly with the Host Bank, select the external service providers/consultants to provide the required services. The Host Bank will manage the recruitment of these service providers while IFAD no objection will be required to oversee that the services provided meet the expectations agreed in the ARCAFIM design.
42. Regarding the TA services to the end borrowers, the Host Bank will directly manage the service delivery, utilizing either the service units under Equity Bank Foundation, with ARCAFIM support, and recruiting external technical service providers when needed. This is a preferred solution to ensure full alignment between the financing and capacity building aspects of ARCAFIM and thereby increase the effectiveness of capacity building in increased access to finance results. To further emphasise ARCAFIM capacity building, all external service provider contracts will be outcome-based. IFAD, as the programme manager, will leverage its

experience and knowledge of relevant farmer organization networks, NGOs and other service providers to identify the most appropriate capacity building partners for a CCA financing programme of the ARCAFIM type.

43. For the services and development tasks related to policy dialogue and the CCA taxonomy, IFAD has the key implementation responsibility. The tasks in this important area will require close co-operation between IFAD and the financial institutions implementing ARCAFIM, who are also direct beneficiaries and immediate users of the developed taxonomy in their portfolio operations with the rural clientele.
44. **Preliminary Implementation Activities Leading to ARCAFIM Launch.** During the period leading to ARCAFIM effectiveness and official launch, the ARCAFIM-related staff at IFAD and the Host Bank will closely co-operate to ensure a smooth take-off of the programme activities. In East Africa, to support and co-ordinate these activities, a CCA Finance Specialist will be recruited at the banking group level to Equity Group, with funding from the ARCAFIM design grants. The expert will (a) support the design of appropriate CCA loan products for the bank to be launched under ARCAFIM, based on the developed CCA finance taxonomy, (b) co-ordinate the development of the lending mechanism appropriate for these CCA loan products, and (c) support the planning and organising of appropriate in-house training programmes and training/marketing materials for the Host Bank on ARCAFIM-financed lending. At the same time IFAD and the Host Bank will finalise the preparations for the selection and training of appropriate local wholesale on-lending institutions to take part in the ARCAFIM lending and develop the framework and action plans for capacity building of small producers, their organisations, and the borrowing MSMEs in the CCA operations. Under the guidance of a GESI expert appointed to the PMU, gender and social norms diagnostic studies will be undertaken in the four participating countries during early implementation and the findings will guide the development of the detailed GESI action plan.
45. **Monitoring and Evaluation (M&E).** The overall M&E approach for ARCAFIM is built around its Theory of Change and Log Frame and builds in adaptive management so that the programme can regularly assess, learn and adapt to improve its climate adaptation outcomes. Details on the Monitoring, Reporting and Evaluation System are proposed in Section E.7, and the system will be further refined during the inception phase with the necessary inputs of stakeholders in the M&E process. While IFAD will lead the M&E reporting to GCF for the programme, the Host Bank, as key implementer of the programme, will have a prominent role in data collection and analysis.
46. **ARCAFIM Contractual Arrangement.** ARCAFIM has two level of contractual arrangements – upstream and downstream. In the upstream arrangement, the IFAD intends to receive financial resources from the international financiers, including GCF, based on bilateral financing agreements to be entered into between the international financiers and IFAD. In the downstream arrangement, the Host Bank (Equity Bank (Kenya) Limited) will receive the loan from IFAD and make a contribution equal to the amount of the loan that the Host Bank received from IFAD, to be on-lent to the final beneficiaries or financial intermediaries through Host Bank or other country subsidiaries (EBUL, EBR, and ECTL).

Upstream:

1. Limited recourse funding agreements with the international financiers (including the FAA with GCF).
2. Grant agreements with GCF and international financiers.
3. An inter-creditor agreement between the international financiers and IFAD (if agreed with all other international financiers).

Downstream:

1. IFAD loan agreement with the Host Bank (i.e. Equity Bank (Kenya) Limited), including the risk-sharing arrangement between IFAD and the Host Bank (the “Subsidiary Loan Agreement”).
2. IFAD technical assistance and grant agreements with the Host Bank.

Upstream ARCAFIM Contractual Arrangement with GCF. IFAD will enter into a FAA with GCF under which IFAD, in its capacity as Accredited Entity, shall administer the relevant GCF Proceeds to be used for the financing of ARCAFIM and channel such GCF Proceeds to Host Bank, in accordance with the AMA and the terms and conditions to be agreed in the FAA. The requested GCF Loan amount is USD 45 million, which consists of USD 21 million to be utilized for the 1st loss tranche and USD 24 million for mezzanine tranche under the risk sharing arrangement in the loan agreement between IFAD and Host Bank. IFAD’s repayment obligation to GCF is limited to obligations to principal, interest, fees and any other costs related to the GCF Loans (the “Reflowed Funds”) received from Host Bank by way of repayment

under the Subsidiary Loan Agreement (limited recourse), and such repayment obligations will be subject to the operation of the risk sharing mechanism.

Downstream ARCAFIM Contractual Arrangement with Equity Bank (Kenya) Limited (EBKL). Equity Bank (Kenya) Limited is the Borrower as well as the Executing Entity for ARCAFIM for East Africa. EBKL will on-lend the loan received from IFAD to Equity Bank Uganda, Equity Bank Rwanda, and Equity Bank Tanzania through sub-loan agreements to be executed between EBKL and each of the three country subsidiaries. The country allocation among four countries is expected as follows – Kenya: 55%, Uganda: 25%, Rwanda: 10%, and Tanzania: 10%. The Subsidiary Loan Agreement will provide for the risk sharing arrangement between IFAD and Host Bank. The risk sharing mechanism is further described in the next section and the risk-sharing agreement may equally be a stand-alone agreement for the convenience purposes.

47. **Risk Sharing Mechanism under the Subsidiary Loan Agreement.** In order for the Host Bank to recognize the credit protection, a risk-sharing application process will be introduced and stipulated in the Subsidiary Loan Agreement (or in a separate stand-alone agreement if advised by legal counsel). It operates as a reduction of the Host Bank's loan repayment obligation to IFAD, and the process is similar to the claims process in unfunded guarantee products. The loan repayment obligation from the Host Bank to IFAD changes through the risk-sharing application requested by the Host Bank and approved by IFAD, based on the materialized loss of the underlying loans through the pre-agreed request/approval process.

48. **Disbursement / Recycling / Repayment process with EBKL.** During the availability period of the first 5 years, the Host Bank will make a disbursement request to IFAD based on the disbursement projection every six months. Each participating country subsidiary will be able to make a disbursement for the Loans qualifying under the ARCAFIM eligibility criteria and CCA taxonomy (the "Qualifying Loans") from the funds that received from IFAD, and its own contribution equal to the fund. Once the Qualifying Loan is disbursed, the Host Bank should submit the inclusion request to IFAD to notify IFAD of the Qualifying Loan, so that IFAD can monitor the portfolio. During the investment period of the first ten years, the Host Bank is allowed to recycle the principal repayments of the Qualifying Loans, as a revolving facility. During the repayment period of the last 5 years, the Host Bank will repay the principal amount to IFAD in accordance with the repayment schedule under the Subsidiary Loan Agreement.

B.5. Justification for GCF funding request

49. **Requirement of GCF Funding: Limited Alternative Options for CCA Financing.** As discussed above in detail, ARCAFIM, with financing from the GCF and the programme co-financiers, will provide resources for the financing of the type of CCA adaptation investments, for which very limited alternative finance is available in the target countries. Low Income Countries only received 8% of all climate financing compared to 70% invested in Middle Income Countries (UNEP 2022 Adaptation Gap Report). Furthermore, according to the Climate Policy Initiative ³⁸, climate financing in Africa is US\$ 29.5 billion annually, far short of the US\$ 277 billion needed annually for countries to meet their nationally determined contributions (NDCs) by 2030. In East Africa, annual flows total USD 10 billion compared to an annual demand of 82 billion. Climate financing on the continent is more balanced between adaptation and mitigation than in other regions: mitigation activities represented 49% (USD 14.6 billion) of climate finance flows compared to 39% (USD 11.4 billion) in adaptation, and 12% (USD 3.5 billion) in activities generating dual benefits. Still, adaptation funding would need to increase six-fold to meet the estimated USD 62 billion annual need. In terms of sectors, funding of adaptation activities in AFOLU (agriculture, forestry and other land use) totalled USD 2.8 billion, or just 10% of total climate finance flows. The private sector investments, that are urgently needed to scale adaptation solutions, represented only 14% (USD 4.2 billion) of climate finance in Africa. This is lower than in other regions, and was invested primarily in mitigation projects (81%).

50. The barriers for rural CCA financing are high and relatively similar in all the targeted economies. General economic and legal barriers include insufficient financial sector regulations and debt resolution regimes curtailing climate credit creation. Lack of borrower knowledge of CCA options and skills to develop sound investment proposals reduce the bankable demand for CCA finance. On the supply side, lack of climate finance and especially CCA finance knowledge and capacity in private financial institutions; lack of access to medium and long-term capital by local financial institutions; and lack of appropriate risk management solutions reduce the private FI interest to invest in rural CCA projects. High up-front costs and risks for developing new business lines in green and particularly CCA adaptation finance further decrease this investment interest.

³⁸ CPI, Landscape of Climate Finance in Africa, September 2022.

51. The ARCAFIM interventions provide financial and non-financial solutions and offer risk cover for the Host Bank in the ARCAFIM regional facilities together with competitive long-term funding, which aim to remove the above type of barriers for mainstreaming CCA adaptation finance in the financial sectors of the participating countries.
52. Considering the substantial and multi-dimensional nature of the current barriers, it is highly unlikely that CCA finance mainstreaming will happen in the private financial sectors in Africa without support from programmes such as ARCAFIM. At the same time the interest by the leading commercial bank in the region to partner with international financiers in the ARCAFIM initiative clearly shows that paradigm change towards more private sector CCA funding is possible if appropriate types of incentives are provided to the private banks to enter this market.
53. **Rationale and Level of Concessionality.** Higher default rates in CCA financing targeting small producers and rural SMEs involved in food systems, in combination with high acquisition and transaction costs, serve as a deterrent for commercial banks and other intermediaries to engage in such lending in low-income regions of Africa. According to a recent study by Aceli Africa³⁹ on agri-lending in Sub-Saharan Africa, the average agri-lending portfolio default rate of commercial banks are estimated at 6% and in the 4.9-7.7% range, 3-5% higher than commercial lending in other sectors. The perception among commercial banks for agriculture climate resilience and adaptation financing is that it is even riskier, although it may prove to be exactly the contrary: increased climate resilience can increase the long-term ability of the borrowers to serve their loans, however this is yet to be proven to the financial sector operators. Therefore, one of the goals of ARCAFIM is to gather comprehensive data sets for climate adaptation finance and make it available for commercial lenders in the target countries to make more informed choices in the future.
54. Given the sizable unmet annual need for adaptation financing in Africa, the marginal role currently played by the private sector in financing climate adaptation activities, and the perceived risks of financing agriculture climate adaptation and resilience, and thus considered higher than standard agri-lending, the concessional elements of ARCAFIM are justifiable to incentivize the Host Bank to dedicate resources and effort to enter this field.
55. Regarding pricing of the loans to end clients, the Host Bank and other PFIs in the ARCAFIM financial ecosystem will charge sufficient margins to ensure financial sustainability of the operation. Due to the concessional elements provided by ARCAFIM to the Host Bank, the ARCAFIM end borrower interest rate will be at the low end of existing market rates in the target countries, which under normal conditions would not be possible to micro-level clients in rural areas. According to ARCAFIM Supply and Demand assessment, an increasing number of financial institutions (including commercial banks, microfinance institutions and SACCOs) offer agricultural lending products, however the conditions for accessing the more competitive loans often exclude smallholder farmers. The pricing varies significantly in the region and between financial institutions, ranging from 8% - 96% per year among the surveyed institutions. Those financial institutions that offer lower interest rates to the agriculture sector, especially to small-scale farmers, can in most cases only do so with support of concessional capital. See below table with summary of annual interest rates in the target region:

Table 12: Interest Rate Survey Results Summary

³⁹ <https://aceli africa.org/bridging-the-financing-gap-unlocking-the-impact-potential-of-agricultural-smes-in-africa/>

Country	Commercial Banks				Microfinance institutions				SACCOS and Fintechs			
	Av. Annual interest rate		Av maturity		Av. Annual interest rate		Av maturity		Av. Annual interest rate		Av maturity	
	FI's info	Farmer's view	FI's info	Farmer's view	FI's info	Farmer's view	FI's info	Farmer's view	FI's info	Farmer's view	FI's info	Farmer's view
Kenya	13%	16.3%	Up to 5 years	12 months	18% - 24%	22.7%	Up to 48 months	24	8% - 10%	12.7%	No data	12 months
Uganda	10% - 18%	22%	Up to 15 years	18 months	12% - 48%	24%	Up to 36 months	24	30%	18%	Short-term	21 months
Tanzania	9% to 25%	10.3%	Up to 15 years	11 months	18% - 96%	24.3%	Short-term (several months)	12	24% - 36%	20%	Short-term	12 months
Rwanda	15% to 18%	16.25%	Up to 15 years	12.5 months	18% - 25%	No data	Up to 10 years	No data	22% 24%	21.3%	Short-term	10 months

56. With the ARCAFIM preferential lending terms and risk management solutions offered to the Host Bank, it is expected that (i) the participating financial institutions are incentivised to develop a CCA product portfolio, (ii) the rural CC vulnerable groups can have access to the developed CCA finance products, and (iii) the interest rates offered by the Host Bank and their on-lending PFIs to end borrowers will be competitive and at the low end of current market-based interest rates charged this market segment in the target countries. During the annual ARCAFIM performance assessments, IFAD will conduct a comparative review of the ARCAFIM interest rates against the going market in each target country and provide guidelines for the ARCAFIM interest rates.

57. **GCF Grant Element for CCA Finance Innovations and Capacity Building.** The ARCAFIM proposal for East Africa includes an element of US\$ 20 million grant financing for strategic technical advisory and capacity building services, to ensure effective delivery of climate change adaptation financial services to the vulnerable target groups. CCA finance is an emerging field, especially for the ARCAFIM types of micro-scale investments through private financing channels. Therefore, significant non-financial support is required to foster innovation in the CCA finance delivery methodology including the introduction of the appropriate CCA finance taxonomy and the adoption of digital technology-based solutions to encourage wider rural outreach. At the same time grant finance is required to ensure effective demand for the offered CCA services to increase end-borrower knowledge of CCA adaptation options and thereby to stimulate the CCA finance demand.

58. Within the US\$ 20 million of ARCAFIM non-financial services in the East Africa region, the proposal is to include a US\$ 10 million TA grant from GCF. This is 18 per cent of the total requested GCF financing or 5 per cent of the total ARCAFIM budget, which will be matched by additional grant financing by other international financiers of ARCAFIM and cost-sharing by the PFIs (see below Section C1 – Financing by Components). The proposed level of GCF grant support is highly justified due to the large unmet demand for CCA financing among ARCAFIM target groups and the need to develop new technical approaches that can be replicated elsewhere to substantially increase private sector participation in CCA finance in Africa.

59. **COVID-19 and War in Ukraine Context.** As a consequence of the COVID-19 pandemic and the measures prescribed globally to prevent its spread since 2020, GDP growth rates across all ARCAFIM target countries started to drop. Since the beginning of 2022, the Russian invasion in Ukraine and subsequent, on-going conflict have made the livelihoods of rural low-income people even more fragile in Eastern and southern Africa. In such a situation, in which many lenders withdrew from the rural sector they deemed risky and unprofitable, interventions such as those proposed by ARCAFIM are essential to facilitate and re-establish lending to investments by the agri-MSMEs and smallholders, thereby helping them build back better and in a sustainable manner. By investing US\$ 200 million in making the agricultural sector in the East Africa region more resilient, ARCAFIM will act as counter-cyclical financier to reduce the consequences not only of the current crisis but also future climate-related or other external shocks on the agriculture sector and the overall economy. Furthermore, ARCAFIM will contribute to rural job creation, more stable incomes and food security in the target countries at a time when food commodity prices are rapidly increasing in wake of the war in Ukraine.

60. The current crisis clearly strengthens the justification of the GCF and other international financiers for their investments in ARCAFIM. This support has been critical in ensuring the commitment of the leading commercial bank in this climate change adaptation programme during the time when private banks have generally been conservative in their engagement in new type of ventures. If successfully implemented in the current, demanding economic environment, the chances of major expansion and replication of the developed CCA finance approaches are obvious when the overall economic conditions will again start to improve in the region.

B.6. Exit strategy

61. The exit strategies and related sustainability of the ARCAFIM benefits and results need to be approached at various levels. Below, the key sustainability and exit strategy elements of ARCAFIM are summarised.
62. *End Beneficiary Impact Sustainability.* At small scale producers and MSME level, ARCAFIM will promote and support modernised CCA production systems that are market driven and suitable to local agro-ecological zones and climatic conditions. The comprehensive ARCAFIM approach to mentoring and training in technical aspects of climate-smart farming and in relevant business skills is expected to significantly improve small-scale agricultural producers' potential to sustain the benefits from ARCAFIM interventions even when the project support ends. At the farmer group and cooperative level, the ARCAFIM interventions aim at training these organisations to professionally conduct their business and to be more financially robust and self-managing partners in the environmentally friendly value chain operations. Being successful in this area will be a key factor for sustaining the ARCAFIM results and benefits in the period after the project closure, including continued and expanded access to financial services for working capital and investments, based on improved skills base and linkages with the financial sector and markets. A strong GESI focus, addressing both the symptoms and underlying causes of inequality and exclusion, will enable women and youth to engage fully in the range of CCA finance opportunities and thereby contribute to the sustainability of programme outcomes.
63. *Sustainability of Impact in Participating Private Sector Financial Institutions* is in the core of ARCAFIM's operational sustainability and exit strategy. ARCAFIM will provide global top-end expertise to the regional Host Bank and its wholesale borrower institutions, to ensure that the financial and non-financial services provided will deliver effective, sustainable and transformational adaptation finance solutions. Through its analytical work on CCA finance supply and demand and its related capacity and systems development interventions, ARCAFIM will significantly contribute to reducing the PFIs' risk perception associated to this sector's lending. At the same time the ARCAFIM blended credit facility with its risk management solutions will enable the Host Bank and its local partner FIs to invest at scale in profitable climate compatible agriculture solutions and technologies and to identify new climate-smart business opportunities in this sector. With skills developed and experience gained, participating financial institutions will be in a position to profitably continue with the adaptation finance operations even when the direct support to them from ARCAFIM ends.
64. *Environmental Sustainability.* The identification and promotion of the use of the best available CC adaptation technologies and inputs will maximize the environmental sustainability of the ARCAFIM-supported agricultural activities. The recommended and prioritized adaptation measures will ensure the protection of natural resources, maintain soil nutrient balance, reduce land degradation and pollution, and improve biodiversity. The used CCA technologies will strengthen the optimal use of natural, social, and human assets and reduce the negative impact of food production on the environment. This will make it possible to increase rural production and incomes of the ARCAFIM target group without cultivating more land or adversely affecting the environment, ensuring the longer-term sustainability of these activities even in a situation in which the overall adverse climate trends in the region are likely to continue. Furthermore, all physical investments are carried out by private sector stakeholders, including MSMEs and small-scale agriculture producers, and they have full ownership of the installed equipment, machinery, infrastructure or land improvements. All maintenance functions, as well as renewal of investments as required, will be under the responsibility of the private owners.
65. *Sustainable Access to Financial Services.* As an additional sustainability element for the end-beneficiaries, the ARCAFIM CCA finance operations will be implemented in association with capable and interested partners from the financial sector such as the Host Bank and local FIs. All financial transactions will be conducted through the bank accounts in financial institutions. The participating small producers and MSMEs will thus increasingly gain knowledge of and familiarity with the banking services and importantly, develop credit histories which will facilitate their ability to access bank funding in the future and in that way support the continued development of their climate-smart farming and business operations.

66. *Exit Strategy for International Financing and ARCAFIM Replicability.* The Host Bank will repay the loans to IFAD according to the Subsidiary Loan Agreement signed between the Host Bank and IFAD, including for successful repayments from end clients and recoveries from defaulted clients during a defined period after the programme completion. Subsequently, IFAD will distribute the proceeds among the international financiers in accordance with the loan agreements and envisaged Inter-creditor Agreement. With successful ARCAFIM implementation, the capacity of the Host Bank will be strengthened to independently mobilize climate finance and manage CCA programmes, potentially in the capacity of GCF Direct Access Entities.
67. The ARCAFIM implementation will create substantial replication opportunities. Following the ARCAFIM design and launch in East Africa, the plan is to replicate this climate finance mechanism in other regions of the continent including North, South and Central/Wes Africa. Further, the successful implementation of this project would encourage other financial institutions in the identification of new business opportunities in climate finance and change their risk perception of agriculture adaptation financing (see the discussion below on paradigm shift potential), using ARCAFIM's basic concepts of blended funding, appropriate CCA taxonomies and top-class TA.

C. FINANCING INFORMATION

(a) Requested GCF funding (i + ii + iii + iv + v + vi + vii)	Total amount			Currency		
	55.0 million			million USD (\$)		
GCF financial instrument	Amount		Tenor	Grace period		Pricing
(i) Senior Loans	0”		12 years	7 years		
(ii) Loans	45.0					
(iii) Equity	0					
(iv) Guarantees	0					
(v) Reimbursable grants	0					
(vi) Grants	10.0					
(vii) Results-based payments	0					
(b) Co-financing information	Total amount			Currency		
	145.0			million USD (\$)		
Name of institution	Financial instrument	Amount	Currency	Tenor & grace	Pricing	Seniority
IFAD PSFP	<u>Loans</u>	<u>30.0</u>	<u>million USD (\$)</u>	<u>12</u> years <u>7</u> years		Options
IFAD PSFP	<u>Loans</u>	<u>15.0</u>	<u>million USD (\$)</u>	<u>12</u> years		Options
IFAD PSFP,	<u>Grant</u>	<u>10.0</u>	<u>million USD (\$)</u>	<u>12</u> years	<u>0 %</u>	
Equity Bank Kenya and other subsidiaries (Uganda, Rwanda, Tanzania)	<u>Loans</u>	<u>90.0</u>	<u>million USD (\$)</u>	-	-	-
Total financing (c) = (a)+(b)	Amount			Currency		
	<u>200.0</u>			<u>million USD (\$)</u>		
(d) Other financing arrangements and contributions						

C.2. Financing by component

Component	Output	Indicative cost million USD (\$)	GCF financing		Co-financing		
			Amount million USD (\$)	Financial Instrument	Amount million USD (\$)	Financial Instrument	Name of Institutions

Component 1: Effective Financing for Rural Adaptation Targeting Small Producers and Rural MSMEs	Output 1.1 Regional Host Bank accesses resources to provide CCA loans to smallholders and MSMEs	180	45	Loan	45	Loan	IFAD PSFP
	Output 1.2 Local intermediaries have access to wholesale credit lines to provide CCA loans				90	Loan	Equity Bank
Component 2: Innovations and Capacity for Rural Adaptation Investments	Output 2.1 Improved readiness and capacities of all PFI to make appropriate climate finance investments	4.99	2.495	Grants	2.495	Grants	IFAD PSFP
	Output 2.2 Improved CCA investment capacities of smallholder farmers and MSMEs	9	4.5	Grants	4.5	Grants	IFAD PFSP
	Output 2.3 Improved enabling environment of CCA through application of taxonomy and best practices by climate finance ecosystem	1.494	0.747	Grants	0.747	Grants	IFAD PSFP
Programme Management Cost	PMC	4.516	2.258	Grants	2.258	Grants	IFAD PSFP
Indicative total cost (USD)		200	55	145			

C.3 Capacity building and technology development/transfer

C.3.1 Does GCF funding finance capacity building activities?

Yes ☒ No ☐

C.3.2. Does GCF funding finance technology development/transfer?

Yes ☒ No ☐

68. Capacity building and rural CC adaptation technology transfer are integral parts of the ARCAFIM programme. It will address non-financial barriers currently preventing greater CCA financing in the ARCAFIM target regions with three general types of capacity building and technology-related interventions. *Firstly*, it will strengthen the awareness and capacity of Participating Financial Institutions (PFIs) to offer rural CCA finance services and strengthen innovative technology enabled solutions of the PFIs to reach out to small producers, including capacity building to address deep-rooted social and gender norms. *Secondly*, it will develop the capacities and skills of small-scale producers and rural MSMEs to invest into technologies and solutions that are proven to improve their climate change resilience. *Thirdly*, ARCAFIM East Africa will provide investment resources of US\$ 180 million exclusively targeting CCA solutions and technologies. *Fourthly*, ARCAFIM will improve climate finance enabling environment through CCA finance policy dialogues and the development of a Taxonomy for CCA Rural Finance that can be implemented in East Africa and more widely in other developing regions. The details of these planned technical support and technology transfer activities and implementation plans are presented above in Sections B.3 and B.4.
69. Within the US\$ 20 million of ARCAFIM non-financial services in East Africa, the proposal is to include a US\$ 10 million TA grant from GCF. This is 18 per cent of the total requested GCF financing or 5 per cent of the total ARCAFIM budget, which will be matched by additional grant financing by other ARCAFIM financiers and cost-sharing by the PFIs (see Section C1 – Financing by Components). The proposed level of GCF grant support is highly justified due to the large unmet demand for CCA financing among ARCAFIM target groups and the need to develop CCA capacities and new technical approaches that could significantly speed up the expansion of private sector CCA finance activities in the target regions from their current low base.

D. EXPECTED PERFORMANCE AGAINST INVESTMENT CRITERIA

D.1. Impact potential

70. ARCAFIM will contribute to increased climate-resilient sustainable development and its outcomes are directly aligned with GCF's ARA1: Most vulnerable people and communities and ARA2: Health, well-being, food and water security. The key outcomes of ARCAFIM include (i) ARCAFIM PFIs expand and mainstream CCA finance in the region resulting in increased CC resilience and improved food security levels of rural communities; and (ii) Improved capacity of PFIs and agriculture value chain participants to adapt to risks imposed by climatic changes. Co-benefits from successful ARCAFIM implementation include increased rural household incomes, employment generation, improved biodiversity and climate change mitigation in the targeted communities.
71. Small-scale producers, microenterprises and other rural poor involved in local food systems are the main end-beneficiary target group of this program. Due to environmental, technical, economic, social and political factors, these small producers and MSMEs disproportionately experience the effects of climate change and external shocks on their livelihoods. To maintain and improve their levels of productivity, they urgently need dedicated investment resources to build stronger resilience to climate change but have been struggling so far to attract sufficient financing for this purpose. By making appropriate climate adaptation finance available to these target groups and improving the capacity of both demand and supply side actors to invest in climate adaptation technologies and practices, ARCAFIM will improve the capacity of agriculture value chain participants to anticipate, absorb and adapt to risks imposed by climatic changes.
72. As a result, the target groups will experience the following impacts:
- (i) Stronger adaptive capacity and climate resilience through better technical capacity and ability to invest in climate resilient agricultural technologies and methods that reduce vulnerability to risks and future losses from climate change.
 - (ii) Improved continuous access to private sector CCA finance for small producers.
 - (iii) Improved food security through investment in climate resilient agricultural technologies and methods which improve production practices and reduce risks and crop losses from climate change and contribute to increased crop yields.
 - (iv) Co-benefits of *increased and more stable incomes through* adoption of modern adaptation solutions which increase productivity, *job preservation and new green job creation* for vulnerable groups through increased investments and economic activity in agribusinesses, *biodiversity benefits* through strengthening the optimal use of natural, social and human assets, and *climate change mitigation* through enhanced agriculture technologies that also reduce emissions.
73. Through revolving loans during the implementation period of 12 years, the program is expected to provide 260,000 loans worth US\$ 266,000,000 across four East African countries, benefitting over 1.5 million people directly and indirectly. The impacts for the target group will include:
- 208,000 households and MSMEs will adopt improved and/or new climate-resilient livelihood options
 - 268,000 households with 1,195,000 persons will experience improved food security as a benefit
 - 50% of beneficiaries are expected to be women and 30% youth
 - 208,000 ha of natural resources will be brought under improved climate-resilient management practices.

D.2. Paradigm shift potential

74. A progressive but rapid shift in agricultural practices in East will be critical as harsh climatic conditions will increase in many regions and new climatic threats for crop production and livestock keeping are projected to emerge. By 2030 - 2040, new and innovative agricultural systems need to be implemented in many regions where the climate will soon be no longer suitable for current practices. The lack of adequate and appropriate private sector financing for CCA investments is a serious threat for the materialization of this transformation process. Currently, there is a significant gap of well-functioning private sector CCA finance programmes in ARCAFIM target regions with clear replication potential. Public CCA financing efforts are heavily grant-based, short-term focused and small in scale. By making ARCAFIM a successful example and a showcase of commercial CCA finance, a paradigm shift in climate change adaptation finance can be achieved with the financiers as well as in the mindset of borrowers.

75. With ARCAFIM, the aim is to introduce a practical, widely implementable model for achieving a paradigm shift towards systematic large-scale use of private financial resources for rural CCA investments, the impact of which would go well beyond the direct impacts and time frame of the Programme. ARCAFIM's TOC and its investment logic recognise that despite urgent need for increased investment volumes in low-income and lower middle-income countries in Africa that are facing high climate stress, only very limited financing is currently allocated to CC adaptation investments. Particularly, financing by private sector financial institutions rarely includes loans for the rural adaptation projects of small producers. This has led to a very low overall level of CC adaptation investments in the food systems and rural value chains.
76. The ARCAFIM interventions aim to change this situation by introducing a CCA financing model that tackles the key barriers for CCA finance expansion and which at the same time is both sustainable, scalable and replicable. Its interventions include blended financial resources for CCA finance investments to the Host Bank and to its local on-lending partners; appropriate risk management solutions; and targeted and focused capacity building and TA to both the participating financial institutions and the end-users of the CCA finance. Particularly, ARCAFIM will support the analytical development of the taxonomy for CCA finance operations that will support and guide the future implementation of private CCA finance operations in different types of environments in Africa.
77. While the direct ARCAFIM benefits will include the increased CC resilience of the targeted small-scale producers and MSMEs, improved food and water security levels of rural communities, and increased and sustainable rural household incomes, the obvious scaling-up and replication opportunities are expected to create a basis for a much wider longer-term impact through the ARCAFIM-related paradigm shift. With the successful ARCAFIM implementation, the capacity of the Host Bank will be strengthened to actively participate with its own resources in CCA finance operations on a much wider scale, and independently mobilize climate finance and manage CCA programmes. In East Africa, this learning opportunity is an openly expressed strategic reason for the partnering of the Equity Group with ARCAFIM, which is expected to support the wider climate finance expansion strategies of this leading commercial bank in its region.
78. For wider application of the ARCAFIM model outside the direct ARCAFIM stakeholders, IFAD, the other co-financiers, and the Host Bank will proactively use different types of regional and international networks to share knowledge and information of the ARCAFIM performance and achieved results. When systematically carried out, the successful implementation of this programme is expected to encourage other African financial institutions and international financiers to re-visit their policies on climate finance and seek new rural business opportunities based on climate smart agricultural practices and modern CC adaptation technologies. It is expected that the key role in ARCAFIM of the leading commercial bank in the East Africa region (the Equity Group) will substantially increase this demonstration effect and encourage other financial institutions to increasingly participate in CCA finance operations. Furthermore, following the ARCAFIM design and launch in East Africa, the IFAD plan is, as indicated, to replicate this private climate finance mechanism in other regions of the continent including Southern, North, and West/Central Africa.
79. Finally, to further facilitate the materialisation of this paradigm change, IFAD will lead the ARCAFIM-related efforts to improve the enabling environment for CCA Finance in Africa. IFAD would work closely with GCF-led network of National Designated Authorities to ensure that the developed CCA finance best practises will become broadly known and utilized. At policy level, the work will focus on incorporation of Climate Adaptation Finance Taxonomy developed by ARCAFIM into the national frameworks for the management and tracking of climate finance at country level.

D.3. Sustainable development

80. The proposed ARCAFIM programme is fully aligned with relevant Sustainable Development Goals and the GCF approach and requirements on sustainable development potential in a CC adaptation programme of the ARCAFIM type. Particularly important are the sustainable development potential and co-benefits of the programme in the areas of gender- responsive development, economic benefits, social benefits, and environmental co-benefits.
81. **Gender- Responsive Development.** ARCAFIM will take a deliberate, proactive, and positive approach towards gender equality and women's empowerment. To maximize the economic and social benefits at household level, capacity building and behaviour change communication to initiate critical reflection on deep-rooted social and gender norms, which perpetuate inequalities will be conducted at all levels (from individuals, households, communities and groups, through to the host bank, PFIs and service providers). This will bring about a critical

paradigm shift towards GESI-inclusive CCA finance.. Through the network of PFIs, ARCAFIM will apply methods and approaches to increase financial and technical services targeting small-scale female farm operators and women-led agribusinesses. The programme technical advisory services will have a required gender balance of end beneficiaries, aiming at 50/50 ratio in service delivery, and at PFI level, include activities to design appropriate CCA financing products for women. The investment component target is to invest 50% of programme resources to women-led investments and to investments generating employment for women. Overall, ARCAFIM will promote opportunities to address equitable access to and control over resources, opening greater opportunities for equal socioeconomic participation, including girls' and women's increased engagement in economic diversification.

82. **Economic Benefits.** Through successful Implementation of its activities, ARCAFIM is expected to result in major economic benefits to its rural target group. Immediate economic benefits will be gained at household level due access to finance and markets and with improved technical capacity and ability to invest in increased production volumes and in modern production systems, which will increase the crop yields and lead to higher incomes for farmers. At the same time the vulnerability to future losses will decrease and food insecurity due to climatic hazards will be avoided by adopting climate resilient agricultural methods technologies. For the SMEs in food value chains, ARCAFIM will improve incomes and sustainability with investments to resource use efficiency and productivity-enhancing technologies, which will make possible the systematic expansion of these small enterprises serving the rural sector.
83. **Social Co-Benefits.** The development and promotion of sustainable and adaptive farms and agribusinesses will contribute to several social benefits. Higher returns of land and labour will lead to improved psychological and moral well-being in the farming communities and relieve pressures associated with climate change-related hardships. Successfully implemented ARCAFIM interventions based on promoting the decent work agenda can also increase employment among vulnerable populations of women and youth, limit migration to towns and cities, and reduce conflicts over land and other limited resources. Higher and sustainable incomes levels would improve the opportunities to effectively use education and health services in the rural areas. Finally, participation in the rural savings and credit arrangements, SACCOs and MFIs with support of programmes of the ARCAFIM type has proven to be one of the most effective women and youth empowerment methods in Africa, often leading to substantial improvement of their economic and social position in rural communities.
84. **Environmental Co-Benefits.** With the ARCAFIM investments, the selected, prioritised adaptation measures will ensure the protection of natural resources, maintain soil nutrient balance, reduce land degradation, improve biodiversity, and reduce pollution. At the same time the use of best available adaptation technologies and inputs will minimise environmental damage as well as have a positive impact to climate change mitigation. These co-benefits of ARCAFIM will contribute to increased production without cultivation of more land or affecting the environment. Overall, the ARCAFIM-supported technologies and farm management solutions aim to strengthen the optimal use of natural, social and human assets; reduce the negative impact of food production to environment; and narrow the output gap.

D.4. Needs of recipients

85. As discussed above in various sections of this Funding Proposal, the proposed ARCAFIM activities are designed to directly respond to the needs of the recipients when financing CC adaptation investments of low-income rural populations experiencing CC stress in target countries. In Table 13 below, a summary on the population, average incomes, and rural poverty in the four focal countries is presented, indicating low overall income levels and high concentration of poverty in rural areas.

Table 13: Population and Income in ARCAFIM East African Target Countries⁴⁰

Country	Population (Million)	Of Which Rural Population	GDP per Capita (US\$)	Rural Poverty Rate (%)
Kenya	52.6	72%	4,573	39 % ⁴¹
Uganda	44.3	84%	2,183	49 % ⁴²

⁴⁰ Source: World Development Indicators (WB-WDI) <https://datatopics.worldbank.org/world-development-indicators/>

⁴¹ World Bank using IHBS/SSAPOV/GMD, Poverty rate in the rural area (2015)

⁴² World Bank using IHBS/SSAPOV/GMD, Poverty rate in the rural area (2019)

Rwanda	12.6	82%	2,270	63 % ⁴³
Tanzania	58.0	64%	2,669	59 % ⁴⁴

86. The scale and intensity of climate risks and vulnerability to climate change within the target group are assessed in detail in the Country Vulnerability Assessments, summarised in Section B1 of this Funding Proposal. Based on these Assessments, the CCA taxonomy on eligible and bankable CCA investments for the needs of ARCAFIM client was developed during the design.
87. Considering the substantial and multi-dimensional nature of the current barriers for CCA finance, it is highly unlikely that CCA finance mainstreaming to the planned recipients would happen in the private financial sectors of the targeted countries without support from programmes of the ARCAFIM type. The commitment of the leading commercial bank to manage the programme and to co-invest its own resources into it increases the chances of successfully reaching the planned recipients with appropriate services. The developed CCA taxonomy and substantial ARCAFIM technical support are aimed to increase the chances for implementation success and later, create a basis for the scaling up and replication of the ARCAFIM model.

D.5. Country ownership

88. Climate change adaptation is a priority for all ARCAFIM participating countries. In particular, ARCAFIM will contribute to targets and commitments in National Adaptation Plans (NAPs), National Climate Change Policies and Strategies, National Communications (NCs), SDGs National Strategies for Disaster Risk Reduction and the Nationally Determined Contributions (NDCs). Each of the target countries has reiterated the importance of adaptation in their revised NDCs and the agriculture sector is a priority to ensure climate change resilience of communities. For the agriculture and rural development sectors, the scope for adaptation includes protecting, managing and restoration of rangelands; ensuring resilient access to water supply for productive purposes; promoting sustainable water harvesting and storage; scaling-up Integrated Water Resources Management approach and use efficiency; promoting use of renewable energy sources and energy efficient technologies; scaling up climate smart agriculture including agroecology; promoting climate resilient capture fisheries; promoting highly adaptive and productive livestock breeds; promoting development of climate resilient crop varieties and expanding postharvest handling, storage, value addition and marketing, among others.
89. These priorities are part of the initial taxonomy being developed for ARCAFIM that financial institutions can apply in the selection of investments. Through the adaptation options being financed, ARCAFIM will contribute to meeting the targets and commitments in the NDCs and national climate strategic priorities of all selected countries, as summarised in Table 14 below, covering the ARCAFIM target countries in East Africa region.

Table 14: Priorities of Participating Countries' NDCs.

Country	NDC Targets aligned with ARCAFIM
Kenya	Updated NDC priorities include promoting green investments, nature-based solutions, climate change resilience enterprises, climate-smart agriculture (CSA) and clean and efficient livelihood strategies, which enhance the climate resilience of communities through investments in locally-led climate change adaptation actions. The role of the private sector in climate actions is recognized for climate resilient development pathways.
Rwanda	Adaptation and resilience priorities draw upon the Green Growth and Climate Resilience Strategy adopted in 2011 with a time horizon of 2050. Promoting green foreign and domestic direct investment and other capital inflows (strengthening environment & climate financial mechanisms for more efficiency, effectiveness and impact and strengthening climate-proofing capital inflow in national economic planning).
Tanzania	To reduce the impacts of climate change variability and associated extremes such as droughts and floods, which have long-term implications to all productive sectors and ecosystems, particularly the agricultural sector.

⁴³ World Bank using IHBS/SSAPOV/GMD, Poverty rate in the rural area (2016)

⁴⁴ World Bank using IHBS/SSAPOV/GMD, Poverty rate in the rural area (2018)

Uganda

Adaptation is the priority response measure to addressing climate change. Priorities include building adaptive capacity at all levels, addressing loss and damage and increasing the resilience of communities, infrastructure and ecosystems.

90. IFAD, as the accredited entity, has experience in climate change adaptation with a focus on agriculture and rural development. IFAD invests in building resilience of rural populations and promotes better targeting of climate finance and inclusive rural finance for small-scale producers. Through the Adaptation for Smallholder Agriculture Programme and rural finance investments, IFAD has developed strong capacities in targeting investments to small-scale rural producers and MSMEs for climate change adaptation. Through ARCAFIM, IFAD will collaborate in East Africa with Equity Group, which has a strong African footprint and appropriate climate change-related strategies and action plans. The due diligence confirms the bank's capacities to deliver on the ARCAFIM objectives with the strengthening of some areas such as the reporting on adaptation benefits accruing from the investments.
91. To increase country-level ownership beyond the participation in the ARCAFIM proposal development and implementation, governance support and alignment with regional and national climate change strategies and policies will be instrumental. The NDAs from the participating countries have been engaged through the Concept Note and Full Funding Proposal development. The ARCAFIM concept was presented and discussed with each NDA to confirm the inclusion of their countries in the Programme and also obtain their inputs to shape the Programme. The presentation and discussion with the Kenya NDA was held in April 2023; for Rwanda the presentation and discussion was done in August and September 2022; for Tanzania the presentation and discussions were in February 2022 and for Uganda the presentation and discussion were held in October 2022. The NDAs confirmed the alignment of ARCAFIM with their national priorities such as mobilization of climate finance and the opportunities presented for private sector engagement. They reiterated the relevance of the ARCAFIM to identify viable climate change adaptation investments for the agriculture and rural development sectors. The inputs received from the NDAs were on the potential strategies for gender, youth and social inclusion in the programme; type of technical assistance that would be required particularly by the small scale producers and MSMEs; strategies for building synergies with existing programmes and projects and; capacity development potential for national agencies working with climate finance.
92. **Alignment to and potential complementarity with GCF and IFAD financed initiatives in the target countries.** In the ARCAFIM target countries, the project will benefit from synergies with IFAD and GCF investment portfolios. In particular, linkages will be built with country strategies and ongoing and upcoming projects that support development of climate resilient production systems and value chains for small-scale producers. In terms of IFAD country strategies in each of the four countries, which are developed alongside Governments, their strategic objectives focus on promoting sustainable production, marketing, access to finance, and climate adaptation and resilience, to which ARCAFIM is highly complementary.
93. In terms of projects, the synergies will be mutual between existing GCF and IFAD projects, helping to enhance the impact of ARCAFIM and vice-versa. Key ways that the existing projects will complement ARCAFIM will be to identify pipeline investees and collaborating partners for ARCAFIM-supported financing institutions. At the same time ARCAFIM can enhance the impact of existing IFAD and GCF projects by providing technical assistance and complementary financing to beneficiaries, in particular for the various projects aiming to develop value chains but in which access to finance remains a barrier.
94. In both directions, lessons and expertise from experience can be fed into the design and implementation of the ongoing and future initiatives. Of particular note in this regard is the green financing taxonomy to be developed through ARCAFIM that can serve as a resource for other green financial inclusion projects. Below in Table 15, GCF and IFAD projects in target countries in ARCAFIM East Africa with obvious synergy potential with ARCAFIM are listed.

Table 15: GCF and IFAD financed initiatives with ARCAFIM complementarity potential in East Africa

Country	Initiative	Potential areas of complementarity
<i>GCF-financed projects</i>		

Kenya	FP113: Towards Ending Drought Emergencies: Ecosystem Based Adaptation of Kenya's Arid and Semi-Arid Rangelands : Increase capacities of communities and local institutions to develop evidence-based landscape planning, by increasing accessibility to climate data and information; and enhancing the ability of community-based cottage industries to access markets and financial services.	• Data access for ARCAFIM borrowers • Collaboration on financial services activities • Strengthened local institutions in ARCAFIM areas
Kenya	Transforming Livelihoods through Climate Resilient, Low Carbon, Sustainable Agricultural Value Chains in the Lake Region Economic Bloc : Upcoming project through FAO to promote adaptation and mitigation technologies and practices, working through cooperatives and county governments, and promoting access to adaptation loans through technical assistance and de-risking with 2-3 local banks (including Equity Group).	• Alignment on technical assistance to Equity Bank to ensure complementarity • Potential collaboration on de-risking support • ARCAFIM finance as option for beneficiaries • Financial service activities benefitting from ARCAFIM green finance taxonomy
Kenya and Uganda	FP078: Acumen Resilient Agriculture Fund : Support innovative private social entrepreneurs by providing aggregator, digital platform, and innovative financial services to smallholder farmers, with the aim of enabling smallholders to respond to climate change more efficiently and effectively.	• Digital technologies and aggregator platforms can complement ARCAFIM investments and vice-versa • Collaboration on financial services activities
Rwanda	FP073: Strengthening Climate Resilience of Rural Communities in Northern Rwanda : Restore and enhance ecosystems in degraded watersheds and increase the capacity of communities to sustainably manage forest resources.	• Potential pipeline for ARCAFIM • ARCAFIM finance can complement landscape management activities
	FP167: Transforming Eastern Province through Adaptation : Restore ecosystems and transform fragile and degraded landscapes, and develop markets and value chains in climate-resilient agricultural and tree products that are sustainably managed. Local microfinance institutions and investors will co-finance initial funds.	• Collaboration on financial services activities • ARCAFIM finance can complement sustainable value chain development activities and vice-versa
Tanzania	FP041: Simiyu Climate Resilient Project : Strengthen government's community-based adaptation planning, along with the climate resilience of water supply infrastructure, sanitation services and agricultural practices.	• Strengthened local institutions in ARCAFIM areas • ARCAFIM finance can complement infrastructure and capacity building investments and vice-versa
	FP179: Tanzania Agriculture Climate Adaptation Technology Deployment Programme : Facilitate access to agricultural climate adaptation technologies through a lending/de-risking facility, plus technical assistance. Strengthen also awareness of climate threats and risk-reduction for government, industry actors and financial sector.	• Collaboration on financial services activities • Awareness raising can complement ARCAFIM activities
Kenya, Rwanda, Tanzania, Uganda	Pathways to Dairy Net Zero in East Africa currently under pipeline planning to be submitted to GCF consideration, implemented and co-financed by IFAD . The project will include a range of technical and financial support interventions to reduce emissions and increase climate resilience of the dairy sector. Includes Green Dairy Financing Facility for medium to large companies, and would rely on ARCAFIM for the small producer financing.	• Mutually complementary technical assistance activities for producers and financial service provider beneficiaries from both projects • Shared pipelines for the financing products of both projects • Efforts to ensure complementarity of financial offerings rather than competition
IFAD-financed projects		
Kenya	Rural Kenya Financial Inclusion Facility : Capacity building for rural finance institutions, combined with Business Development Services, and a Green Financing Facility and Rural Credit Guarantee Scheme. Also awaiting approval for supplementary funds for separate technical assistance and de-risking facility for green financing for youth employment.	• Collaboration on financial services activities and between participating rural financing institutions • Project will develop taxonomy of green finance models for youth that can be used by ARCAFIM host bank
Kenya	Kenya Cereal Enhancement Programme (Climate Resilient Agricultural Livelihoods Window) : Capacity building for climate resilient production and natural resource management, along with marketing support and support to link farmers to financial services.	• ARCAFIM finance can complement climate resilience activities and vice-versa • Potential pipeline for ARCAFIM institutions
Kenya	Kenya Livestock Commercialization Project : Support small-scale climate-smart livestock production through improved infrastructure, capacity building, e-vouchers, matching grants for entrepreneurs, and an investor forum.	• ARCAFIM finance can complement climate smart livestock activities and vice-versa • ARCAFIM finance as graduation for matching grant recipients • ARCAFIM promoted through investor forum
Tanzania	Agriculture and Fisheries Development Programme : Seed system development and promotion of Private-Public Producer Partnerships as well as other support to promote sustainable fishery development.	• ARCAFIM finance can complement across all activities and vice-versa • Potential pipeline for ARCAFIM institutions
Rwanda	Promoting Smallholder Export Agriculture Competitiveness : Enhance climate smart production in selected export-driven value chains, including infrastructure and Business Development Services.	• ARCAFIM finance can complement climate smart production and marketing and vice-versa • Potential pipeline for ARCAFIM institutions
Rwanda	Rwanda Dairy Development Project (current phase completing at end of 2023, Phase 2 currently under design): Phase 2 will include promoting access to finance for dairy producers and fostering productive alliances.	• Collaboration on financial services activities • ARCAFIM finance could benefit members of productive alliances
Uganda	Project for Financial Inclusion in Rural Areas : Range of support including partnership and capacity building support for SACCOs and local credit and savings groups.	• Collaboration on financial services activities • Participating local institutions as recipients of ARCAFIM financing

95. **Commitment and Capacity of Executing Agencies to Deliver ARCAFIM.** As described in detail in Sections B.3 (Programme Description) and B.4 (Implementation Arrangements), the Executive Agency for ARCAFIM East Africa, Equity Group, is a leading commercial bank in the region. Both at the Group and the country subsidiary level, this bank is fully committed to the implementation of ARCAFIM. The bank sees the programme as an important and integral part of its overall environmental and climate change strategy and as an instrument to develop and expand their climate change adaptation finance operations to all levels of the key food value chains, including particularly the smallholder production activities. The due diligence processes conducted by IFAD confirmed the Equity Group's operational and financial status and capabilities suitable for operating both the financial and non-financial components of ARCAFIM, as well as the bank's capability to manage the foreign exchange risk related to the programme loans. Furthermore, to ensure the successful implementation of ARCAFIM by the Executing Agency, substantial high quality TA support will be provided from ARCAFIM-related budgets both to the Host Bank and its on-lending local partner FIs to further develop the skills of the participating financial institutions to implement this large-scale CCA finance programme and to appropriately monitor and report on its performance and impact.

D.6. Efficiency and effectiveness

96. **ARCAFIM Blended Finance structure.** The Blended Finance Structure is used for the ARCAFIM in order to mobilize local private sector financing (i.e. Host Bank) for CCA by means of de-risking structures. The Blended Finance structure of ARCAFIM will consist of USD 180 million for East Africa, consisting USD 45 million from GCF (USD 21 million for 1st loss, and USD 24 million for mezzanine/2nd loss), USD 45 million from IFAD or IFAD organized international co-financiers, and USD 90 million from Equity Group. Therefore, the expected mobilization ratio of GCF funding is 1:4 at the Facility level. There is further mobilization expected at the underlying portfolio if the end-beneficiaries are able to attract further financing from local financial institutions. The IFAD adheres to the DFI enhanced blended finance principles to ensure crowding-in private sector financing and minimum concessionality, without crowding out private finance.

97. **Reinforcing markets (Principle 4 under the DFI blended finance principle).** The ARCAFIM financial structure aims to develop a market that addresses the root causes of market failure, while providing adequate incentive to financiers. From the Host Bank perspective, credit risks are mitigated by the credit protection provided by IFAD with the financial support of international financiers (partners). Therefore, financial institutions are incentivized to make prudent credit decisions towards the final borrowers. At the same time, the Host Bank is contractually obliged to on-lend directly or indirectly to small producers and rural MSMEs for CCA investments in order to promote lending to that particular niche. In addition, Technical Assistance provision address lack of sector-specific capacity and strengthen the potential for greater private sector participation over time, and eventually create and drive bankable demand in the target groups in collaboration with the Host Bank.

E. LOGICAL FRAMEWORK

E.1. Project/Programme Focus

Please indicate whether this proposal is for a mitigation or adaptation project/programme. For cross-cutting proposals, select both.

☐ Reduced emissions (mitigation)

☒ Increased resilience (adaptation)

E.2. GCF Impact level: Paradigm shift potential

Assessment Dimension	Current state (baseline)		Potential target scenario (Description)	How the project/programme will contribute (Description)
	Description	Rating		
Scale	While green finance and CC mitigation finance volumes are increasing, finance for CC adaptation finance remains very limited both globally and especially in Sub-Saharan Africa. Strong demand and supply side barriers for increasing the volumes exist (see TOC). Awareness by private financial institutions of how to enter or expand to CCA finance is very limited in ARCAFIM target area.	<u>Low</u>	Effective paradigm change would involve proactive involvement of the private sector financial institutions in CCA finance and raising the appetite of private financiers in active involvement in this area of financial intermediation. Analytical assessment of eligible and bankable CCA projects and increased awareness of these investment opportunities among the borrowers and lenders can stimulate the market and start the process that would lead to increasingly considering CCA finance as part of the mainstream financial services. The capacity of the Host Bank will be strengthened to actively participate with their own resources in CCA finance operations on a much wider scale, and independently mobilize climate finance	The Programme will introduce catalytic international and local private sector resources to CCA finance that aim to transform the market and introduce commercial efficiencies and increase the scale of operations. The change making interventions will include: (i) blended financial resources for CCA finance to the Host Banks selected for each region, (ii) earmarked CCA financial resources to the on-lending local FIs that lack liquid investment capital, (iii) risk management solutions through the blended finance structure of the programme, (iv) focused capacity building and TA to both the participating financial institutions and the end-users of the CCA finance, and (v) the development of taxonomy for CCA finance for Africa. These interventions will result in an increase in direct and indirect lending to small producers and MSMEs

			and manage CCA programmes. The successful implementation of this programme is also expected to create a demonstration effect and encourage other financial institutions in the region to scale up their CCA finance operations.	using appropriate climate finance products; which will increase their ability to adapt to risk imposed by climatic changes, thus improving resilience and food security in vulnerable communities.
Replicability	Currently, there are in practice no well-functioning private sector CCA finance programmes in target regions with clear replication potential, although some are new interventions are emerging. Public CCA finance efforts are heavily grant-based, short-term focused and small in scale.	<u>Low</u>	By making ARCAFIM a successful example and a showcase of commercial CCA finance, paradigm shift can be achieved with the financiers as well as in the mindset of borrowers. The successful implementation of this programme is expected to encourage other African financial institutions and international financiers to identify new business opportunities in climate finance and change their risk perception of agriculture adaptation financing, using ARCAFIM's basic concepts of blended funding, appropriate CCA taxonomies and top-class technical assistance. Also, with the learning generated through ARCAFIM, and to provide more evidence to support paradigm change potential, the IFAD plan is to replicate this private climate adaptation finance mechanism in other regions of the continent including North, West and Central Africa.	ARCAFIM's model is to test and introduce a practical, widely implementable model for large-scale use of private financial resources for rural CCA investments. IFAD, the other co-financiers and the Host Bank will use regional and international networks to proactively share knowledge and information of the ARCAFIM performance and achieved results. The key role in ARCAFIM of the leading commercial bank in the region is to substantially strengthen the demonstration effect and encourage other financial institutions to replicate successful approaches and methodologies to increasingly participate in CC finance operations. The successful implementation of this programme is expected to encourage other African financial institutions to re-visit their policies and engage actively in climate adaptation finance.
Sustainability	Because of the high subsidy level and grant finance domination, current CCA finance	<u>Low</u>	Paradigm shift towards more sustainability can be achieved by more analytic approach in eligibility criteria definitions for the financed investments	The use of blended funding, appropriate CCA taxonomies and top-class technical assistance will increase regional bank's ability to provide appropriate CCA loans

	programmes tend to end when the projects supporting them close. Bankability and sustainability of financed interventions are often weakly analysed and monitored.		and by stressing the longer-term nature of this type of transformative financing. Through its analytical work on CCA finance supply and demand and its related capacity and systems development interventions, ARCAFIM will significantly contribute to reducing the PFIs' risk perception associated to this sector's lending. With skills developed and experience gained, participating financial institutions will be in a position to profitably continue with the adaptation finance operations even when the direct support to them from ARCAFIM ends.	to small producers and rural MSMEs after ARCAFIM support ends. The engagement of private sector financial service providers and experienced TA providers would emphasise that the efforts aim at introducing a sustainable development path to rural produces and small firms, as opposed to very short-term grant-based solutions. At small scale producers and MSME level, ARCAFIM will promote and support modernised CCA production systems that are market driven and suitable to local agro-ecological zones and climatic conditions. The comprehensive ARCAFIM approach to mentoring and training in technical aspects of climate-smart farming and in relevant business skills is expected to significantly improve small-scale agricultural producers' potential to sustain the benefits from ARCAFIM interventions even when the project support ends.
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E.3. GCF Outcome level: Reduced emissions and increased resilience (IRMF core indicators 1-4, quantitative indicators)						
GCF Result Area	IRMF Indicator	Means of Verification (MoV)	Baseline	Target		Notes / Assumptions
				Mid-term	Final ⁴⁵	
<u>Adaptation (All result areas)</u>	<u>Core 2: Direct and indirect beneficiary reached</u>	PFI data systems and reporting Household surveys	0	Total: 160,000 households - 130,000 direct small producer households - 30,000 indirect small producer households Reports disaggregated by country, type of beneficiary (direct or indirect), gender and youth Total: 713,600 individuals in the target households (average hh: 4.46)	Total: 320,000 households - 260,000 direct small producer households - 60,000 indirect small producer households Reports disaggregated by country, type of beneficiary (direct or indirect), gender and youth Total: 1,427,200 individuals in the target households (average hh: 4.46)	<i>This line is to demonstrate total outreach across result areas without double counting. ARA1 and ARA2 total outreach numbers are within this number of households in order to present an overall total outreach target.</i> <i>Note that 15,000 indirect jobs created is an additional outreach, reported under co-benefits.</i>
<u>ARA1 Most vulnerable people and communities</u>	<u>Core 2: Direct and indirect beneficiaries reached</u>	PFI data systems will record and report on the number of unique clients receiving and repaying CCA loans; Household surveys at project years 3, 6, 9 and 12 measure benefits experienced as a result of CCA loans	0	Total: 160,000 households - 130,000 direct small producer households - 30,000 indirect small producer households Reports disaggregated by country, type of beneficiary (direct or	Total: 320,000 households - 260,000 direct small producer households - 60,000 indirect small producer households Reports disaggregated by country, type of beneficiary (direct or	- ARA1 and ARA2 total outreach numbers are within this number of households in order to present an overall total outreach target. Note that 15,000 indirect jobs created is an additional outreach, reported under co-benefits. - The direct households receive financial and technical assistance services. The indirect households are supported by value chain opportunities or employment created through MSME investments - Mid-term and final results will be measured using data collected through PFI records of completed loans, and

⁴⁵ The final target means the target at the end of project/programme implementation period. However, for core indicator 1 (GHG emission reduction), please also provide the target value at the end of the total lifespan period which is defined as the maximum number of years over which the impacts of the investment are expected to be effective.

				indirect), gender and youth Total: 713,600 individuals in the target households (average hh: 4.46)	indirect), gender and youth Total: 1,427,200 individuals in the target households (average hh: 4.46)	<i>measurable adaptation benefits will be captured in a representative household survey of the loan recipients.</i> - At least 50% and 30% the household representatives receiving project support will be women and youth, respectively - Assumptions: political stability, market price stability, no global financial crisis, no major pandemics - Average household size 4.46 is used to estimate beneficiary numbers. The small producer households number is multiplied with the average size of household to calculate the direct and indirect individual beneficiaries
<u>ARA1 Most vulnerable people and communities</u>	<u>Supplementary 2.1: Beneficiaries (female/male) adopting improved and/or new climate-resilient livelihood options</u>	Household surveys at years 3, 6, 9 and 12 to measure the actual rate of adoption of CCA practices as a result of the CCA loans.	0	104,000 small producer households Reports disaggregated by country, type of beneficiary (direct or indirect), gender and youth 464,000 household members	208,000 small producer households Reports disaggregated by: - Type of beneficiary (direct or indirect) - Gender (male of female) - Youth / non-youth - Country 928,000 household members	<i>Targets are calculated using 80% of directly supported small producer households, counting only those who have received CCA loans and apply improved or new livelihood options</i> - At least 50% and 30% the household representatives that successfully received project support are women and youth, respectively - Mid-term and final results will be measured using data collected through PFI records of completed loans, and adoption of climate-resilient livelihood options will be captured in a representative household survey of the loan recipients. - Assumptions: Climate resilient agricultural solutions financially viable, no major financial crisis, sustained interest from beneficiaries to adopt options, sustained viability of financial service providers
<u>ARA1 Most vulnerable people and communities</u>	<u>Core 4: Hectares of natural resources brought under improved low-emission and/or climate-resilient management practice</u>	Household surveys at 3, 6, 9 and 12 years to measure the total number of HA of households that adopted CCA practices	0	Total: 104,000 HA Reports disaggregated by - crop/agric land - pastures - agroforestry - forestry production	Total: 208,000 HA Reports disaggregated by - crop/agric land - pastures - agroforestry - forestry production	- Targets calculated using an average of 1ha improved management per small producer household that adopted improved options. - Mid-term and final results on the actual land size to which climate resilient practices are applied will be measured using data collected from representative household survey of the loan recipients

				for commercial purposes	for commercial purposes	and following guidance in the Integrated Results Management Framework: Results Handbook December 2022. - All values will be disaggregated by country
<u>ARA1 Most vulnerable people and communities</u>	<u>Supplementary 4.2: Number of livestock brought under sustainable management practices</u>	Household surveys at years 3, 6, 9 and 12	0	Target to be defined at project inception phase Disaggregated by species (based on the LSU category): cattle, buffalo, sheep, goats, pigs, asses, horses, mules, camels, chickens. Disaggregated by country	Target to be defined at project inception phase Disaggregated by species (based on the LSU category): cattle, buffalo, sheep, goats, pigs, asses, horses, mules, camels, chickens. Disaggregated by country	Mid-term and final results on the actual number of livestock brought under sustainable management practices will be measured using data collected from representative household survey of the loan recipients and applying LSU coefficients according to the guidance in the Integrated Results Management Framework: Results Handbook December 2022.
<u>ARA1 Most vulnerable people and communities</u>	<u>Supplementary 4.3: Tonnes of fish stock brought under sustainable management practices</u>	Household surveys at years 3, 6, 9 and 12	0	Target to be defined at project inception phase Disaggregated by Fisheries vs aquaculture Disaggregated by Marine and coastal areas vs freshwater Disaggregated by country	Target to be defined at project inception phase Disaggregated by Fisheries vs aquaculture Disaggregated by Marine and coastal areas vs freshwater Disaggregated by country	Mid-term and final results on the actual number of fish stock brought under sustainable management practices will be measured using data collected from representative household survey of the loan recipients following guidance in the Integrated Results Management Framework: Results Handbook December 2022.
<u>ARA2 Health, well-being, food and water security</u>	<u>Core 2: Direct and indirect beneficiaries reached</u>	Household surveys at years 3, 6, 9 and 12 years to measure benefit experienced as a result of CCA loans	0	134,000 Households 598,000 household members	268,000 Households 1,195,000 household members Report disaggregated by: - Type of beneficiary (direct or indirect)	- PFI data systems will record and report on the number of unique clients receiving and repaying CCA loans

					- Gender (male of female) - Youth / non-youth - Country - improvement of status to “no food insecurity” (target established after completion of baseline) - improvement of status to “households with mild food insecurity”	
<u>ARA2 Health, well-being, food and water security</u>	<u>Supplementary 2.2: Beneficiaries (female/male) with improved food security</u>	Household surveys at 3, 6 and 12 years to measure the number of loan recipients that have experienced improved food security according to the FIES methodology.	<i>Baseline conducted using rolling collection at time of loan application or through year 3 household survey</i>	134,000 Households 598,000 household members	268,000 Households 1,195,000 household members Report disaggregated by: - Type of beneficiary (direct or indirect) - Gender (male of female) - Youth / non-youth - Country - improvement of status to “no food insecurity” (target established after completion of baseline) - improvement of status to “households with mild food insecurity”	- 80% of ARCAFIM PFI clients and households benefitting through supported value chains - At least 50% and 30% the household representatives that successfully received project support are women and youth, respectively - The household survey will incorporate the FIES method survey questions at years 3, 6, 9 and 12, either using a rolling baseline collected at the time of loan application, or using data collected at 3 years to retroactively construct a baseline.

E.4. GCF Outcome level: Enabling environment (IRMF core indicators 5-8 as applicable)

Core Indicator	Baseline context (description)	Rating for current state (baseline)	Target scenario (description)	How the project will contribute	Coverage
<u>Core Indicator 6: Degree to which GCF investments contribute to technology deployment, dissemination, development or transfer and innovation</u>	There is limited awareness and lack of understanding of climate change adaptation investment opportunities, technologies, and benefits among small producers and MSMEs. There is limited knowledge on climate change adaptation in the private financial sector, and a lack of incentives, which has resulted in a lack of suitable lending products (resources) offered to finance climate change adaptation technologies and practices.	<u>low</u>	PFIs (and other financial institutions) have incentives, skills, and resources to incorporate CCA financial products as a part of their mainstream finance offering, which results in small producers and MSMEs accessing and using appropriate financial products to adopt CCA technologies and practices.	ARCAFIM will provide financial and non-financial support to develop and deploy tailored financial products to scale up CCA finance; and will share lessons learned and best practices to encourage wider adoption of CCA finance in the region.	<u>Multi-countries</u>
<u>Core indicator 7: Degree to which GCF Investments contribute to market development/transformation at the sectoral, local, or national level</u>	While there are some initiatives in the region facilitating the development of a climate finance market, there is still limited use of private financial resources for rural CCA investments and the market's ability to serve small rural producers and MSMEs remains limited due to: a lack of information on the market potential, low demand, a lack of appropriate long-term financing, and an unfavourable investment environment with a lack of incentives for sustainable development of the market.	<u>low</u>	The Host Bank is actively participating with their own resources in CCA finance operations on a much wider scale, independently mobilizing CCA programmes. There is increased demand and uptake amongst small producers and MSMEs of new appropriate financial products for climate smart agricultural practices and modern CCA technologies. The success of these products and sharing of best practices with other financial institutions in the region further expands the availability of CCA finance to small rural producers and MSMEs.	ARCAFIM will help mainstream CCA finance by testing the implement-ability of the model with private entity, promote competitiveness and most appropriate CCA finance implementation models, and integrate lessons learnt from one sub-region into effective messages on how to promote CCA finance on a wider scale over the African continent.	<u>Multi-countries</u>
<u>Core indicator 8: Degree to which GCF investments contribute to effective knowledge generation and</u>	There is limited awareness and knowledge within private financial institutions of best practices in implementing and	<u>low</u>	Best practices in CCA finance for small rural producers and MSMEs is used to improve and expand CCA finance by	ARCAFIM provides financial and non-financial (technical) support to Partner Financial Institutions to improve and	<u>Multi-countries</u>

<u>learning processes, and use of good practices, methodologies and standards</u>	monitoring CCA finance for small rural producers and MSMEs.		the PFIs supported directly by ARCAFIM; and those lessons and practices are routinely shared regionally with other CCA stakeholders, who use the information to improve and expand CCA lending in the region.	innovate the climate finance services they offer; and a robust M&E system will be developed by the program to generate and share evidence and learning on effective CCA finance. ARCAFIM also has specific activities in Component 2 to develop knowledge products and a CCA finance taxonomy to share with other programs and stakeholders throughout the region.	
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E.5. Project/programme specific indicators (project outcomes and outputs)						
Project/programme results (outcomes/ outputs)	Project/programme specific Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final	
Outcome 1 ARCAFIM PFIs expand and mainstream CCA finance in the region resulting in increased CC resilience and improved food security levels of rural communities	1.1 Cumulated volume and number of CCA loans disbursed to ARCAFIM target groups, disaggregated by: - Type of recipient - Gender - Age (Youth) - Country - Subsector	MIS quarterly financial report	0	Total US\$ 133 mil including: - 130,000 new small producer loans of US\$ 96 mil - 250 new SME loans of US\$ 37 mil - Female: target 50% - Youth: target 30%	Total US\$ 266 mil including: - 260,000 new small producer loans of US\$ 192 mil - 500 new SME loans of US\$ 74 mil - Female: target 50% (130 000 small producers and 250 SMEs) - Youth: target 30% (78 000 small producers and 150 SMEs)	<i>Calculated as a sum of the volume and number of loans disbursed to end clients by the Host Bank and through wholesale partners, assuming up to 5 loan cycles, 20% new clients per cycle, 6% loss per cycle, and an average loan size of \$150,000 for SME agribusinesses, and \$716 for small producers. Data will be collected through the MIS of the Host Bank and reported quarterly</i> <i>Assumptions: Climate resilient agricultural solutions of interest to producers, no major financial, political, economic, environmental, or health crisis, sustained trust in financial institutions, sustained viability of financial service providers.</i>
	1.2 Number of PFIs continue and expand CCA finance without ARCAFIM support	Final evaluation qualitative assessments and Completion report	0	0	4 Host Bank subsidiaries 16 other PFIs	<i>Assumption: all Host Bank subsidiaries and 80% of other ARCAFIM PFIs</i>
	1.3 Number of directly reached clients that report improved resilience - By type of recipient - By Gender - By Age (Youth vs. non-Youth) - By Country	Household surveys at project years 3, 6, 9 and 12	0	104,000 small producer households 200 SMEs	208,000 small producer households 400 SMEs	- 80% of ARCAFIM PFI clients - At least 50% and 30% the household representatives that successfully received project support are women and youth, respectively - ARCAFIM will develop a resilience measurement tool, adapted from IFAD's resilience scorecard.

	- By Subsector					
	1.4 Number of households report improved food security			134,000 Households	268,000 Households	- 80% of ARCAFIM PFI clients and households benefitting through supported value chains
	- By Gender	Household surveys at project years 3, 6, 9 and 12	0%	598,000 household members	1,195,000 household members	- At least 50% and 30% the household representatives that successfully received project support are women and youth, respectively
	- By Age (Youth vs. non-Youth)					
	- By Country					
	- By Subsector					
Output 1.1 Regional Host Bank accesses resources to provide CCA loans to smallholders and MSMEs All indicators 1.1.1 to 1.1.4 disaggregated by: - Type of recipient (MSME or small producer) - Gender - Age (Youth vs. non-Youth) - Country - Subsector	1.1.1 Cumulated volume and number of CCA loans disbursed by host bank to ARCAFIM end target groups	MIS quarterly financial report	0	Total US\$ 92 mil including: - 37,000 new small producer loans of US\$ 55 mil - 250 new SME loans of US\$ 37 mil - Female: target 50% - Youth: target 30%	Total US\$ 184 mil including: - 74,000 new small producer loans of US\$ 110 mil - 500 new SME loans of US\$ 74 mil - Female: target 50% - Youth: target 30%	Calculated as a sum of the volume and number of loans disbursed directly to end clients by the Host Banks, assuming up to 5 loan cycles, 20% new clients per cycle, 6% loss per cycle, and an average loan size of \$150,000 for SME agribusinesses, and \$1,500 for small producers.
	1.1.2 Average loan size of CCA loans disbursed (US\$) to end beneficiaries	MIS quarterly financial report	0	- US\$ 1,500 for small producer loans - US\$ 150,000 for SME loans	- US\$ 1,500 for small producer loans - US\$ 150,000 for SME loans	Calculated average Host Bank direct loan size for small producers and for SMEs, respectively. Loans range between US\$ 50 – US\$ 7,500 per farm and US\$ 1,000 – US\$ 300,000 per SME.
	1.1.3 CCA loan default rate (%) – including PAR 30, PAR 60, and PAR 90	MIS quarterly financial report	0	Target: below 6%	Target: below 6%	CCA loans in default divided by the total number of CCA loans. To be updated once Host Bank default rates are known for first investment cycle.
	1.1.4 Actual Interest Rates charged for CCA loans (%)	MIS quarterly financial report	0	tbd	tbd	No targets set, but data will be reported by banks and analysed against market rates and conditions.
Output 1.2 Local intermediaries have access to wholesale credit lines to provide CCA loans	1.2.1 Cumulated volume and number of CCA loans disbursed through wholesale partners to	MIS quarterly financial report	0	Total US\$ 41 mil including: - 93,000 new small producer loans	Total US\$ 82 mil including: - 186,000 new small producer loans	Calculated as a sum of the volume and number of loans disbursed through wholesale partners to end clients, assuming up to 5 loan cycles,

All indicators 1.2.1 to 1.2.4 disaggregated by: - Type of recipient - Gender - Age (Youth vs. non-Youth) - Country - Subsector	ARCAFIM end target groups			- Female: target 50%	- Female: target 50%	20% new clients per cycle, 6% loss per cycle, and an average loan size of \$ 500. The loan sizes
	1.2.2 Average loan size of CCA loans disbursed (US\$) to end beneficiaries	MIS quarterly financial report	0	- US\$ 500 for small producer loans	- US\$ 500 for small producer loans	Calculated average loan size from all the financial intermediaries' small producer loans. Loans range between US\$ 50 – US\$ 7,500 per farm.
	1.2.3 CCA loan default rate (%) – including PAR 30, PAR 60, and PAR 90	MIS quarterly financial report	0	Target: below 6%	Target: below 6%	CCA loans in default divided by the total number of CCA loans. To be updated once Host Bank default rates are known for first investment cycle.
	1.2.4 Actual Interest Rates charged for CCA loans (%)	MIS quarterly financial report Household surveys and interest rate surveys at project years 3, 6, 9 and 12	0	tbd	tbd	No targets set, but data will be reported by banks and analysed against market rates and conditions.
Outcome 2 Improved capacity of PFIs and agriculture value chain participants to adapt to risks imposed by climatic changes	2.1 Number of trained PFIs offer appropriate CCA rural financial services - By type of financial institution - By Country	Host Bank annual report	0	14	24	Assumption: all trained PFIs offer appropriate CCA rural financial services Disaggregated by type of PFI: (Host Bank, bank, SACCO, MFI, Fintech) and by country. Assumptions: Climate resilient agricultural solutions remain viable and of interest to PFIs and producers, no major financial, political, economic, environmental, or health crisis, sustained trust in financial institutions, sustained viability of financial service providers.
	2.2 Number of individuals with increased skills/capacity in CCA investment and financial literacy - By Gender - By Age (Youth) - By Country	Household surveys at project years 3, 6, 9 and 12	0	146,250 small producers 280 MSMEs - Female: target 50% - Youth: target 30%	292,500 small producers 560 MSMEs - Female: target 50% - Youth: target 30%	Assumption: 90% of trained report increased skills and capacity.

Co-benefit 1 Increased income	CB1 Number of beneficiaries directly reached that have reported an increase in income - By Gender - By Age (Youth vs. non-Youth) - By Country - By Subsector	Household surveys at project years 3, 6, 9 and 12	0	134,000 Households	268,000 Households	- 80% of ARCAFIM PFI clients and households benefitting through supported value chains
Co-benefit 2 Increased employment	CB2. Number of formal jobs created by the program's private sector recipients - By Gender - By Age (Youth vs. non-Youth) - By Country - By Subsector	Household surveys at project years 3, 6, 9 and 12	0	7,500 jobs - Female: target 50% - Youth: target 30%	15,000 jobs - Female: target 50% - Youth: target 30%	- Number of off-farm jobs generated by the MSMEs benefitting from CCA finance (does not include small producer value chain opportunities) - Assuming an average of 30 employed per successful MSME investment
Co-benefit 3 Improved biodiversity	CB3. Biodiversity improvements at ecosystem-level using Area of Intact Biodiversity in ha (AIB) and Average Natural Capital in USD/ha (ANC) (IFAD CI 3.2.4)	Remotely assessed via FAO's ABC-Map tool conducted at year 1, 6 and 12 of implementation	TBD	AIB and ANC are held constant	Either AIB or ANC show positive change, while the other is held constant	Note: Given the scope and scale of ARCAFIM, only a sample area will be selected for measurement based on the geographic and sectoral disbursement of loans. IFAD projects are expected to use the default spatial resolution of 300m, therefore not every location of an ARCAFIM loan will be measured, rather a sample measurement area will be determined by the relative geographical concentration of loans made by the Host Bank. While the ABC-Map covers the most important pressures on biodiversity, it does not directly cover the pressures of climate change, pollution of soil, water and air and species introductions.
Co-benefit 4 Mitigation	Reduction in GHG emissions (tCO ₂)	Household surveys at project years 3, 6, 9 and 12	0	TBD	TBD	The mitigation impact will be estimated post-investment at aggregate level for the types of

						<i>investments where mitigation benefits have occurred, and the estimates verified as part of the household surveys conducted at years 3, 6, 9 and 12.</i>
E.6. Project/programme activities and deliverables						
Activities	Description	Sub-activities			Deliverables	
Activity 1.1 Resource allocation through Host Bank	ARCAFIM and the Host Bank allocate resources and a risk sharing mechanism for CCA investments and the PFIs introduce methods for direct CCA lending using agreed taxonomy	1.1.1 CCA lending products and services are rolled out by the Host Bank 1.1.2 ARCAFIM provides international capital for CCA finance and a risk sharing mechanism to the Host Bank 1.1.3 Regional Host Bank lends to smallholders and MSMEs			Host Bank developed the appropriate CCA finance products offered with ARCAFIM resources ARCAFIM delivered US\$ 90 million of international capital to the Host Bank for CCA finance The Host Bank effectively operates a US\$ 180 million portfolio of CCA finance investments to ARCAFIM eligible target groups	
Activity 1.2 Resource allocation through financial intermediaries	ARCAFIM and the Host Bank allocate resources and a risk sharing mechanism for CCA investments and the PFIs introduce methods for indirect CCA lending using agreed taxonomy	1.2.1 CCA lending products and services are rolled out by the ARCAFIM PFIs other than Host Bank 1.2.2 Local FIs and other intermediaries receive wholesale credit lines from Host Bank and lend to smallholders and MSME			PFIs (other than Host Bank) developed the appropriate CCA finance products offered with ARCAFIM resources ARCAFIM PFIs (other than Host Bank) effectively operate a US\$ 54 million portfolio of CCA finance investments to ARCAFIM eligible target groups	
Activity 2.1.1 CCA lending toolkits Activity 2.1.2 M&E system establishment and annual costs, M&E household surveys and evaluations Activity 2.1.3 PFI training	ARCAFIM offers demand driven capacity-building and TA for PFIs	2.1.1.1 The Host Bank and other participating financial institutions will receive technical assistance to develop lending toolkits appropriate for ARCAFIM operations 2.1.2.1 The Host Bank will receive systematic support to establish the ARCAFIM programme management systems, to coordinate the programme implementation and report on the performance 2.1.3.1 The Host Bank and other Participating Financial Institutions will receive a comprehensive technical assistance package			The Host Bank implemented the required improvements to the banks MIS system to manage the programme and report on its performance in line with the agreement in the ARCAFIM design ARCAFIM Host Bank and other PFIs have appropriate CCA finance strategies supporting the implementation of the ARCAFIM CCA finance portfolio Digital technologies are introduced by the PFIs to reduce transaction costs and improve the	

		for the development and implementation of a CCA finance strategy and appropriate CCA finance service products targeting small producers and MSMEs active in food systems 2.1.3.2 Technical support to all PFIs on inclusion of digital technologies to reduce transaction costs, and improve the credit assessment and risk management of small CCA loans	credit assessment and risk management of small CCA loans
Activity 2.2.1 Training of small producers Activity 2.2.2 Training of MSMEs	ARCAFIM offers demand driven capacity-building and TA for smallholder farmers and MSMEs	2.2.1.1 Awareness raising targeting rural small producers and MSMEs on the ARCAFIM CCA financial services 2.2.1.2 Training and capacity building offered to small producers in rural areas in financial literacy and use of CCA finance products and services 2.2.2.1 Awareness raising targeting rural MSMEs on the ARCAFIM CCA financial services 2.2.2.2 Training and capacity building offered to MSMEs in effective development of business plans leading to access to CCA finance and sustainable implementation of the plans	Annual training reports by the Host Bank show: - The number of reached rural small producers and MSMEs through ARCAFIM awareness raising campaigns - The number of small producers with strengthened financial literacy and knowledge of CCA finance products and services - The number of MSMEs with strengthened capacity to develop bankable business plans to apply and implement CCA finance investments
Activity 2.3.1 CCA Rural finance policy dialogue, knowledge management	ARCAFIM engages in CCA finance policy dialogues including development and dissemination of CCA Taxonomy and CCA finance best practices	2.3.1.1 Production and dissemination of the Foods Sector CCA Finance Taxonomy 2.3.1.2 Engagement of regional and international key stakeholders in continuous and effective policy dialogue on CCA finance opportunities and best practices; Organization of physical and virtual regional and international workshops to share best practices	Foods Sector CCA Finance Taxonomy disseminated Number of stakeholders engaged in regional and international rural CCA finance workshops held to share best practices (reported based on the number of workshops/events organised and the number of attendees by country, gender and institution/sub-sector)

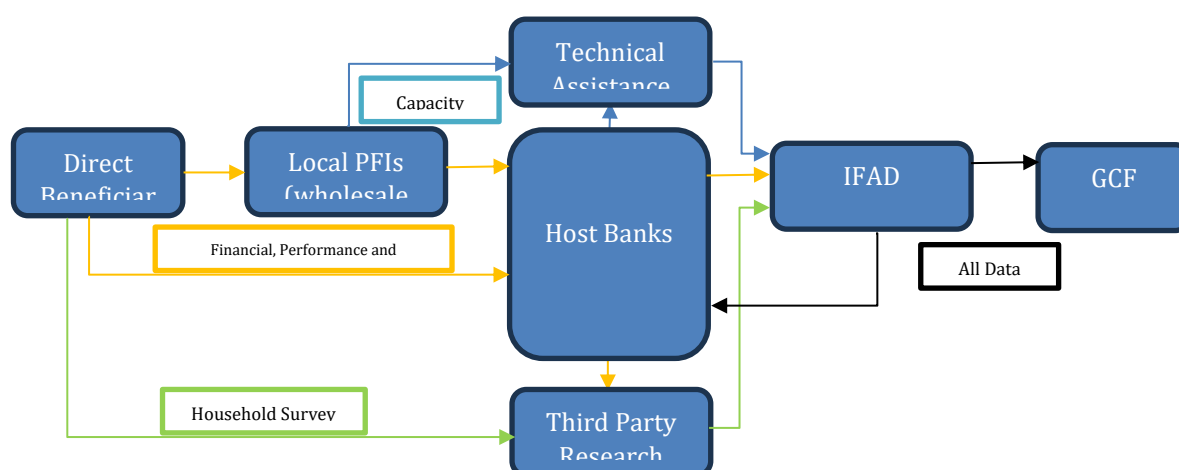
E.7. Monitoring, reporting and evaluation arrangements

98. **The purpose of Monitoring and Evaluation (M&E)** for ARCAFIM is to continuously monitor and evaluate performance, assess whether the program is on track to deliver expected results and targets, generate data to improve performance, and increase learning in the field of Climate Change Adaptation (CCA) finance. ARCAFIM's Theory of Change and Logical Framework will guide the M&E approach for the programme. The M&E approach outlined here will be further developed and refined during the inception phases with the necessary inputs of stakeholders in the M&E process.
99. **Prior to ARCAFIM launch**, during legal documentation phase, dedicated short term design resources are used for start-up preparations including recruitment of an ARCAFIM M&E Specialist for the Host Bank at the banking group level. Such specialist would provide focused support to the design of a core financial reporting system for ARCAFIM with key indicators for the programme funds utilization and portfolio status, to be operated as a part of the main Host Bank performance reporting system. The M&E Specialist would also support the development of the additional, specific M&E reports on ARCAFIM operations, that (i) respond to the eligibility criteria and MIS and reporting requirements of the programme and (ii) can be operated as much as possible as a part of the standard IT-based accounting system of the Host Bank.
100. **In the Host Bank Management Information System**, as a key principle, the books of accounts will have the loans issued from the project funds specifically coded as ARCAFIM loans and reported as eligible investment types for CCA financing. This will make possible a systematic on-line reporting and tracking of the ARCAFIM portfolio, as well as conducting separate annual audits on its accounting, with audit reports submitted to all investors in this programme.
101. **M&E Stakeholders**. While IFAD leads reporting back to the GCF, the Host Bank has a prominent role in data collection and analysis both for monitoring and evaluation aspects. For East Africa Region, Equity Group will provide regular performance reports to IFAD, based on a pre-defined reporting schedule, indicators, and formats, to be agreed-upon during inception between IFAD and the Host Bank. The Equity Group already has robust data management systems in place as well as dedicated staff experienced in reporting requirements of key international development financiers. In detail, the ARCAFIM M&E system will rely on coordination and data collection by the key stakeholders in project implementation.

Stakeholder	Role	Responsibility
IFAD	Accredited Entity	IFAD will implement and coordinate the overall M&E system; organize and lead the Annual Supervision Missions and Midterm and Final Evaluations; guide ARCAFIM stakeholders in appropriate M&E requirements and standards; allocate resources to the stakeholders and service providers for the M&E tasks and deliverables; aggregate the M&E data and present it in overarching reports and knowledge documents; verify and ensure quality and validity of the M&E data and information from the various sources under ARCAFIM; and organize learning events to improve the programme performance and facilitate sector wide learning.
Host Bank and PFIs	Executing Entities	The Host Bank, as key implementer of the programme, will play a key role in data collection and analysis for the ARCAFIM portfolio under its management. The Host Bank and other PFIs will collect and report on baseline data, portfolio information, as well as output and select outcome indicators; participate in Annual Supervision Missions, Midterm and Final Evaluations; and participate in learning and adaptive management events. Resources are earmarked to support the preparations within the Host Bank and other PFIs to establish the required financial reporting systems for ARCAFIM with key indicators for the programme funds utilization and portfolio status, to be operated as a part of the main performance reporting system.
Technical Assistance Providers (TBD)	TA Provider	Collect and report on data regarding the provision of technical assistance.
Third Party Research Firm (TBD)	M&E Data Collection	Contracted by IFAD to conduct the household survey following IFAD's procurement guidelines, and with support by IFAD's Research and Impact Assessment (RIA) unit.

Rural Loan Recipients	Beneficiaries	Participate in data collection surveys, self-assessments and interviews.
GCF and other International Financiers	Financiers	Review ARCAFIM's Theory of Change and Logical Framework, providing advice and guidance as needed; provide requirements and review ARCAFIM Annual Reports; and participate in the Evaluation Reference Group.

Flow of Data within ARCAFIM



102. **M&E Approach.** The overall M&E approach for ARCAFIM is built around its Theory of Change and Log-Frame and builds in adaptive management. Details on the specific tools are included in the Logframe in Section E, summarized below:

- **Monitoring Activities:** ARCAFIM will monitor program activities on an ongoing basis, providing progress updates in Annual Reports and all activities will be reviewed and adaptive measures identified during Annual Supervision Missions (more details below).
- **Monitoring Outputs:** ARCAFIM will monitor program outputs by collecting data annually from the Host Bank, who will lead data collection on outputs and report annually. Progress updates will be provided in Annual Reports, and all outputs will be reviewed and adaptive measures identified during Annual Supervision Missions.
- **Evaluating Outcomes:** ARCAFIM will evaluate programme outcomes, especially related to the expected climate results, at 3 years, 6 years, 9 years and 12 years of implementation. These evaluations will include a Household/Business Surveys of a sample of loan recipients. At 6 years and 12 years the detailed Interim and Final Evaluations are conducted (more details below). A before/after comparison with contribution analysis will be used to analyse program outcomes and impact, and the program will use IFAD's scorecard methodology for small-scale producer resilience measurement.

103. **IFAD Missions.** IFAD will conduct *Annual Supervision Missions* according to its own policies and procedures. The purpose of IFAD's Annual Supervision Missions is to assess progress made in the implementation of activities, identify issues and challenges affecting implementation and agree on key strategic measures to enhance project performance. Annual Missions deliver a report with an updated M&E logframe with public summaries of the reports made available on IFAD's website. These missions are followed up every six months by *Bi-Annual Implementation Support Missions* which provide an opportunity to follow up on key recommendations made in the Annual Supervision Report.

104. **Evaluations.** At years 6 and 12, the Interim and Final Independent Evaluations will be planned and managed by IFAD according to the requirements of the GCF's evaluation criteria as per the GCF Evaluation Policy, and according to needs of evidence based ARCAFIM management. In advance to the Evaluation Missions, the

Host Bank will conduct more comprehensive Household/Business Surveys including both quantitative and qualitative data collection and analysis. The analysis will not only evaluate direct Outcomes and medium-term results, but also assess the programme's contributions to a long-term sustainable paradigm shift and enabling environment using GCF's three-point scale rating. The ARCAFIM unit within IFAD will lead the evaluation process following IFAD's procurement guidelines and will be supported by IFAD's Research and Impact Assessment (RIA) unit. The evaluations will be supported by an Evaluation Reference Group, made up of IFAD, GCF and the other co-financiers of ARCAFIM. This group will review and approve the terms of reference, the findings and the reports. The Host Bank will participate in the evaluations as needed.

105. Annual Reporting. The Host Bank as key Executing Entity will provide quarterly reports to IFAD on financial progress and comprehensive annual reports to IFAD against workplans, safeguards and the Logical Framework indicators. IFAD as ARCAFIM Accredited Entity will provide annual reports to GCF on the Funded activity according to GCF requirements and will share those reports with other financiers. These reports will track and report progress on finances, results, management, workplans, activities, environmental and social safeguards, gender action plans, and all IRMF-related data and requirements. The narrative will also cover:

- Progress against intended objectives according to the ToC, with quantitative reporting on indicators and a qualitative analysis on what, why and how results are being achieved and contextual changes
- A qualitative summary of any observed contribution to paradigm shift
- A qualitative summary of any observed progress or contextual changes in the enabling environment
- Lessons learned, challenges, and adaptive management measures undertaken.

106. Aside from Annual Reports to GCF and Annual Supervision Reports, ARCAFIM will publish additional knowledge products for wider public under Component 2.3 on topics that will be identified throughout the programme implementation and M&E process.

F. RISK ASSESSMENT AND MANAGEMENT

F.1. Risk factors and mitigations measures

Selected Risk Factor 1: Weak CCA Finance Market Development

Category	Probability	Impact
<u>Technical and operational</u>	<u>High</u>	<u>Medium</u>

Description

The financial sectors in the ARCAFIM target countries have not yet established CCA finance frameworks for the mainstream financial operations and private FIs have very limited CCA finance portfolios. This leads to the core operational risk for any CCA finance programme in the region: limited demand by small producers and MSMEs for appropriate CCA financing and limited capacity to meet the demand by offering appropriate CCA product and services by financial institutions. The risk often results in low disbursement volumes of CCA schemes particularly in Sub-Saharan Africa.

Mitigation Measure(s)

To mitigate this risk, substantial TA resources are included under ARCAFIM to stimulate both the demand and supply side. The Host Bank will have delivery teams and systems set up at each country to professionally implement the scheme. High-class TA will be provided to achieve high staff capacities in the Host Bank to develop appropriate CCA finance products and to train their local partner FIs in CCA financing and management. The beneficiary training will as well be adequately coordinated and resourced. Further, CCA investment progress and performance data collection and monitoring are of key importance, and this capacity will be developed in-house at the Host Bank. Residual risk after the mitigating measures is expected to be moderate to low.

Selected Risk Factor 2: Credit Worthiness and Non-repayment Risk

Category	Probability	Impact
<u>Credit</u>	<u>Medium</u>	<u>Medium</u>

Description		
The credit risk of small-scale producer and rural MSME finance is widely perceived as high by both international and regional FIs, and many FIs therefore shy away from this market. According to a recent study by Aceli Africa ⁴⁶ on agri-lending in Sub-Saharan Africa, the average agri-lending portfolio default rate of commercial banks are estimated at 6% and in the 4.9-7.7% range, 3-5% higher than commercial lending in other sectors. Small producers face a similar or higher risk compared to the agri-MSMEs. Compared to standard agricultural loans to small producers, the risks with CCA finance instruments are unknown.		
Mitigation Measure(s)		
The ARCAFIM credit risks from the Host Bank perspective are mitigated by credit protection provided by IFAD. The real credit risk of CCA finance is unknown at the moment with insignificant or no systematic credit default data available for this specific sector. The proposed protection is, however, deemed adequate to convince the Host Bank to enter or expand to the relatively unknown private sector field of CCA finance. Residual risk after the mitigating measures is expected to be moderate to low.		
Selected Risk Factor 3: Foreign Currency Risk		
Category	Probability	Impact
<u>Forex</u>	<u>Medium</u>	<u>Low</u>
Description		
ARCAFIM lending at the national level will be made in local currency while the international repayments by the Host Bank are made in US\$. This causes in the schemes of the ARCAFIM type a potential currency risk which may adversely affect the programme disbursements, outreach and impact.		
Mitigation Measure(s)		
Under the ARCAFIM lending, the Host Bank manages the currency risk of the US\$ ARCAFIM financing through its internal treasury operations. The Host Bank, by design, is selected for its size, regional presence, financial strength, strong governance, and compliance with banking authority regulatory guidelines, including foreign currency exposure. In terms of loans to beneficiaries, loans from the Host Bank are expected to be in local currency, and in hard currency only in circumstances where the borrower has the ability to hedge the foreign exchange risk, e.g., an exporter which earns revenues in US\$. It is in the interest of the Host Bank and the borrower that the Host Bank only provides hard currency loans to forex-earning enterprises that can manage the FX risk. After these mitigation measures, the forex risk is considered low for the successful programme implementation.		
Selected Risk Factor 4: Money laundering and Financial Crime		
Category	Probability	Impact
<u>Prohibited practices</u>	<u>Medium</u>	<u>Low</u>
Description		
In the ARCAFIM type of international lending operation, the possibility of prohibited practices such as money laundering and other financial crimes needs to be considered and seen as a danger for successful programme implementation. Operating in the targeted countries, with sometimes fragile control environments, increases the potential for such risks.		
Mitigation Measure(s)		
The EDD assessments support the implementation of IFAD's Anti-Money Laundering and Countering the Financing of Terrorism Policy ⁴⁷ and related Procedures and reduce the risk that IFAD and the financiers of ARCAFIM conduct business with counterparties that are on international sanctions lists or have been involved in money laundering, terrorism financing or related risks. The Enhanced Financial Crime/KYC assessment fulfils IFAD's fiduciary responsibility to protect its assets against potential misuse and ensure that its financing is not used for money laundering or terrorism financing.		

⁴⁶ <https://aceliafrica.org/bridging-the-financing-gap-unlocking-the-impact-potential-of-agricultural-smes-in-africa/>

⁴⁷ EB2019/128/R.41/Rev.1 (<https://webapps.ifad.org/members/eb/128/docs/EB-2019-128-R-41-Rev-1.pdf>)

Selected Risk Factor 5: Over-Indebtedness of Small Agribusinesses		
Category	Probability	Impact
<u>Credit</u>	<u>Medium</u>	<u>Medium</u>
Description		
Risk of over-Indebtedness of small producers and agribusinesses can materialize, if in a relatively large scheme such as ARCAFIM, loans are provided to the low-income borrowers beyond their repayment capacity. Even if such practices can provide short-term relief against the adverse CC impact, the overall longer-term consequences to the target group can be negative and increase instability in the borrowing households.		
Mitigation Measure(s)		
To mitigate the risk of small agribusinesses taking loans beyond their repayment capacity, the aim of ARCAFIM Output 2.2 is to strengthen the smallholders' and MSMEs' knowledge of viable CCA options and benefits, appropriate financial services, business planning capacity, investment start-up and financial management skills of the borrowers, and thereby lower the investment risk for the PFIs. Furthermore, bankability assessments will be carried out for all potential borrowers, to help to inform the PFIs of the real investment risks and opportunities. The capacity building and BDS services will be demand-driven and target well-planned, productive, and screened investments in the rural agricultural sectors, thereby reducing the risks of over-indebtedness of the borrowers. After these mitigating measures, the over-indebtedness risk is considered to be low.		
Selected Risk Factor 6: Macroeconomic and Governance Risks		
Category	Probability	Impact
<u>Governance</u>	<u>High</u>	<u>Medium</u>
Description		
Maintaining stable economic growth levels during ARCAFIM implementation period is likely to be a challenge in most of the target countries. Public debt levels can increase and surpass standard risk levels, global economic slowdown may continue to cause inflation and interest rate fluctuations, and supply chains of agriculture inputs and outputs may continue to be disrupted. Due to COVID-19 and environmental shocks, the economies contracted in various target countries and with the impacts of the war in Ukraine, the recovery is expected to take longer than was initially assumed, potentially affecting much of the ARCAFIM period. Furthermore, in various target countries, governance and transparency issues persist, resulting in high governance and corruption-related risk ratings.		
Mitigation Measure(s)		
A key safeguard against governance and corruption-related risks is the private sector orientation of all the investments under ARCAFIM, as well as IFAD's safeguards, practices and policies on zero tolerance to fraud and corruption ⁴⁸ . This concerns both the private financial institutions that issue the services financed by ARCAFIM and the borrowers that utilise these services. At the same time, the impacts of adverse political and macro-economic developments, such as the recent Russian attack to Ukraine, are mitigated through the Host Bank financial stability and policies guiding their pricing and risk assessment. However, the external risks are not possible to be fully eliminated in light of the intensity of the recent and ongoing external shocks. The residual impact of this risk is considered medium.		

⁴⁸ https://www.ifad.org/documents/38711624/40189366/fraud_e.pdf/ab42fc11-b213-49af-8df3-e70af2076650?t=1519055057000

G. GCF POLICIES AND STANDARDS

G.1. Environmental and social risk assessment

107. The environmental and social risk category is moderate based on the screening of the potential ARCAFIM investments and the expected micro/small scale and scope of these investments. The end line investments will be made in non-sensitive locations and potential adverse effects from them will be localized, mostly reversible and manageable with appropriate actions as proposed in the generic Environment and Social Management Plan (ESMP) in the ARCAFIM Environmental and Social Management Framework (ESMF). The ESMF provides guidance for managing its environmental and social (E&S) risks. The ESMF places emphasis on the E&S risk management processes for the Programme's implementing entities; the Host Bank, with additional guidance provided to the Participating Financial Institutions (PFIs) and end beneficiaries.
108. The ESMF aligns with the GCF E&S Screening Guidelines and E&S Policy, IFAD's Social Environment and Climate Assessment Procedures (SECAP) as well as the relevant E&S legislation and guidelines in each of the ARCAFIM beneficiary countries. The ESMF builds on E&S risk management processes of the Host Bank, ensuring that gaps identified in the E&S due diligence (ESDD) of Host Bank are addressed including tools and templates.
109. The ESMF is based on a programme level E&S risk assessment of ARCAFIM's financing activities and outlines the broad E&S risks applicable to all ARCAFIM stakeholders, such as E&S-related incidents, stakeholder engagement and grievances, E&S management skills and capacity, etc. Based on this assessment the ESMF provides the appropriate guidance notes to mitigate these risks. The ESMF will also briefly describe specific E&S risks that may be applicable to end beneficiaries, depending on the specific climate change adaptation investments that will be made. Risks (identified by the ARCAFIM country risk research) may include environmental pollution related to increased use of agro-chemicals (fertilizers, herbicides and pesticides), improper waste and wastewater management, land degradation (resulting from use of sub-optimal agricultural practices) and deforestation, climate change shocks, use of child labour, restrictions of freedom of association, substandard terms and conditions of employment, and exacerbating the vulnerability of women farmers and indigenous peoples.
110. The ESMF describes the E&S risk management process to be applied by the Host Bank when selecting PFIs, namely an assessment of the comprehensiveness of PFI's own E&S management systems. The ESMF also describes the risk management process to be applied by the Host Bank (direct lending) or PFIs (indirect lending) when selecting end beneficiaries, which will categorise the individual climate change adaptation projects according to their E&S risk and screen the end beneficiaries' capacity to manage these risks. The recommendations for capacity enhanced are based on short questionnaires provided to the PFIs. As part of the ESMF requirements, the end beneficiaries, PFIs, the Host Bank and the ARCAFIM programme as a whole will all monitor and report on the management of E&S issues in their respective spheres of influence. These E&S risk management processes will be supported by risk categorisation, screening, due diligence and monitoring tools/templates.
- 111.
112. In line with GCF IP Policy (Article 38), an IPPF will be prepared in order to ensure culturally appropriate consultations for communities self-identifying as indigenous peoples.

G.2. Gender assessment and action plan

113. ARCAFIM's Gender Equality & Social Inclusion Action Plan (GSIAP) is informed by the GESI assessments of the Host Bank and a sample of potential PFIs. ARCAFIM end beneficiaries (once known) shall be assessed based on a Generic GESI Self-Assessment tool. Both GESI assessment tools are aligned to GCF's Gender Policy and Project Planning Template Assessment Questions and IFAD's gender mainstreaming criteria.
114. The GSIAP outlines an Action Plan with activities, indicators and targets, timelines, responsibilities, and costs. The GSIAP includes the results from the sample PFI Gender Assessments. As part of the ARCAFIM implementation, the Host Bank will provide further input and customize the action plan to their operational

needs and realities, particularly with respect to the GSIAP timelines, responsibilities, and costs and the results from the additional PFI's that will be engaged.

115. Baseline data from the Host Bank, potential PFIs and the Country-level socioeconomic analysis supported the development of an ARCAFIM Program Gender Equality & Social Inclusion Action Strategy. The Strategy aims at identifying and addressing the causes of vulnerability for women and girls and ensuring equal participation and benefits from the ARCAFIM funding activities, the ARCAFIM GESI Action Strategy includes a GESI vision and policy statement, potential requirements and recommended action plan outputs for the Host Bank and PFIs, a description of programmes, scope of application within the Host Bank, PFIs, milestones and generic completion targets for Host Banks, PFIs, and a monitoring strategy with KPIs, roles and responsibilities.
116. Early GESI actions include conducting gender and social norms diagnostic studies at country and local levels to better understand the context in which ARCAFIM will be operating. Gender, youth and disability lenses will be applied understanding social norms, CCA technologies and practices, and financial products and services. These insights will provide the foundation for stimulating all stakeholders (from programme staff, host agency, PFIs and service providers through to community members and leaders) engage in critical reflection on norms that perpetuate inequalities and stimulate positive behaviour change in the inclusion-climate-finance nexus.
117. As a result of capacity building for critical reflection and behaviour change on social inclusion issues, PFIs will view women, youth and people with disabilities as potential eligible borrowers of CCA finance. Under sub-component 2.1, PFIs will address supply-side barriers to CCA finance by seeking innovative ways to establish credit worthiness in the absence of traditional collateral, providing relevant CCA products and services, and identifying digital and non-digital routes to access services.
118. At the community, household and individual levels, the shift in gender norms and attitudes will create an enabling environment in which women, youth and people with disabilities will be able to make independent decisions to borrow money and adopt CCA technologies and practices. Under sub-component 2.2, the demand for CCA finance will be strengthened by developing their climate adaptive knowledge and skills, financial literacy, entrepreneurship and business skills.
119. Activities under output 2.3 will further strengthen the enabling environment for inclusive climate finance at policy level.
120. The outcomes for women and youth as a result of accessing CCA finance will be securing climate change-resilient livelihoods with the benefits of food and water security (with reduced workloads of household tasks); gains in voice and decision-making over income and the use of assets and outputs, including income generated; improved business and employment opportunities; and reductions in harmful practices and domestic violence. The principal institutional gains will be the ability of the host bank and PFIs to expand the outreach of CCA finance to individuals that have traditionally been excluded, and a more conducive policy environment.
121. These outcomes will feed into ARCAFIM outcome 1.3 (increased CC resilience), outcome 1.4 (improved food and water security) and the co-benefits 1 (increased incomes) and 2 (employment generation).

G.3. Financial management and procurement

122. Disbursement Arrangement. During the availability period of the first 5 years, the Host Bank (i.e. Equity Bank (Kenya) Limited) will make a disbursement request to IFAD based on the disbursement projection every six [6] months under the Subsidiary Loan Agreement. Equity Bank (Kenya) Limited will on-lend the amount received from IFAD to other participating country subsidiaries of EGH, namely Equity Bank Uganda Limited, Equity Bank Rwanda PLC, and Equity Bank (Tanzania) Limited, in accordance with the disbursement projection in each country subsidiary through sub-loan agreements. The Host Bank and the other participating country subsidiaries will be able to make a disbursement for the loans qualifying the ARCAFIM eligibility criteria and CCA taxonomy (the "Qualifying Loans") from the fund that they have received from IFAD, and Equity Group's own contribution equal to the fund from IFAD. Once the Qualifying Loan is disbursed, the Host Bank should submit the inclusion request to IFAD to notify IFAD of a list of the Qualifying Loans, so that IFAD can monitor the status of the portfolio and disbursement to end-borrowers under the Facility.

123. Procurement. Under the ARCAFIM Technical Assistance (TA) programme for technical support to the Host Bank (Equity Bank Kenya) and to the intermediary PFIs, the Host Bank will coordinate the service delivery, utilizing either their own internal service units (i.e. Equity Group Foundation) with ARCAFIM support or recruiting external technical service providers. Where external TA is required, the Host Bank's Procurement Policy will apply. The Accredited Entity (AE) has reviewed the Host Bank's Procurement Policy and found to be adequate and equivalent to the AE's procurement rules, policies, and procedure to the extent and scope of its accreditation, as it: (a) promotes best practices, transparency and professionalism in all acquisition processes within the Host Bank fraternity; (b) ensures that suppliers of goods and services are subjected to a competitive tendering process in order to achieve quality, price competitiveness and reliability; (c) ensures that all expenditure is in accordance with prior approved budget and procurement plan; and (d) ensures compliance with applicable regulations and legislations. Procurement will be carried out by the Host Bank and procurement plan will be agreed between the AE and Host Bank. For the procurement oversight, the AE will provide prior review on all the major procurement as identified in the below threshold, and conduct supervision every 6 months to review the procurement processes conducted by the EE. IFAD will put in place to ensure that the procurement carried out by the EE's is compliant with EE's procurement guidelines that are equivalent to the AE's procurement guidelines.

124. Prohibited practices. The Subsidiary Agreement has the clauses that the EE has the obligation for the reporting of irregularities or prohibited practices, if any, during the implementation period. In addition, the prohibited practices are included in the IFAD Policy covenants in the Subsidiary Agreement.

G.4. Disclosure of funding proposal

Indicate below whether or not the funding proposal includes confidential information.

☐ **No confidential information:** The accredited entity confirms that the funding proposal, including its annexes, may be disclosed in full by the GCF, as no information is being provided in confidence.

☒ **With confidential information:** The accredited entity declares that the funding proposal, including its annexes, may not be disclosed in full by the GCF, as certain information is being provided in confidence. Accordingly, the accredited entity is providing to the Secretariat the following two copies of the funding proposal, including all annexes:

- full copy for internal use of the GCF in which the confidential portions are marked accordingly, together with an explanatory note regarding the said portions and the corresponding reason for confidentiality under the accredited entity's disclosure policy, and
- redacted copy for disclosure on the GCF website.

The funding proposal can only be processed upon receipt of the two copies above, if containing confidential information.

H. ANNEXES

H.1. Mandatory annexes

- ☒ Annex 1 NDA no-objection letter(s) [\(template provided\)](#)
- ☒ Annex 2 Feasibility study - and a market study, if applicable
- ☒ Annex 3 Economic and/or financial analyses in spreadsheet format
- ☒ Annex 4 Detailed budget plan [\(template provided\)](#)
- ☒ Annex 5 Implementation timetable including key project/programme milestones [\(template provided\)](#)
- ☒ Annex 6 E&S document corresponding to the E&S category (A, B or C; or I1, I2 or I3):
[\(ESS disclosure form provided\)](#)
 - ☐ Environmental and Social Impact Assessment (ESIA) or
 - ☐ Environmental and Social Management Plan (ESMP) or
 - ☐ Environmental and Social Management System (ESMS)
 - ☐ Others (please specify – e.g. Resettlement Action Plan, Resettlement Policy Framework, Indigenous People's Planning Framework (IPPF), Land Acquisition Plan, etc.)
- ☒ Annex 7 Summary of consultations and stakeholder engagement plan
- ☒ Annex 8 Gender assessment and project/programme-level action plan [\(template provided\)](#)
- ☒ Annex 9 Legal due diligence (regulation, taxation and insurance)
- ☒ Annex 10 Procurement plan [\(template provided\)](#)
- ☒ Annex 11 Monitoring and evaluation plan [\(template provided\)](#)
- ☒ Annex 12 AE fee request [\(template provided\)](#)
- ☐ Annex 13 Co-financing commitment letter, if applicable [\(template provided\)](#)
- ☒ Annex 14 Term sheet including a detailed disbursement schedule and, if applicable, repayment schedule

H.2. Other annexes as applicable

- ☐ Annex 15 Evidence of internal approval [\(template provided\)](#)
- ☐ Annex 16 Map(s) indicating the location of proposed interventions
- ☒ Annex 17 Multi-country project/programme information [\(template provided\)](#)
- ☐ Annex 18 Appraisal, due diligence or evaluation report for proposals based on up-scaling or replicating a pilot project
- ☒ Annex 19 Procedures for controlling procurement by third parties or executing entities undertaking projects financed by the entity
- ☒ Annex 20 First level AML/CFT (KYC) assessment
- ☒ Annex 21 Operations manual (Operations and maintenance)
- ☐ Annex 22 Assessment of GHG emission reductions and their monitoring and reporting (for mitigation and cross cutting-projects)⁴⁹
- ☒ Annex 23 Additional Annex: Country Climate Vulnerability Assessments

* Please note that a funding proposal will be considered complete only upon receipt of all the applicable supporting documents.

⁴⁹ Annex 22 is mandatory for mitigation and cross-cutting projects.



REPUBLIC OF KENYA
THE NATIONAL TREASURY AND ECONOMIC PLANNING

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THE NATIONAL TREASURY
P O BOX 30007 – 00100
NAIROBI

When Replying Please Quote

Ref: TNT/CONF/36/021/C/ (30)

Date: June 13, 2023

Ms. Mafalda Duarte
Executive Director
Green Climate Fund
Songdo Business District
175 Art center-daero
Yeonsu-gu, Incheon 22004
Republic of Korea

Dear



Re: Funding proposal for the GCF by International Fund for Agricultural Development regarding 'Africa Rural Climate Adaptation Finance Mechanism (ARCAFIM)'

We refer to the programme titled '*Africa Rural Climate Adaptation Finance Mechanism (ARCAFIM)*' in Kenya as included in the funding proposal submitted by the International Fund for Agricultural Development (IFAD) to us on 3rd May 2023.

The undersigned is the duly authorized representative of The National Treasury, the National Designated Authority of Kenya.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the project as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The Government of Kenya has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Kenya;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects and activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Yours 


DR. CHRIS K. KIPTOO, CBS
PRINCIPAL SECRETARY/NATIONAL TREASURY

Copy to: **Njuguna Ndung'u, CBS**
Cabinet Secretary
The National Treasury and Economic Planning

Ms. Mariatu Kamara
Country Director
IFAD Kenya



Republic of Rwanda

**RWANDA ENVIRONMENT
MANAGEMENT AUTHORITY
(REMA)**



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Kigali, on **08 DEC 2022**
N° **3393/NDA/2022**

**Executive Director
Green Climate Fund ("GCF")
Incheon-South Korea**

Re: Funding proposal for the GCF by IFAD regarding "Africa Rural Climate Change Adaptation Finance Mechanism (ARCAFIM) for East Africa and Southern Africa regions"

Dear Sir,

Referring to the programme titled "Africa Rural Climate Change Adaptation Finance Mechanism (ARCAFIM) for East Africa and Southern Africa regions" in Rwanda as included in the funding proposal submitted by IFAD to us on 11 July 2022.

The undersigned is the duly authorized representative of Rwanda Environment Management Authority, the National Designated Authority of Rwanda.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The Government of Rwanda has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Rwanda;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,


Juliet KABERA
Director General



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 In any correspondence on
 This subject please quote No. ALD 79/251/03



Ministry of Finance, Planning &
 Economic Development,
 P.O Box 8147
 Kampala, Uganda

3rd November, 2022

The Executive Director
 Green Climate Fund
 Songdo Business District
REPUBLIC OF KOREA

LETTER OF NO OBJECTION FOR AFRICA RURAL CLIMATE ADAPTATION FINANCE MECHANISM

I refer to the above project, which has been prepared and submitted to you by the International Fund for Agricultural Development (IFAD) for funding by the Green Climate Fund (GCF).

The undersigned is the duly authorized representative of the Ministry of Finance, Planning and Economic Development, the National Designated Authority focal point of Uganda.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the project preparation facility activities as included in the PPF proposal.

By communicating our no-objection, it is implied that:

- a) The Government of the Republic of Uganda has no-objection to the funding proposal;
- b) The programme is in conformity with Uganda's national priorities, strategies and plans;
- c) In accordance with the GCF's environmental and social safeguards, the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the proposal has been duly followed and that it applies to all projects or activities to be implemented within the scope of the programme.

Mission

"To formulate sound economic policies, maximize revenue mobilization, ensure efficient allocation and accountability for public resources so as to achieve the most rapid and sustainable economic growth and development"

We acknowledge that this letter will be made publicly available on the GCF website.



Ramathan Ggoobi

**PERMANENT SECRETARY/ SECRETARY TO THE
TREASURY/NATIONAL DESIGNATED AUTHORITY FOCAL POINT
FOR THE GREEN CLIMATE FUND**

Mission

"To formulate sound economic policies, maximize revenue mobilization, ensure efficient allocation and accountability for public resources so as to achieve the most rapid and sustainable economic growth and development"

THE UNITED REPUBLIC OF TANZANIA
VICE PRESIDENT'S OFFICE

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Our Ref: BD.38/90/01E/44

19th September 2023

The Green Climate Fund (GCF)
Executive Director,
G-Tower, Songdo Business District
175 Art center-daero
Yeonsu-gu, Incheon 22004
REPUBLIC OF KOREA

RE: FUNDING PROPOSAL FOR THE GCF BY *INTERNATIONAL FUND FOR AGRICULTURAL DEVELOPMENT (IFAD)* REGARDING THE *AFRICA RURAL CLIMATE ADAPTATION FINANCE MECHANISM (ARCAFIM)*

Dear Madam, Sir,

2. We refer to the programme titled "***Africa Rural Climate Adaptation Finance Mechanism - ARCAFIM***" in Tanzania as included in the funding proposal submitted by the ***International Fund for Agricultural Development (IFAD)***.
3. The undersigned is the duly authorized representative of the Vice President's Office of the National Designated Authority of Tanzania
4. Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal. By communicating our no-objection, it is implied that:
 - (a) The government of **Tanzania** has no objection to the programme as included in the funding proposal;
 - (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of **Tanzania**;
 - (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

5. We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.
6. We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme
7. We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,


Mary N. Maganga
PERMANENT SECRETARY

Environmental and social safeguards report form pursuant to para. 17 of the IDP

Basic project or programme information	
Project or programme title	Africa Rural Climate Adaptation Finance Mechanism (ARCAFIM) for East Africa region
Existence of subproject(s) to be identified after GCF Board approval	Yes
Sector (public or private)	Private
Accredited entity	International Fund for Agriculture Development (IFAD)
Environmental and social safeguards (ESS) category	Category I-2
Location – specific location(s) of project or target country or location(s) of programme	Kenya, Rwanda, Tanzania, and Uganda
Environmental and Social Impact Assessment (ESIA) (if applicable)	
Date of disclosure on accredited entity's website	Thursday, September 21, 2023
Language(s) of disclosure	English
Explanation on language	English is one of the official languages commonly used in the four countries where the project will be implemented. The ESS documents will be disclosed in local languages and made be available for the specific sub-projects that affect the populations in those specific areas during the project implementation stage.
Link to disclosure	https://www.ifad.org/documents/38711624/40206666/a-rcafim-esmf-esa.pdf
Other link(s)	N/A
Remarks	A preliminary ESIA consistent with the requirements for a Category I-2 programme is contained in the "Environment and Social Management Framework".
Environmental and Social Management Plan (ESMP) (if applicable)	
Date of disclosure on accredited entity's website	Thursday, September 21, 2023
Language(s) of disclosure	English
Explanation on language	English is one of the official languages commonly used in the four countries where the project will be implemented. The ESS documents will be disclosed in local languages and made be available for the specific sub-projects that affect the populations in those specific areas during the project implementation stage.
Link to disclosure	https://www.ifad.org/documents/38711624/40206666/a-rcafim-esmf-esa.pdf
Other link(s)	N/A
Remarks	An ESMP consistent with the requirements for a Category I-2 programme is contained in the "Environment and Social Management Framework".

Environmental and Social Management System (ESMS) (if applicable)	
Date of disclosure on accredited entity's website	Thursday, September 21, 2023
Language(s) of disclosure	English
Explanation on language	English is one of the official languages commonly used in the four countries where the project will be implemented. The ESS documents will be disclosed in local languages and made be available for the specific sub-projects that affect the populations in those specific areas during the project implementation stage.
Link to disclosure	https://www.ifad.org/documents/38711624/40206666/arcafim-esmf-esa.pdf
Other link(s)	N/A
Remarks	An ESMS consistent with the requirements for a Category I-2 programme is contained in the "Environment and Social Management Framework". Environment and Social Management Plans consistent with the requirements for a Category I-2 project will be prepared at the sub-project levels.
Any other relevant ESS reports, e.g. Resettlement Action Plan (RAP), Resettlement Policy Framework (RPF), Indigenous Peoples Plan (IPP), Indigenous Peoples Planning Framework (IPPF) (if applicable)	
Description of report/disclosure on accredited entity's website	Indigenous Peoples Planning Framework (IPPF)/ Land Acquisition and Resettlement Guidance
Language(s) of disclosure	English
Explanation on language	English is one of the official languages commonly used in the four countries where the project will be implemented.
Link to disclosure	https://www.ifad.org/documents/38711624/40206666/arcafim-esmf-esa.pdf
Other link(s)	N/A
Remarks	An IPPF titled 'Indigenous Peoples Guidance' and the Land Acquisition and Resettlement Guidance are included as Annexes to the ESMF
Disclosure in locations convenient to affected peoples (stakeholders)	
Date	22 September, 2023
Place	The ESMF for Africa Rural Climate Adaptation Finance Mechanism (ARCAFIM) for East Africa region is available at the IFAD and Equity Bank's offices located at: Kenya: <u>IFAD Kenya office</u> UNON Complex, Block "Q" United Nations Avenue, Gigiri, Nairobi, Kenya <u>Equity Bank Kenya</u> 9th Floor, Equity Centre, Hospital Road, Upper Hill. P.O. Box 75104-00200 Nairobi, Kenya

	Tanzania: <u>Equity Bank Tanzania</u> 3rd floor, Ohio St, Dar es Salaam, Tanzania Uganda: <u>Equity Bank Uganda</u> 8H7H+9Q4, Kampala Road, Kampala, Uganda Rwanda: <u>Equity Bank Rwanda</u> Grand Pension Plaza, 1st Floor, KN 4 Ave, Kigali, Rwanda
Date of Board meeting in which the FP is intended to be considered	
Date of accredited entity's Board meeting	N/A
Date of GCF's Board meeting	Monday, October 23, 2023

Note: This form was prepared by the accredited entity stated above.

Independent Technical Advisory Panel's assessment of FP220

Proposal name: Africa Rural Climate Adaptation Finance Mechanism (ARCAFIM)
for East Africa region

Accredited entity: International Fund for Agricultural Development

Programme countries: Kenya, Rwanda, Uganda and the United Republic of Tanzania

I. Summary

1. The Africa Rural Climate Adaptation Finance Mechanism (**ARCAFIM**) for East Africa region aims to scale up private sector agriculture and climate adaptation finance in Eastern Africa (specifically, Kenya, Rwanda, Uganda, and the United Republic of Tanzania) through an on-lending programme that supports smallholder farmers and rural micro, small and medium enterprises (**MSMEs**) involved in food systems. The climate goal of the programme is the wider use of commercial resources for Climate Change Adaptation (**CCA**) in the region, enhancing the well-being of rural communities through climate-resilient livelihoods.

Targeted programme size	USD 200 million (loan: USD 180 million; grants: USD 20 million)	
	Loans (USD)	Grants (USD)
	GCF 45 million	GCF 10 million
	IFAD 45 million (to be raised) IFAD (Nording Development Fund) 15 million IFAD (Government of Finland) 10 million Unfunded: 20 million	IFAD 10 million (including 5 million from the Government of Denmark)
	Equity Group 90 million	
	Total: 180 million	Total: 20 million

Proposed involvement	GCF	A total commitment of USD 55 million, comprising USD 45 million in subordinated loans and USD 10 million in grants.
Recipient of assistance	GCF	The International Fund for Agricultural Development (IFAD) will be the lender of record of the ARCAFIM funds and will on-lend the GCF funds to the executing entity, Equity Bank (Kenya). Equity Bank will, in turn, on-lend facilities to its subsidiaries in Rwanda, Uganda and the United Republic of Tanzania. Equity Bank will then on-lend the funds to the end borrowers in the four target countries, directly (70%) through its own subsidiaries and indirectly (30%) through financial institutions such as microfinance institutions (MFIs), savings and credit cooperatives (SACCOs), and FinTech companies. These will on-lend the funds for the eligible activities under the programme. The end borrowers are smallholders and rural MSMEs. The IFAD ARCAFIM loans will also be matched 1:1 by Equity Bank, ensuring scale and alignment of interest for the programme.

II. Assessment of the independent Technical Advisory Panel

2.1 Impact potential

Scale: Medium–High

2. Increased weather unpredictability and frequency of extreme weather events will continue to have an impact on the operations of the smallholders and MSMEs in the target countries, as they do not have the capacity to adapt and respond to climate change. New and innovative technology and practices are needed for the smallholders and MSMEs, as current practices will no longer be suitable.

3. Agriculture investments in Africa, regardless of climate change, have always been viewed as problematic due to the structure of the sector consisting mainly of smallholder farmers. However, the perceived risk of the smallholder agriculture sector in Africa has been exacerbated by the unpredictability of climate change. In the context of changing climate and its variability, investments in climate-resilient and low-emission agriculture are perceived as high risk, especially by the local banking sector. There is currently a limited financial product available for the agriculture sector and existing products involve high interest rates, collateral requirements, and short repayment periods.

4. The programme addresses the financial and non-financial barriers that prevent more CCA financing in Eastern Africa. The programme will provide CCA loans to smallholders and rural MSMEs through a leading commercial bank in the region. CCA loan products, which will aim to pass the concessionality to the end borrowers, will be financed as follows:

- (a) 40 per cent of the loan programme will be distributed by the host bank (Equity Bank) by providing direct micro-loans to smallholder farmers
- (b) 30 per cent of the loan programme will be distributed by the host bank and subsidiaries by providing direct loans to small and medium-sized enterprises; and
- (c) 30 per cent of the loan programme will be distributed by providing wholesale loans to MFIs, SACCOs which will on-lend for climate adaptation as per eligibility criteria.

5. As a result, the programme would strengthen the resilience of the target beneficiaries in the nascent CCA financial sector and thereby support sustainable agriculture, food and water security, resilient livelihoods and improved sustainable land use.

6. More directly, the programme aims to enhance CCA finance access for smallholders and rural MSMEs involved in the food system, impacting 1,160,000 direct beneficiaries and 330,000 indirect beneficiaries, in the following ways:

- (a) It is expected to provide new loans to 260,000 smallholders and 500 MSMEs worth USD 710 million through revolving loans.
- (b) It will strengthen awareness and improve the capacity of 20 participating financial institutions to provide rural CCA finance services.
- (c) It will improve the capacity and awareness of the smallholders and rural MSMEs by raising financial literacy and their knowledge of CCA financial products and services.
- (d) A taxonomy will be used as a key governance tool to identify eligible and bankable CCA investments. The taxonomy prepared by IFAD is an impressive foundational tool which, if successful, can be widely replicated in the areas of the banking sector aiming to enter adaptation finance. However, IFAD must ensure that it be adopted as part of Equity Bank's due diligence process, and that it does not become merely another check-box tool used by the loan officers.

7. The main risk to the programme achieving its desired impact is the executive entity aiming to recycle loans when they are paid back by the end beneficiaries. From a perspective of scale and its impact, this makes sense, as this design utilizes the same capital multiple times over the lifetime of the programme, so that it reaches many more people. However, the trade-off of recyclable capital is that, ultimately, loans may need to be short-term and there may be undue pressure on the end beneficiaries to pay back over shorter periods of time that they are able to. These beneficiaries are particularly vulnerable to unpredictable climate-related events, such as droughts, which could delay, minimize, or ruin yields, making the short tenors of loan repayments risky. This is a risk which is currently not sufficiently addressed in the design of the programme.

8. CCA loans may enable the end beneficiaries to be more productive and resilient, but they could also negatively impact the financial resilience of these beneficiaries and, in the process, reconfirm to the financial sector that this segment is not bankable, which would undermine the paradigm shift potential.

9. Other factors potentially undermining the impact include:

- (a) Equity Bank being unable to place loans due to a lack of an investible pipeline (driven, among other things, insufficiently incentivized loan officers but also due to the fact that Equity Bank has a strong network in the target sector but still a nascent track record in the other subsidiaries);
- (b) Limited utilization of the loan if Equity Bank does not pass on the concessionality of the GCF/IFAD loan (subsidized pricing plus additional first loss) to loan clients, and
- (c) The dependence on IFAD raising the balance of the funds.

2.2 Paradigm shift potential

Scale: Medium

10. **Scale:** The creation of financial products in the banking system tailored to small holders and MSMEs in the agriculture value chain, both to improve their efficiency and to increase their resilience to climate change. The programme has correctly identified interventions such as:

- (a) Improving the management information system and technical support to enable a participating financial institution to pilot digital technologies such as geographic-based information about the agricultural models and expected yields;
- (b) Developing digital payments and mobile banking financial services; and

- (c) Implementing data analytics trainings to make data-driven decision credit assessment and risk management of the loans.

In addition, IFAD has developed a systemic and analytical approach to CCA financing by developing a first-of-its-kind adaptation investment taxonomy. If successful, this tool would provide an appropriate conceptual framework for scaling investments in this sector via a systematic, analytical approach that can be adopted by other financial institutions.

11. **Profitability:** Given the small size of the loans, the ability to use digital technologies successfully could showcase how banks and other financial institutions could reach this segment profitably and at scale.
 - (a) Identifying and piloting adaptation finance for the agriculture sector could bring the nascent financing form grants to commercial viability, further strengthening the options for supporting some of the most vulnerable segments of the population in East Africa.
12. **Co-financing from a regional bank:** IFAD ARCAFIM loans being matched 1:1 by Equity Bank (the executing entity) and a regional commercial institution already showcases the potential for CCA financing.
13. One key point to flag is that the programme is limited to one institution: Equity Bank. It is unclear how this will enable transformation of the entire industry. A stronger paradigm shift would have been to apply at least the technical assistance component of the programme to other banks over time.
14. Finally, there also is no convincing theory of how this programme will, over time, enable replication with less subsidy and risk mitigation.

2.3 Sustainable development potential

Scale: High

15. Small rural producers are responsible for an estimated average of 80 per cent of food production in Sub-Saharan Africa, while MSMEs involved in food systems provide services, valuable jobs, and income opportunities to rural low-income populations. These two segments disproportionately experience the effects of climate change and external shocks on their livelihoods. To maintain and improve their levels of productivity, they urgently need dedicated investment resources to build greater resilience to climate change but have been struggling to attract sufficient financing. Hence, the ARCAFIM programme – if it can deliver sufficient and cost-effective financing – would achieve high co-benefits:
16. Social and environmental potential co-benefits include promoting food security, improving quality of land through sustainable land management practices and higher returns of land and labour, which will positively affect the livelihoods of farmers.
17. Economic potential benefits include increased crop yields, resulting in higher income for farmers and increased resilience of the agriculture sector.
18. Gender & Age/related co-benefits: The programme will target 50 per cent programme resources to women-led investments and generate employment for women. It will also target 30 per cent of programme resources to youth. Increased financial and technical services will target female small-scale farm operators and women-led agribusinesses.

2.4 Needs of the recipient

Scale: High

19. The ARCAFIM target countries under Phase 1 in East Africa region are Kenya, Rwanda, Uganda, and the United Republic of Tanzania, selected for the following reasons:

- (a) They are either low-income countries or lower middle-income countries;
- (b) All are under severe climate change stress, which is higher than average in developing countries, as stated by the Intergovernmental Panel on Climate Change (IPCC) report, *Climate Change 2022: Impacts, Adaptation and Vulnerability*¹;
- (c) There is a substantial market of small-scale agriculture production with high potential for rural CCA financing; and
- (d) The Equity Bank has significant operations and suitable delivery networks to reach the intended ARCAFIM target groups with CCA finance products.

20. As mentioned above, the main concern is how the knowledge gained by any success of CCA financial products in agriculture will be shared with the whole industry – rather than limited to only one institution and its related network of MFIs and SACCOs. The independent Technical Advisory Panel (TAP) is reassured by the fact that IFAD's innovative CCA taxonomy for agricultural value chains tool will be widely shared with the market (as confirmed by IFAD in the written questions and answers).

21. The scale and intensity of climate risks, and the vulnerability to climate change within the target group, are explained in the funding proposal and the country vulnerability assessments. More than 70 per cent of the population still live in rural areas, where population growth continues, and people rely heavily on climate-sensitive rain-fed agriculture. Projections indicate that the reduced crop productivity is expected to increase poverty and food insecurity². The resources needed for adaptation continue to increase and it is evident that the involvement of the private sector is crucial. The programme aims to provide long-term CCA capital in this nascent sector of low-income or lower middle-income countries.

22. Small-scale farms account up to 90 per cent of crop production in the region and the main source of employment³. By providing CCA loans to this sector, the programme will address the economic and social needs for the smallholders and rural MSMEs. The financial proposal emphasizes the lack of alternative sources of funding for this sector and correctly identifies how the current funding market does not serve target market, except for grants.

2.5 Country ownership

Scale: High

23. The programme would directly contribute to the implementation of the commitments in nationally determined contributions (NDCs) national adaptation plans, national climate change strategies and policies of the four target countries.

¹ IPCC. 2022. *Climate Change 2022: Impacts, Adaptation and Vulnerability*. Available at <<https://www.ipcc.ch/report/sixth-assessment-report-working-group-ii/>>

² USAID. 2020. *Climate risk profile: East Africa*. Available at <https://www.climate-links.org/sites/default/files/asset/document/2020_USAID_ATLAS_CRP-East-Africa-Regional.pdf>.

³ Ibid.

24. The adaptation component of the target countries' NDCs requests focus on the following objectives⁴:

- (a) Enhanced adaptive capacity and climate resilience of the agricultural sector;
- (b) Promotion and scaling up of climate-smart agriculture interventions to increase productivity in an environmentally sustainable way;
- (c) Development and wide sharing of a knowledge system; and
- (d) Mobilization of financial resources from foreign and domestic capital markets.

25. The programme will have a commitment of co-financing and implementation from a leading commercial bank in the region, Equity Bank, subsidiary of Equity Bank Holdings Limited. Equity Bank Kenya will on-lend the loan to Equity Bank Uganda, Equity Bank Rwanda, and Equity Bank Tanzania through sub-loan agreements. Equity Group Holdings is the largest banking group in the region and has a strategic focus to increase its rural and agricultural portfolio, a track record of micro lending in the agriculture sector, a strong balance sheet to match the international capital investments, and an ability to hedge fund in USD and disburse in local currencies. The programme will ensure the bank will scale up its overall environmental and climate change strategy, strengthening its capacity to develop, assess and implement climate adaptation financial products.

2.6 Efficiency and effectiveness

Scale: Medium

26. The programme will provide CCA loans to smallholders and rural MSMEs, and expects 1,160,000 direct beneficiaries, which represents 0.7 per cent of the population, and 330,000 indirect beneficiaries, which represents 0.2 per cent of total population.

27. The co-financing ratio is 1:2.6, and the programme aims to leverage USD 55 million of co-financing from international institutions and USD 90 million from a regional commercial bank.

28. The financial sustainability of the programme is highly dependent on GCF participation. The programme includes a strategy to phase out GCF support and operate on a commercial basis in the long term.

29. The programme will also provide training and on-lending to four equity group subsidiaries and 20 participating financial institutions, which would ensure that CCA loans become mainstreamed in the financial ecosystem.

30. **Ecosystem building:** There is a satisfactory selection of a regional African executing entity with strong local branches in all four countries. In the East Africa region, the Equity Group Holdings operates in ARCAFIM target countries, having a wide rural branch network supported by a large number of banking agents. In total, the Equity Group Holdings has over 330 branch offices and over 53,000 agents in the ARCAFIM target countries. With this significant outreach, and its history as an active lender to small-scale farmers, Equity Group Holdings is well equipped to provide CCA loans directly to smallholders and rural MSMEs. Therefore, direct loans to end borrowers are expected to have a large share of the ARCAFIM portfolio in East Africa.

31. Generally, there is a risk that concessionary credit lines to specific banks may distort markets and create dominant or monopolistic institutions. This happens when the concession is

⁴ Kenya. 2020. *Updated Nationally Determined Contribution*; Republic of Rwanda. 2020. *Updated Nationally Determined Contribution*; The United Republic of Tanzania. 2021. *Nationally Determined Contribution*; The Republic of Uganda. 2022. *Nationally Determined Contribution*.

captured by one institution which comes to dominate a market and may have market distortionary effects. This risk is apparent in the present programme.

32. The risk of market distortion may be mitigated in this programme if there are alternative channels to Equity Bank that effectively reach the ARCAFIM target group with CCA financing services. The programme targets 30 per cent of the loans volume to be issued through other lenders such as rural SACCOs and MFIs, which operate with large rural clienteles in this region.

33. In order to support a market-based and sustainable interbank lending market in the region, there is a strong rationale for Equity Bank to lend through MFIs and SACCOs. The commercial banks in the region have a significantly higher liquidity position compared to SACCOs and MFIs, which are less able to mobilize savings and international capital. On the other end of the spectrum, local commercial banks have less appetite to invest into the growing agriculture market – compared to SACCOs and MFIs – but many have a better ability to access capital and have high liquidity. Despite this unbalance in capital accumulation in the financial market, SACCOs and MFIs have limited opportunities to lend from the commercial banks to increase their investments among rural clients. Therefore, strengthening the channel between Equity Bank (which can serve as an example for other commercial banks in the future) and the smaller local financial intermediaries would be key to achieve a sustainable market-structure for climate adaptation investment that would not need to rely on donor-supported or government-led funds but would function through private-sector market interests.

34. Given that strong rationale, the independent TAP found it surprising that a minimum 30 per cent overall portfolio target for on-lending through other channels (which are not Equity Bank) is not predetermined in the subsidiary loan agreements and recommend it is included in the relevant legal documents between IFAD and Equity Bank.

35. ***Strong executing entity with regional outreach in the target countries and target sectors:*** Based on IFAD's extensive rural finance experience in Africa and reviews of financial markets in the targeted countries, as well as interviews with several candidate banks, Equity Group was selected as the host bank for the executing the ARCAFIM programme in East Africa. The criteria for identifying the host bank identification included a status of a leading commercial bank in the targeted countries, solid institutional and financial conditions, a strong interest in agriculture and rural finance operations as reflected in the size of portfolio or foreseen strategies to scale up lending to the sector, a corporate objective to develop and scale up the bank's climate finance and particularly climate adaptation finance operations, a regional branch or agency network to operate in at least four or five countries relevant to ARCAFIM, a strong expressed interest to manage and co-finance the ARCAFIM programme, and established governance, social and environmental management structures.

36. The regional approach, based on a strong regional executing entity, will allow the programme to achieve economies of scale and efficiency, and demonstrate a significant effect by leveraging the strengths of a large-scale regional partner organization with a high level of environmental, social and governance integration in its operations, a strong balance sheet, appropriate operational capacities, and an ability to hedge fund in USD and offer loans to low-income borrowers in local currencies. The phased approach will also enable learning by testing the implementation of the model with strong partner organizations in East Africa and integrating lessons learned into effective messages on how to promote CCA finance on a wider scale over the African continent.

Overall remarks from the independent Technical Advisory Panel

37. The IFAD ARCAFIM is a well-designed programme which aims to lower barriers to CCA finance for agricultural and rural beneficiaries in East Africa. The independent TAP commends the programme for tackling both the supply of adaptation credit (especially the CCA finance taxonomy for the food system) and the demand by the end beneficiaries for such credit.

38. The independent TAP also commends the partnership with a regional bank, Equity Group, as an executing entity, which already has wide-reaching networks in the region, along with its large contribution to the funding of the programme at USD 90 million. In addition, if the programme is well executed, it may have long-term, market-making potential in enabling large commercial banks to on-lend to smaller and less well capitalized micro-SME finance and SACCO institutions.

39. Therefore, the independent TAP endorses this funding proposal, subject to the conditions below:

40. **Condition 1: Subsequent fundraising condition:** IFAD states that for the balance of USD 45 million that it needs to raise -- in addition to the USD 45 million funding from GCF -- it is in negotiations with the Nordic Development Fund and the Government of Finland. It is not guaranteed that these funds will materialize. In order to ensure the programme's ability to leverage GCF capital to crowd in additional capital in CCA financing, the independent TAP would add a condition that GCF funding be disbursed pro rata to additional funding raised by IFAD.

41. Condition 2: Passing on the concessionality to end beneficiaries.

(a) Under the terms of the proposed loan agreement between Equity Bank and IFAD (acting as trustee for the GCF), and as currently indicated in the Operations Manual (Annex 21), Equity Bank will have to submit inclusion notices to motivate successive disbursements. Under the current terms of the Operations Manual, Equity Bank would not have to provide evidence that it passes on at least a portion of the concessionality (consisting of the below-market interest rate combined with the first loss risk mitigation) of the IFAD/GCF loan to its clients and beneficiaries (e.g. in terms of tenor and/or interest charged). (The Operational Manual only stipulates that "[...] each Qualifying Loan must be provided at the lowest end of market interest rate range as compared to similar risk sharing products provided by similarly mandated financial institutions, however, not below an interest rate viable for the market in order to avoid potential market distortion.") The Operations Manual, and ultimately the loan agreement between IFAD and Equity Bank, should contain a provision making it obligatory for Equity Bank to provide, as part of the inclusion notice, evidence that the concessional terms of the IFAD/GCF facility are passed on to its loan clients. Such evidence could include calculations of the amount Equity Bank would have charged its loan clients if it had funded these loans from its own balance sheet, or other objectively verifiable market benchmarks.

(b) IFAD should also foresee implementation of an annual audit to determine whether Equity Bank has passed on concessional terms to its loan clients. These audits would involve a comprehensive review of the Equity Bank loan portfolios, interest rates charged and compliance with the conditions set by IFAD.

42. The independent TAP would also add the following three recommendations, which would enable the programme to achieve its stated climate, economic and social co-benefits:

43. **Recommendation 1: Minimum lending through different local intermediaries:** Given the high risk of market distortion, where existing rural SACCOs and MFIs have limited access to finance, it is important to maintain that at least 30 per cent of the loans to end beneficiaries are disbursed through these intermediaries. In other words, the independent TAP suggests that a maximum of 70 per cent of the loans be channelled through the host bank or its subsidiaries.

44. **Recommendation 2: Incentivizing loan officers:** (Concessional) lines of credit are a tried and tested method to drive investment in climate action through local financial intermediaries. However, experience shows that many lines of credit, and especially those that are designed to achieve ambitious promotional objectives, are not drawn. The commitment fee that is envisioned (0.5 per cent annually on undrawn amounts) provides Equity Bank with a strong incentive to utilize the line of credit provided by IFAD. However, the key will be to

properly incentivize loan officers in the respective Equity Bank country operations to originate a portfolio of new projects that would qualify under the terms of the programme. There is significant theoretical demand, but that will have to be translated into a pipeline of investible opportunities for Equity Bank. Equity Bank should be required to submit, prior to first disbursement, a more comprehensive plan of how it will incentivize and support its loan officers to originate this new target portfolio.

45. ***Recommendation 3: Monitoring gender equality and social inclusion indicators:*** Among the 260,000 loans (worth USD 266,000,000) expected to be disbursed across the four East African countries, 50 per cent of beneficiaries are expected to be women and 30 per cent youth. For the maximum 70 per cent of the loans to be disbursed through Equity Bank directly or through subsidiaries, the independent TAP recommends that IFAD tracks whether beneficiaries are 50 per cent women and 30 per cent youth (to be defined) in each of the four countries, and report to GCF on whether the targets have been met, and if not, why not. If such targets are consistently not met over a period agreed with the GCF Secretariat, IFAD is to investigate and report back on why the targets have not been met.

Response from the accredited entity to the independent Technical Advisory Panel's assessment (FP220)

Proposal name:	Africa Rural Climate Adaptation Finance Mechanism (ARCFIM) for East Africa region
Accredited entity:	International Fund for Agricultural Development (IFAD)
Country/(ies):	Kenya, Uganda, United Republic of Tanzania and Rwanda
Project/Programme size:	Medium

Summary

Targeted programme size description needs to be revised as follows.

- IFAD 45 million (to be raised)
- IFAD (Nordin Development Fund) 15 million.
- IFAD (Government of Finland) 10 million -> to be changed to 30 million.
- Unfunded: 20 million -> to be deleted, as the programme is fully funded

Recipient of GCF assistance:

- Indirect loans include lending through value chain companies, in addition to MFIs, and SACCOs.

Impact potential

7. "However, the trade-off of recyclable capital is that, ultimately, loans may need to be short-term and there may be undue pressure on the end beneficiaries to pay back over shorter periods of time that they are able to."

- This risk is mitigated through the commercial viability assessment of each climate change adaptation investment option, and through the financial institutions' risk analysis for each individual loan. The assessments also capture the payback period.

Paradigm shift potential

14. Finally, there also is no convincing theory of how this programme will, over time, enable replication with less subsidy and risk mitigation.

- Once the project demonstrates the successful implementation with low default ratio for CCA financing, EB and PFIs will be able to quantify the risk for CCA financing, which will enable replication with less subsidy and risk mitigation.

Sustainable development potential

...

Needs of the recipient
...
Country ownership
...
Efficiency and effectiveness
Overall remarks from the independent Technical Advisory Panel: Condition 1: Subsequent fundraising condition: The independent Technical Advisory Panel (TAP) would add a condition that GCF funding be disbursed pro rata to additional funding raised by IFAD. • Agree. The suggested condition is already included in the term sheet. Condition 2: Passing on the concessionality to end beneficiaries: a. The Operations Manual, and ultimately the loan agreement between IFAD and Equity Bank, should contain a provision making it obligatory for Equity Bank to provide, as part of the inclusion notice, evidence that the concessional terms of the IFAD/GCF facility are passed on to its loan clients. Such evidence could include calculations of the amount Equity Bank would have charged its loan clients if it had funded these loans from its own balance sheet, or other objectively verifiable market benchmarks. • IFAD welcomes the suggested approach, which makes it easier to ensure passing on the concessionality to end beneficiaries. b. IFAD should also foresee implementation of an annual audit to determine whether Equity Bank has passed on concessional terms to its loan clients. These audits would involve a comprehensive review of the Equity Bank loan portfolios, interest rates charged and compliance with the conditions set by IFAD. • IFAD will make sure that the scope of an annual audit involves a comprehensive review of the Qualifying Loan Portfolio, as suggested. Recommendation 1: Minimum lending through different local intermediaries: Given the high risk of market distortion, where existing rural SACCOs and MFIs have limited access to finance, it is important to maintain that at least 30 per cent of the loans to end beneficiaries are disbursed through these intermediaries.

- IFAD takes note of the recommendation. Since the wholesale lending through PFIs will require significant due diligence and technical assistance, IFAD expects the portfolio for lending through PFIs will be gradually increasing during the investment period. In addition, each country has different market dynamics in terms of the development stage of the PFIs, minimum lending threshold should be carefully considered at overall portfolio level.

Recommendation 2: Incentivizing loan officers:

Equity Bank should be required to submit, prior to first disbursement, a more comprehensive plan of how it will incentivize and support its loan officers to originate this new target portfolio.

- IFAD takes note of the recommendation. Equity Bank plans to provide sufficient capacity building to loan officers for CCA financing, in addition to the Green Financing training that is currently provided to loan officers. Equity Bank has implemented KPIs for branch managers and loan officers, which includes incentives for 1). Agricultural lending, and 2). Green Finance lending. Upon the implementation of ARCAFIM, Equity Bank will consider further strengthening of the incentive mechanism for branch managers and loan officers to ensure origination ARCAFIM Qualifying Loans.

Recommendation 3: Monitoring gender equality and social inclusion indicators:

the independent TAP recommends that IFAD tracks whether beneficiaries are 50 per cent women and 30 per cent youth (to be defined) in each of the four countries, and report to GCF on whether the targets have been met, and if not, why not. If such targets are consistently not met over a period agreed with the GCF Secretariat, IFAD is to investigate and report back on why the targets have not been met.

- IFAD takes note of the recommendation. IFAD intends to report the gender equality and social inclusion indicators through Annual Portfolio Review (APR). The sex and age disaggregated data will be monitored at country level. However, please note that the target for women (50%) and youth (30%) are set at overall portfolio level.

ARCAFIM GENDER EQUALITY AND SOCIAL INCLUSION STRATEGY

INTRODUCTION

The overall development goal of ARCAFIM is “*Livelihoods in rural communities across the target countries rendered climate resilient through increased CCA investments, CCA capacity, employment creation and rural incomes*”. The key ARCAFIM objectives are: (i) increased climate change resilience of small-scale producers and rural micro-, small- and medium-sized enterprises (MSMEs) active in the local food systems through CCA investments across agricultural value chains; and (ii) improved capacity of agriculture value chain participants to adapt to risks imposed by climatic changes. An underlying ambition of the programme is to achieve a paradigm shift towards systematic large-scale use of private financial resources for rural CCA investments.

The programme has set a target to invest 50% of programme resources for women-led investments and to investments generating employment for women (and 30% for youth), and for advisory services to achieve a gender balance among the end beneficiaries in service delivery.

This annex sets out the main parameters of the gender and social inclusion (GESI) action plan for ARCAFIM. Part 1 provides a brief GESI analysis of smallholders, MSMEs and financial institutions in the context of climate change adaptation (CCA) and financial inclusion. Particular attention is paid to the importance of identifying and addressing social norms which often act as key barriers to the financial inclusion of women, youth and people with disabilities.

Part 2 provides an overview of the GESI action plan setting out the main actions and targets. These will be further developed during early implementation.

PART 1: GESI ANALYSIS

Whilst modest gains are being made by East African rural women in improving their livelihoods, gender inequalities persist in many areas, such as political representation, access to education and training, access to quality and affordable healthcare, employment, sexual and gender-based violence, and harmful cultural practices.¹ Despite the presence of progressive legal and policy frameworks promoting gender equality, their implementation is weak. In 2021, Kenya, Republic of Tanzania and Uganda lie in the lowest quartile of countries ranked on the UNDP’s Gender Inequality Index, which reflects gender-based inequalities in health, empowerment and economic dimensions.² Contributing factors include entrenched discriminatory social norms, which are reflected in the OECD’s Social Institutions and Gender Index (SIGI) and in the African Gender Index.³ Rwanda has the lowest levels of inequality and discriminatory social norms in the East Africa region.

Climate change is not only one of the greatest environmental and development challenges facing the world today, but also one that will have critical impacts on human rights and inequalities, including gender inequality, where women and girls suffer disproportionately from the effects of climate change due to a variety of social, cultural, and economic factors. Rising temperatures, irregular rainfall patterns and seasonal uncertainty will severely disrupt all aspects of rural livelihoods through widespread crop failure/loss, food insecurity and malnutrition, outbreaks of human and animal diseases, dislocation of human populations, and destruction of property and infrastructure. As livelihoods and incomes become more precarious, the viability of households and communities will be challenged. There is an ever-growing body of evidence that identifies the critical role women must play in climate change mitigation and adaptation - women are innovators, leaders, entrepreneurs, workers and customers in climate

¹ <https://moderndiplomacy.eu/2021/02/20/east-africa-the-status-of-women-remains-unequal-at-all-levels-of-society/>

² <https://hdr.undp.org/data-center/thematic-composite-indices/gender-inequality-index#/indicies/GII>

³ OECD. 2022. SIGI Policy Highlights for East Africa From Data to Policy Action: Tackling Gender-Based Discrimination in Social Institutions. OECD Development Centre https://read.oecd-ilibrary.org/view/?ref=1153_1153894-wse22t2a31&title=SIGI-Policy-Highlights-for-East-Africa

related fields. Whether at a global, national, or local level, within a political, business or social context, many are already leading the fight in the climate crisis.⁴

As global temperatures climb, widespread shifts in weather systems occur, making events like droughts, hurricanes, erratic rainfall, and floods more intense and unpredictable. Agriculture is the most important employment sector for women in low and lower-middle income countries during these unpredictable weather events. Although women, youth and indigenous peoples are disproportionately affected by the impacts of climate change and associated severe weather events, they remain underrepresented, both in key decision-making positions and as users/end beneficiaries of concessional finance for climate adaptation.⁵

Women and girls are impacted disproportionately from the effects of climate change due to factors such as entrenched discriminatory social and cultural norms, a lack of entitlements to land and other credit assets, and unequal access to land, water, and productive assets, compounded by limited mobility and decision-making power in many contexts. Their mortality from climate-related disasters is higher than that of men, and climate-induced floods and droughts exacerbate women's poverty and unpaid domestic and care work burdens. Women are impacted in their roles in smallholder cash and subsistence crop and livestock systems, including upstream and downstream MSMEs in the food value chains, to livelihoods dependent on natural resources (including fisheries, forestry and non-timber forest products). The burden of household tasks, which typically fall to women and girls - such as collecting water and fuel, or securing nutritious food - become even more onerous. As lives become more stressful, the incidence of gender-based violence and other conflicts is likely to increase.

Yet in many African countries, women are recognized as agents of change who make valuable contributions to climate change mitigation and adaptation efforts. They are building climate resilience and enhancing the livelihoods and well-being of their families by investing in climate-smart agriculture and sustainable energy solutions for home and work. They are also finding innovative ways to adapt to climate change impacts on their communities and environments,⁶ for example by switching to drought-resistant seeds, employing low impact or organic soil management techniques, or leading community-based reforestation and restoration efforts.⁷

Gender

The ARCAFIM is a timely innovation to extend loans for rural adaptation to small producers in food systems and rural value chains. Without specific initiatives to strengthen inclusion, the ability of rural women to develop resilient livelihoods through the opportunities presented by CCA finance will be constrained by a range of gender-based inequalities.⁸ For example:

⁴ Huyer S, Gumucio T, Chanana N, Cramer L, Mungai C, Ouedraogo M, Simelton E, Tavenner K, Twyman J. 2019. Learning and action for gender-transformative climate-smart agriculture. CCAFS Working Paper No. 279. Wageningen, the Netherlands: CGIAR Research Program on Climate Change, Agriculture and Food Security (CCAFS)

⁵ IFAD. 2018. How to do note: [Design of gender transformative smallholder agriculture adaptation programmes](#)

⁶ WIFCAG, Oliver Wyman Forum, 2X Global. 2023. [Applying a Gender Lens to Climate Investing](#)

https://www.oliverwymanforum.com/content/dam/oliver-wyman/ow-forum/climate/2023/WIFCAG_Gender_and_Climate_Framework_vF.pdf

⁷ Schalatek, L. 2022. Gender and Climate Finance, Climate Funds Update, ODI and HBF https://climatefundsupdate.org/wp-content/uploads/2022/03/CFF10-Gender-and-CF_ENG-2021.pdf

⁸ Koning A, Ledgerwood J, and Singh N. 2021. Addressing Gender Norms to Increase Financial Inclusion: Designing for Impact. Technical Guide. Washington DC: CGAP

https://www.cgap.org/sites/default/files/publications/2021_10_Technical_Guide_Gender_Norms.pdf

Notta S and Zetterli P. 2023. Bolstering Women's Climate Resilience and Adaptation through Financial Services. Washington DC: CGAP https://www.cgap.org/sites/default/files/publications/WorkingPaper_WomensClimateResilience_v3.pdf

Anderson J, Clause V, Mattern M and Zani K. 2023. "Strengthening Rural Women's Climate Resilience: Opportunities for Financial and Agricultural Service Providers." Working Paper. Washington DC: CGAP

<https://www.cgap.org/research/publication/strengthening-rural-womens-climate-resilience-opportunities-for-providers>

- As **smallholder producers**⁹, women tend to utilize smaller plots of less productive land than men and have fewer resources including labour, improved technologies and inputs. They focus on the subsistence production of crops and livestock with limited access to information, advisory services and engagement with markets. With insecure tenure over land and other natural resources, they may be reluctant to commit to CCA measures and unable to access finance.
- As **entrepreneurs** running micro- and small-scale enterprises¹⁰, women typically engage in low value addition activities, utilizing low-cost and labour-intensive technologies. The majority will be active at the lowest end of the scale of MSMEs (with under 10 employees and less than US\$ 100,000 revenue).
- Larger enterprises working along the food system value chains will recruit women as **employees** where they may experience gender gaps in pay, terms and conditions of employment, opportunities for advancement, and practical facilities at the workplace.
- Although many women are active members of VLSAs and SACCOs, they save and borrow small sums of money.¹¹ They often have a weak voice in intra-household decision-making regarding the use of resources, including the income they earn. In many contexts, authorization from a male is required for women to open a bank account, obtain loans, enter into a contract or register a business.
- Women's ability to **invest in CCA technologies and practices**, either as smallholders or entrepreneurs, is compromised by many factors including a lack of awareness of opportunities, low mobile phone ownership, limited financial literacy and a lack of business skills to develop sound CCA investment proposals. With insecure land tenure, a lack of an identity document, an absence of credit history and no formal bank account, women are unable to meet standard collateral requirements. They generally have an aversion to risk (especially regarding relatively new investments such as CCA) and prefer investments yielding benefits in the short-term. As a result, women often end up being offered very small short-term loans, which invariably serve only as working capital, whereas larger medium-scale and longer-term loans are needed for women entrepreneurs to move from micro-enterprise status to nascent SME status. Without access to credit, women must settle for suboptimal livelihood choices, forgoing opportunities to boost their productivity, enhance their income, and improve their climate resilience and ability to cope with a variety of shocks.
- **Financial institutions** are often hesitant to regard women smallholders and small entrepreneurs as 'safe' borrowers. This is despite evidence showing that women-owned small businesses have the lowest proportion of non-performing loans, and that women and women-owned businesses tend to be more prudent borrowers than their male counterparts. The range of financial products and services often overlook the specific needs of these groups. Indeed, gender-blind products may inadvertently reinforce gender inequalities.
- Women and women-led organizations have limited representation and engagement in **decision-making processes** relating to climate change adaptation and mitigation, rendering their views and priorities invisible.

⁹ For ARCAFIM the definition of "small producer" is based on the criteria: (i) engaged in agriculture activity in crops, forestry, livestock, aquaculture or fisheries, (ii) main household income from the agriculture activity, (iii) majority of agriculture work carried out by family members, (iv) the ARCAFIM supported small loans are appropriate for the household agriculture investments.

¹⁰ In ARCAFIM, the eligible microenterprises and agribusiness-SMEs are profit-oriented enterprises that are involved in the agricultural value chain either directly or by providing enabling services to value chain actors. Following the IFC classification, a microenterprise has less than 10 employees and revenue less than \$100,000; a small enterprise has less than 50 employees and revenue less than \$3 million; and a medium enterprise has less than 300 employees and revenue less than \$15 million.

¹¹ IFAD. 2022. In Kenya, for example, women typically receive less than 10 per cent of formal credit to smallholders and only 1 per cent of formal credit to agriculture, and instead rely on informal sources.

All these barriers reflect a range of social norms, which perpetuate negative gender inequalities and hinder women from equally participating in and benefiting from development interventions, including their ability to borrow CCA money. Gender norms can determine to a great extent the level to which women's financial inclusion is possible (see box 1). However, it is important to recognize that women are a heterogeneous group (by age, wealth, socio-economic status, marital status) and this has significant implications for their resource endowments - including labour - and their freedom to make independent decisions. In turn, this influences their information-seeking behaviour, ability to attend training, develop new skills, take out loans, adopt new practices, and make decisions regarding income earned. Among those often most disadvantaged are women heading their own households as a result of never marrying, divorce or widowhood; they typically account for around 25-30% of all households in the four participating countries.

Box 1: Examples of gender norms and their impact on financial inclusion

Negative gender norms:

- Women should not have an independent bank account
- Women should not own their own mobile phone
- Women should not make independent decisions regarding the use of their income
- Women should not take a loan without their husband's permission
- Women should be responsible for covering basic household expenses
- Women should focus their time and energy on household duties
- Women should not travel to town alone

Norm holders include traditional influencers, like husbands, parents, in-laws, community and traditional leaders and peers, and also non-traditional influencers like marriage counsellors

Rewards for following the norms include women being regarded as a role model, having the guarantee of a strong marriage, and being respected and praised by the community.

Sanctions for women who do not comply with the norms can take the form of being called negative names, divorce, suffering violence, and being disowned by one's own parents.

Norms are context specific and can change over time. For example, norms may be more relaxed for wives in polygamous marriages or when men are not able to provide for their family or as a result of men and women participating in women's rights education.

The significance of addressing the root causes of women's financial exclusion has been recognized increasingly in recent years.¹² Unless negative norms and behaviours are addressed, women still face challenges in accessing formal financial products even when customized financial products and services are available. Similarly, with the heightened focus on adaptation to climate change, the need to recognize and address the uneven distribution of vulnerability to and gender-differentiated impact of climate change is critical.¹³ Climate services can risk reinforcing the gender-

¹² See UNDP.2023. Gender Social Norms Index. Breaking down gender biases, Shifting norms towards gender equality. <https://hdr.undp.org/system/files/documents/hdp-document/gsni202303pdf.pdf>

¹³ FCCC/TP/2013/11, paragraph 15 cited in Awiti A O. 2022. Climate Change and Gender in Africa: A Review of Impact and Gender-Responsive Solutions, in Frontiers in Climate. June 2022 | Volume 4 | Article 895950 <https://www.frontiersin.org/articles/10.3389/fclim.2022.895950/full>

based inequalities if they fail to understand and effectively target the differentiated needs of both women and men.^{14,15}

Hence it will be essential for ARCAFIM to identify and address both the underlying causes of gender inequality and their symptoms, if women are to engage fully with CCA finance opportunities. This will have implications for the success of the programme in developing a more resilient agricultural sector and rural economy in the short term, as well as contributing to the sustainability of the longer-term goal to develop climate change resilient livelihoods and communities.

Youth

Populations in East Africa are youthful, with approximately 20% aged 15 – 24 years old.¹⁶ Farming and self-employment in the agri-food sector are the dominant categories of youth employment in rural areas.¹⁷ In regions where there are few employment opportunities, entrepreneurship presents a real opportunity to better their livelihoods.¹⁸ However, although the rural youth may be perceived as ‘drivers of economic development’, they can face many challenges from inappropriate education systems and inadequate skills, limited training opportunities, a lack of access to assets (including land), a lack of access to goods and services, and financial exclusion (they are often not seen as bankable). In turn, this can lead to unemployment, landlessness, financial exclusion, outmigration, and child labour in agriculture.¹⁹

Youth is a heterogeneous group (in terms of gender, age, ethnicity, cultural specificities, educational level, employment status, skills and capacities) and of a transitory nature in time. Young women face a double challenge of being young and being female, due to gender-biased norms, a higher chance of being married and pregnant at an early age, limited physical mobility, and more household responsibilities. Since youth represent a significant proportion of the population, it is essential that priorities and opportunities cater for their different livelihood options.

People with disabilities

People with disabilities typically account for around 2-5% of the East African population.²⁰ They are overrepresented among the poor, unemployed, face stigma and experience marginalization in multiple dimensions of life.²¹ Climate

¹⁴ Gumucio T, Hansen J, Huyer S and van Huysen T. 2020. Gender-responsive rural climate services: a review of the literature, *Climate and Development*, 12:3, 241-254, <https://doi.org/10.1080/17565529.2019.1613216>

¹⁵ This threatens women’s rights and directly contravenes the Convention on the Elimination of all Forms of Discrimination against Women (CEDAW). Schalatek, 2022. Op Cit

¹⁶ This is the official UN definition of youth. African governments’ national youth policies normally adopt the definition provided by the African Union, which is 18 to 35. The definition of youth is a social and cultural construction that needs to be analysed and understood as part of a dynamic process strongly influenced by the specificity of rural contexts.

¹⁷ Kubik, Z. 2022. The challenges of rural youth employment in Africa: a literature review, Working paper 212, Center for Development Research, University of Bonn
https://www.researchgate.net/publication/362052596_The_challenges_of_rural_youth_employment_in_Africa_a_literature_review#pf1a

¹⁸ Namatovu R, Dawa S, Mulira F, Katongole C and Nyongesa S. 2012. Rural Youth Entrepreneurs in East Africa: A view from Uganda and Kenya, Investment Climate and Business Environment Research Fund, Report #32/12
<https://search.issuelab.org/resources/34988/34988.pdf>

¹⁹ IFAD. 2018. IFAD Rural Youth Action Plan 2019-2021 <https://webapps.ifad.org/members/eb/125/docs/EB-2018-125-R-11.pdf>

²⁰ This figure needs to be taken with caution. The proportion of the population living with disabilities in the region is uncertain because of significant gaps in the data sets. In some instances, it is estimated it may be as high as 20%.

²¹ IFAD. 2022. IFAD’s Disability Inclusion Strategy 2022-2027 <https://webapps.ifad.org/members/eb/137/docs/EB-2022-137-R-7.pdf?attach=1>

change and external shocks tend to exacerbate these inequalities. Multiple and entrenched barriers, which are embedded in institutions, norms, attitudes and physical spaces, constrain their ability to fulfil their fundamental rights including access to health care and other vital services.

Persons with disabilities, especially young persons with disabilities, often live on the margins of their community. Families and communities may assume that they are unable to engage in mainstream activities such as attending school which subsequently results in a lack of skills; low confidence, expectations and achievement; and limited workplace opportunities. Many disabled women and children face a heightened risk of domestic and sexual violence. However, opportunities do exist to strengthen the participation of persons with disabilities in local food systems and pro-poor value chains.

PART II: GENDER AND SOCIAL INCLUSION ACTION PLAN

The programme has set a target to invest 50% of programme resources for women-led investments and to investments generating employment for women, and for the advisory services to achieve a gender balance among the end beneficiaries in service delivery. In addition, 30% of beneficiaries are to be the youth.

The objective of the ARCAFIM GESI action plan is to ensure that women, youth and people with disabilities have equal opportunity to access and benefit from CCA financing as men and to secure climate-resilient livelihoods. The action plan has four principal audiences:

- **end-users of CCA finances and ARCAFIM programme services:** smallholders, MSMEs and their communities, including women, youth and people with disabilities;
- **financial service providers:** Participating Financial Institutions (PFIs) which will be offering CCA financial services to the small producer and MSME markets, including host bank branches and agent networks, micro-finance institutions (MFIs), savings and credit cooperatives (SACCOs) and Fintechs;
- **other service providers:** such as advisory and extension staff, input suppliers, agribusinesses, value chain actors; and
- **programme management:** ARCAFIM Facility Coordination Unit at IFAD, PMU at the host bank HQ and ARCAFIM focal points at country subsidiaries.

Purpose

The purpose of the ARCAFIM programme is to make rural climate change adaptation finance work for Africa's future:

- To catalyse and scale up private sector climate change adaptation financing targeting smallholders and rural and rural MSMEs in the agricultural sector in Africa.
- To address the environmental, technical, economic, social and political factors faced by smallholder producers and rural MSMEs to adapt and build stronger resilience to climate change and thereby bring about growth and opportunity.

Theory of change, assumptions and risks

The GESI action plan is an integral part of the overall ARCAFIM. The programme will use the twin-track approach to mainstream GESI considerations into ARCAFIM operations, complemented by targeted interventions to overcome any specific barriers as necessary. This approach will enable programme opportunities to be expanded to women, youth and persons with disabilities, while also addressing the main gaps and barriers they face to inclusion.

The GESI theory of change is founded on the need to identify and address social norms that perpetuate GESI inequalities and exacerbate barriers on both the supply and demand sides of CCA financial inclusion. GESI activities are present in programme component 2 (which addresses the non-financial barriers to CCA financing) and programme implementation arrangements.

Early programme implementation arrangements will ensure there is **sufficient capacity and skills** to deliver and track GESI performance through the recruitment of specialists, selection of implementing partners, strengthening capacity of those responsible for programme delivery, and the monitoring, evaluation and learning (MEL) system.

Early GESI actions include conducting **gender and social norms diagnostic studies** at country and local levels to better understand the context in which ARCAFIM will be operating. Gender, youth and disability lenses will be applied understanding social norms, CCA technologies and practices, and financial products and services. These insights will provide the foundation for stimulating all stakeholders (from programme staff, host agency, PFIs and service providers through to community members and leaders) engage in **critical reflection on norms that perpetuate inequalities and stimulate positive behaviour change** in the inclusion-climate-finance nexus.

As a result of capacity building for critical reflection and behaviour change on social inclusion issues, PFIs will view women, youth and people with disabilities as potential eligible borrowers of CCA finance. Under sub-component 2.1, PFIs will address **supply-side barriers** to CCA finance by seeking innovative ways to establish credit worthiness in the absence of traditional collateral, providing relevant CCA products and services, and identifying digital and non-digital routes to access services.

At the community, household and individual levels, the shift in gender norms and attitudes will create an enabling environment in which women, youth and people with disabilities will be able to make independent decisions to borrow money and adopt CCA technologies and practices. Under sub-component 2.2, the **demand for CCA finance** will be strengthened by developing their climate adaptive knowledge and skills, financial literacy, entrepreneurship and business skills.

Activities under sub-component 2.3 will further strengthen the enabling environment for inclusive climate finance at the policy level.

The **outcomes** for women and youth as a result of accessing CCA finance will be securing climate change-resilient livelihoods with the benefits of food and water security (including reduced workloads associated with household tasks); improved business and employment opportunities and incomes; gains in voice and decision-making over the use of assets and outputs, including income generated; and reductions in harmful practices and domestic violence. The principal institutional gains will be the ability of the Host Bank and PFIs to expand the outreach of CCA finance to individuals that have traditionally been excluded, and a more conducive policy environment.

These outcomes will feed into ARCAFIM outcome 3 (increased CC resilience), outcome 4 (improved food and water security) and the co-benefits 1 (increased incomes) and 2 (employment generation).

The **key assumptions** that underpin the GESI pathway moving from actions to outputs and outcomes include: stakeholders are willing to engage in the process of critical reflection to understand their unconscious biases and adapt their behaviours accordingly; the PMU and implementing partners embrace the GESI agenda and ensure it is reflected in resource allocation and tracking performance; there are sufficient skilled implementing partners and

service providers to deliver high quality GESI activities; and policy makers are willing to take measures to improve the policy frameworks to strengthen financial inclusion. Upstream and downstream linkages in the food system are reasonably buoyant and small and medium enterprises provide opportunities for employment.

The risks of not addressing social inclusion issues in CCA finance include:

- Negative social norms would continue to disempower women, youth and people with disabilities, limiting their livelihood opportunities and perpetuating harmful practices including violence.
- A significant proportion of the population would not have the ability, knowledge, skills or confidence to access and use CCA finance to ensure their livelihoods to become climate change secure. In turn, this would threaten the stability of rural communities and may trigger outmigration.
- PFIs would miss the opportunity to expand their client base.

Sub-component 2.1: Awareness raising and capacity development of PFIs for CCA finance

Under sub-component 2.1, the action plan will ensure that GESI considerations are mainstreamed into the supply side of CCA finance work of the PFIs and other service providers (such as advisory services, value chain actors).

Capacity building for critical reflection and behaviour change among PFIs and other service providers:

This activity will follow on from the findings of gender and social norms diagnostic studies which will be conducted in each country during early implementation (see implementation arrangements for further details). Using participatory approaches to facilitate dialogue, trust, ownership, visioning and behaviour change at various levels, frontline staff and management from PFIs, BDS and other service providers will critically reflect on deep-rooted social and gender norms and attitudes which have an adverse effect on financial and other service provision to women, youth and people with disabilities. This will help stimulate positive behaviour change and lay the foundation for PFI staff to recognise the capacity of women and others to save and borrow money from the formal sector, and ensure financial products and services are relevant to their needs.

Technical support for PFIs (host bank and local intermediaries):

- The **CCA finance strategy** (including CCA financial advisory capacities) **and rural outreach and social inclusion strategies** will specifically address how the CCA products and services will developed and disseminated to women, youth and people with disabilities. Methods for **community engagement and outreach** will be inclusive and gender responsive. Women field staff may make it easier to engage with rural women.
- **CCA lending products and services** (including climate risk insurance) will be tailored to the needs, resources and capacities of women and youth who are small producers or micro/small entrepreneurs in the food system.²² The range of products will cover production, post-harvest and value addition activities for both household consumption and the market undertaken by smallholders and micro/small businesses. They will also include energy-saving and climate smart technologies to make all aspects of rural livelihoods more climate resilient and reduce the workload of household tasks (such as biomass production, improved stoves, solar lanterns, water harvesting and storage systems, micro-irrigation for home gardens, potable water, basic food processing).

²² Financial products could be co-developed between the PFIs and potential clients from different backgrounds to ensure their relevance. For further details, see Mayoux, L and IFAD. 2017. Financial Action Learning System (FALS) An integrated methodology for client financial empowerment and responsible financial service provision, Concept Note https://gamechangenetwork.org/wp-content/uploads/2017/02/FALS_IFADConceptNote_Marchweb.pdf

- The **taxonomy framework** for end-borrower investment eligibility will be reviewed regularly for relevance and effectiveness from a GESI perspective. The framework will adopt a holistic livelihood approach and will include technologies and practices that make both the productive and domestic aspects of rural livelihoods more climate change resilient. Adjustments will be made as necessary to make the framework more inclusive.
- Innovative ways will be used to **establish creditworthiness and assess risks** among borrowers that would enable resource poor households (including those enterprises headed by women and youth) to gain access to finance. Alternative forms of collateral could include group security or non-land assets.
- **Repayment terms** could be adjusted to meet the capacity of borrowers and enable them to adjust to unexpected shocks, with longer grace periods and repayment periods, and options for pausing repayment schedules without severe penalties.
- **Insurance products** will be tailored to reduce the risk of borrowing and protect agricultural investments against climate risk. They will be made more accessible to rural women, youth and people with disabilities by insurance providers adopting new approaches, such as flexible premium payments and bundling with other services.
- Build the **capacity of MFIs and SACCOs** to support women, youth and people with disabilities in sustainable livelihood development and agribusiness, as well as members and leaders of their organizations.

Identifying and piloting technology-enabled innovative solutions:

- **Digital financial technologies** will be used for cost-effective transactions, credit assessment and risk management. Account will be taken of gender- and youth-differentiated access to digital services, through device financing, agent networks, group ownership of tablets for accessing climate and extension information (for example, by SACCOs or farmer field schools), e-vouchers etc.).
- **Advisory packages, market information, weather and climate information** will be integrated into the mobile banking financial service interface. The content will be adapted to be relevant to the different needs of the end-users, including women, youth and people with disabilities, and disseminated in local languages.
- **Alternatives to digital services** will be developed for those with limited access to such technologies, such as community radios, information boards, public announcements on market days, village agents, mobile services etc.
- Conduct **market studies** to identify market opportunities for commodities of interest to women, youth and people with disabilities and support the growth of their enterprises.

Sub-component 2.2: CCA investment support services to small producers and rural MSMEs

Under sub-component 2.2, the action plan will ensure that GESI considerations are mainstreamed into the provision of targeted and practical technical assistance to stimulate demand for CCA finance.

Capacity building for critical reflection and behaviour change at the community level: This activity will follow on from the findings of gender and social norms diagnostic studies, which will be conducted in each country during early implementation (see implementation arrangements for further details). Participatory approaches (see box 2) will be used in the community to facilitate dialogue, trust, ownership, visioning and behaviour change with individuals, households, groups, leaders and upstream and downstream value chain actors. They will critically reflect on deep-rooted social and gender norms and attitudes in order to challenge power dynamics and bring about a paradigm shift towards gender equality and social inclusion, specifically around financial inclusion and adapting

livelihoods to climate change. Some activities will explicitly engage with norm holders, men and boys to address the concepts of masculinity, gender and stigma.

Box 2: Gender Action Learning System (GALS)

GALS and household methodologies will be instrumental in enabling gender transformation amongst smallholders in groups and in farmer groups to empower women and men towards financial inclusion, more balanced workloads, equitable decision making and benefits sharing. GALS tools will enable households to discuss the importance of climate-change adaptation and address the gender and social norms which could hinder access to financial products and the adoption of CCA technologies and practices in both productive work and household tasks.

With the exception of the Republic of Tanzania, the participating countries have service providers with extensive experience of the GALS.

For further details about GALS, see IFAD. 2022. How to integrate the Gender Action Learning System (GALS) in IFAD operations https://www.ifad.org/documents/38714170/45173373/htdn_gals.pdf/38ec05a9-d0a9-3559-6306-d73b5db550dc?t=1648470620545

Small-scale agricultural producer CCA investment promotion and financial literacy services:

- Ensure the membership and leadership of the 16,000 rural producer groups to be trained include 50% women and 30% youth (of whom 50% are young women).
- Promote inclusive **leadership** in governance structures such as community organizations, cooperatives, farmer groups, VLSAs, SACCOs and MFIs through leadership training, mentoring and developing their role as change agents.
- Through participatory engagement with the community, ensure CCA products and services meet the priority needs and resources of different groups within the food system, including women, youth and people with disabilities. Understand the **differentiated impacts of climate change on rural livelihoods** and demand for CCA options. For example, women may prefer less risky but more labour-intensive climate smart technologies if they can allocate their own labour and accrue the benefits for themselves.²³ They might prefer to invest in crops that contribute to household food and nutrition needs or new crop varieties or supplement traditional revenue with diversified production activities.²⁴ In addition, they will be interested in technologies that will make the domestic aspects of rural livelihoods more climate change resilient, such as water collection/harvesting, storage and use; fuel collection and use; food processing and preparation; and energy. Consequently, they will have different needs for weather and climate information, training and technology options based on their access to productive assets, social and gender norms, and household division of labour.
- Conduct **awareness campaigns** about CCA technologies and practices to reach the widest rural audiences through a variety of media, drama, demonstration plots, study visits and digital technologies. Include women's groups and local information-sharing mechanisms as communication channels.

²³ Lambrecht, I., Bernard, V., and Miet, M. 2016. Agricultural extension in Eastern Democratic Republic of Congo: does gender matter? Eur. Rev. Agric. Econ. 43, 841–874 <https://hdl.handle.net/10568/75754>

²⁴ World Bank, FAO, IFAD. 2015. Gender in Climate-Smart Agriculture. Washington, DC: World Bank; FAO; IFAD. Available online at: <http://documents.worldbank.org/curated/en/654451468190785156/pdf/99505-REVISED-Box393228B-PUBLIC-Gender-and-Climate-Smart-AG-WEB-3.pdf>

- Develop **CCA skills** through farmer field schools, demonstration plots, study visits. Provide opportunities for women, youth and people with disabilities to experiment with the use of climate smart technologies and practices, in particular to identify and address any potential increase in labour requirements or potential risks.
- Train and sensitize **input suppliers** on the needs of women through the GALS household methodology, enhancing the availability and relevance of the provided inputs.

Financial products and services:

- Develop and strengthen **financial and digital literacy skills and savings culture** among women and youth including basic banking skills, the use of mobile and digital banking services, and decision making on savings, borrowing money and using income earned.
- Encourage household members to identify and discuss gender norms and practices, which impact on their **attitudes towards borrowing, savings** and prepare financial vision journeys.²⁵
- Provide technical support to help develop **CCA investment proposals** through strengthening business, entrepreneurship and negotiating skills, and introducing mentoring schemes as a pathway to upgrade and expand participation by women, youth and people with disabilities in the food system.

Agribusiness CCA business development services²⁶. Activities to strengthen the GESI focus of BDS to 625 agribusinesses include:

- Ensure business support organizations understand their GESI gaps and develop products and services that are inclusive; for example, BDS training in small groups and individual consulting services is relevant and accessible; market opportunities are accessible.
- Provide **vocational training** for young women and men to strengthen their potential both in the labour market and as self-employed entrepreneurs, identify role models, use different training formats available through the internet and mobile phones.
- Embed a GESI module in **agripreneur training**²⁷ to ensure the social dimensions of entrepreneurship development are addressed.
- Ensure agribusiness employment opportunities provide quality jobs and promote the **decent work agenda** with a fair income and is undertaken in conditions of freedom, equity, security and human dignity.
- Promote **inclusive agribusiness development** across the food system and establish market opportunities for small producers; for example, by supporting farmer organizations and cooperatives, encouraging collective marketing platforms, supporting value addition through agro-processing, promoting equitable outgrower arrangements.

Sub-component 2.3: CCA rural finance policy dialogues

IFAD will be leading discussions on creating an enabling environment for climate finance with the participation of ARACFIM financiers, the host bank, PFIs and value chain stakeholders. Links will be established for experience sharing with private and public sector rural finance platforms and other green finance initiatives in the region.

²⁵ See Financial Action Learning for Sustainability (FALS) <https://gamechangenetwork.org/toolkit/fals-ifad-farmse-and-opportunity-malawi/>

²⁶ Business development service providers will participate in the critical reflection and capacity building activities under 2.1.

²⁷ Equity Bank uses International Labour Organisation (ILO) Start and Improve Your Business (SIYB) curricula

This policy dialogue presents a unique opportunity to engage government and policy makers with GESI challenges and opportunities linked to inclusive CCA finance. Engagement will be broadened to encourage collaboration and exchange between government, NGOs and civil society on the nexus between GESI, climate change and financial services. Key areas to address include²⁸:

- *Any gaps in the implementation of women's land rights.* Often gender equality in access to and control over land is established at a constitutional level with relevant policy, legal and institutional reforms, but implementation remains weak at sub-national levels as a result of a lack of knowledge, inability to access relevant information, and contradictions with customary laws. Actions may be required to increase understanding about the legal framework and strengthen implementation at the sub-national levels and below.
- *Women's representation in advocacy, policy, and decision-making roles and processes.* In 2019, the UNFCCC recognized that the 'full, meaningful and equal participation and leadership of women in national- and local-level climate policy and action is vital for achieving long-term climate goals'. However, women are often under-represented on such bodies; likewise for the youth and people with disabilities. Their participation can be increased by capacity strengthening programmes in confidence building and effective public speaking, the use of quotas, and ensuring meeting times and venues are suitable. It may also be necessary to engage with the traditional leadership on addressing any negative behavioural norms.

Implementation arrangements

The implementing structures for the GESI action plan through the host bank, Equity Bank Group, and the PFIs are presented in Appendices 1 and 2.

The activities of Equity Bank Group and its Tier 2 Financial Intermediaries will be assessed based on their expected alignment with national and international gender frameworks such as the Bloomberg Gender-Equality Index, 2X Collaborative's 2X Green toolkit, the Women Empowerment Principles (WEPs), the Gender Equality Mainstreaming (GEM) Framework, and 'A Fund Manager's Guide to Gender-Smart Investing' by IFC and CDC, and climate frameworks such as GFANZ, TCFD, the CDSB Framework, Climate Action 100+, and the Just Transition criteria from the Impact Investing Institute.

Programme management. Actions to strengthen the GESI dimensions of programme management:

- Support for GESI Action Plan implementation will be provided through the Technical Assistance, which includes capacity building at different levels including for the Host Bank, PFIs and the end beneficiaries.
- Recruit a **GESI specialist for the PMU** at the Host Bank with responsibility to oversee: (i) the gender and social norms diagnostic studies followed by the development of a detailed GESI action plan; (ii) capacity strengthening and technical support to PMU staff and agents; (iii) the recruitment of experienced service providers support gender mainstreaming and capacity building at the field level; (iv) liaison with the MEL team; and (v) ongoing technical support during implementation.
- Include a specific commitment to gender-responsive financial inclusion in the **terms of reference** of the programme manager, all staff in PMU and ARCAFIM focal points. This will be backed by **capacity strengthening** on identifying and addressing gender issues. Annual performance reviews will track staff performance on delivering GEWE and GESI goals.

²⁸ Awiti, *Op Cit*

- Ensure gender considerations are mainstreamed into all **programme components**.
- **Select implementing partners** (PFIs and other service providers) with a proven commitment to poverty reduction and gender equality, and staff with the relevant GESI skills. The PFIs will be held accountable for delivering on GESI targets.
- Seek opportunities to work with the range of **regional and national organizations supporting the growth of women as producers and entrepreneurs** (see Appendix 3).
- Ensure that **budgets** are prepared, delivered and tracked from a gender perspective, and that the funds allocated to implement gender-related activities are appropriate.
- Ensure the **PMU workplace** facilities, processes and policies are gender-responsive, supporting: gender parity in recruitment, promotion, and retention of staff; equal pay between women and men for the same grade of employment; life-work balance; policies and communications on the prevention of sexual exploitation, discrimination, harassment and the abuse of authority.²⁹
- Ensure the systematic integration of GESI considerations – including attention to representation and expertise – in the **programme's governance**, operational procedures, technical expert advisory bodies and decision-making structures.

Gender and social norms diagnostic studies and detailed design of the GESI strategy. In order to increase the financial inclusion of women, youth and people with disabilities and facilitate their economic empowerment, diagnostic studies³⁰ will be undertaken to understand how gender and social norms influence their financial inclusion³¹ (or exclusion) and their ability to adapt to climate change.

Based on this understanding, activities to guide critical reflection will be delivered to seek positive behaviour change at multiple levels – from the individual, household and community levels to PFIs, service providers and policymakers. These will be coupled with intentional efforts to address key demand-and supply-side barriers which block people's ability to participate fully in CCA financial inclusion initiatives.

The studies will be context specific and conducted in each participating country. They will complement the standard GESI analysis which examines the symptoms of gender inequality, youth, disability and poverty issues.³² The findings

²⁹ Details of the grievance procedures are presented in Annex 6.

³⁰ For a detailed guide on conducting gender norm diagnostic studies, see: CGAP and MarketShare Associates. 2022. "Gender Norms in Financial Inclusion – Diagnostic Guidance." CGAP Background Document. Washington, DC: FinDev Gateway. https://www.findevgateway.org/sites/default/files/publications/2022/CGAP%20Social%20Norms%20Diagnostic%20Guidance_fin%20al%204.pdf

Koning A, Ledgerwood J and Singh N. 2021. "Addressing Gender Norms to Increase Financial Inclusion: Designing for Impact." Technical Guide. Washington, DC: CGAP

https://www.cgap.org/sites/default/files/publications/2021_10_Technical_Guide_Gender_Norms.pdf

CGAP's Social Norms Diagnostics Framework

https://www.cgap.org/sites/default/files/publications/2021_10_Technical_Guide_Gender_Norms.pdf

CARE's Social Norms Analysis Plot (SNAP) Framework [https://www.care.org/wp-](https://www.care.org/wp-content/uploads/2020/11/TP_Social_Norms_measurementFINAL.pdf)

[content/uploads/2020/11/TP_Social_Norms_measurementFINAL.pdf](https://www.care.org/wp-content/uploads/2020/11/TP_Social_Norms_measurementFINAL.pdf)

Georgetown University's Social Norms Exploration Tool (SNET) Framework [https://gehweb.ucsd.edu/wp-](https://gehweb.ucsd.edu/wp-content/uploads/2020/01/resources_for_measuring_social_norms_guide_final.pdf)
[content/uploads/2020/01/resources_for_measuring_social_norms_guide_final.pdf](https://gehweb.ucsd.edu/wp-content/uploads/2020/01/resources_for_measuring_social_norms_guide_final.pdf)

³¹ CGAP and FinEquity, 2022 in <https://www.rfilc.org/events/tackling-the-root-causes-of-women-s-financial-exclusion/>

³² A GESI analysis typically examines inequalities in the areas of: access and control over resources and benefits; skills; workloads; decision-making and leadership; household dynamics; and well-being. It describes relevant national policies, strategies and actors; identifies the different roles, interests and priorities of women and men; and identifies the most important livelihood problems and opportunities faced by the community, as experienced by women, men, youth and people with disabilities. It also takes account of the differentiated and intersectional challenges facing different groups (for example, by sex, age, marital status, socio-economic status, health, disability).

will help shape the detailed GESI strategy to ensure that the design of CCA technologies and practices, financial services and delivery channels will lead to more effective interventions to increase CCA financial inclusion.

Capacity building and behaviour change communication for PMU and key implementing partners. Following the gender and social norms diagnostic studies, capacity development sessions will be undertaken with programme staff, government, partners and service providers (in addition to those noted under component 2.1) to initiate critical reflection on deep-rooted social and gender norms and attitudes, and their linkages with behaviours, in order to bring about a paradigm shift towards women and CCA financial inclusion.³³

Monitoring, evaluation and learning. To strengthen the GESI dimensions of MEL:

- Ensure all data in the logframe are **disaggregated** by sex, age and disability, where appropriate (including targets and data on youth³⁴).
- Train staff in the **collection, analysis and interpretation** of disaggregated data at various levels: from the communities, PFIs and other service providers, to ARCAFIM focal points at country subsidiaries, PMU at host bank HQ and ARCAFIM Facility Coordination Unit at IFAD. Use findings from data analysis to inform programme management and activities.
- Track **performance indicators**, including by sex, age, location of the borrower, loan purpose, loan disbursements and outstanding balances, as well as repayment performance.
- Establish and monitor mechanisms for tracking progress on **outreach targets** between the different levels of programme management and service providers.
- Monitor and analyse **beneficiary outreach**, paying particular attention to ensuring the average value of loans to women and youth are commensurate with those given to men for similar operations in the food system³⁵, with recommendations for remedial actions if required to strengthen outreach.
- Assess **progress on GEWE** and **GESI** through use of the project level index for the Women's Empowerment in Agriculture Index (Pro-WEAI³⁶) or IFAD empowerment index. Monitor changes in social norms, gender roles and power dynamics.
- Undertake **studies on good practices** leading to gender-responsive CCA financial inclusion outcomes and impacts and organize **knowledge management and sharing events** to disseminate findings.
- Ensure GESI issues and financial inclusion actions are addressed during **supervision missions and mid-term review**. Make provision for additional TA if it is recognised that the programme is failing to deliver on GESI targets during the mid-term review.

³³ For example, Care's Social Analysis and Action methodology facilitates dialogue, enabling critical thinking and reflection about how social conditions perpetuate food and nutrition insecurity and development challenges. <https://www.care.org/our-work/health/strengthening-healthcare/social-analysis-and-action-saa/>

³⁴ The youth target of 30% of beneficiaries needs to be disaggregated by sex; that is, 50% of the youth target is young women.

³⁵ It is important to ensure that: (i) the targets for women and youth are met through their substantive engagement in programme activities, such as entrepreneurs, not solely as minor beneficiaries, such as employees in an agribusiness; (ii) women and youth have a proportionate share of the higher value loans and are not disproportionately clustered at the lower end; and (iii) the funds available for MSMEs are not totally consumed by the larger enterprises.

³⁶ Pro-WEAI is a composite index, which is based on 12 indicators of women's empowerment in agriculture: autonomy in income, self-efficacy, attitudes about domestic violence, input in productive decisions, ownership of land and other assets, access to and decisions on credit, control over use of income, work balance, visiting important locations, group membership, membership in influential groups, and respect among household members.

ARCAFIM GENDER AND SOCIAL INCLUSION ACTION STRATEGY

Activities	Indicators & Targets	Timeline	Responsibilities	Costs
	Impact Statement: The ARCAFIM Program will seek to deploy innovative financial products along with Technical Assistance to scale up CCA finance through the local private financial sector in selected East African (EA) countries to address the unmet needs of rural producers involved in MSME food systems. ARCAFIM will mobilize US\$ 270 million in CCA investments and \$ 30 million in TA to enable vulnerable communities, including women and girls, to identify, mitigate and adapt or increase their resilience to the negative impacts of climate change. Concurrently, ARCAFIM will seek to create opportunities to enhance livelihoods, particularly for women and youth. In ensuring equitable access to the benefits of the project, including employment and income generating activities, ARCAFIM will identify the potential impact and technical assistance where possible, to support disenfranchised groups, including women, to access climate resiliency tools and knowledge products to facilitate climate-smart innovation. This will be done through the stakeholder engagement articulated in Annex 7 of the ARCAFIM funding proposal and the capacity building provided under the Technical Assistance. ARCAFIM will enable local businesses, including women-owned and/or led enterprises to adapt their existing methods, expand local markets and demand, as well as attract further investment, especially for yet to be identified adaptation products and services. Outcome Statement: ARCAFIM will secure climate change-resilient livelihoods with the benefits of food and water security (including reduced workloads associated with household tasks); improved business and employment opportunities and incomes; gains in voice and decision-making over the use of assets and outputs, including income generated; and reductions in harmful practices and domestic violence. ARCAFIM will report sex-disaggregated program level impacts to the extent possible and ensure that end beneficiary vulnerable groups are protected against harmful practices such as child labour and exploitation, in order to meet both national and International Labour Organization legal requirements. ARCAFIM will also achieve the following gender-responsive outcomes: 1. <i>Sustainable communities: ARCAFIM shall play a critical role in providing an avenue to collectively target and empower women/youth/IPs, build on their agency and operationalize this GESI Action strategy, through strengthened awareness of climate threats and risk-reduction processes as well as providing access to women, youth and IP associations and village groups in East Africa. The organizations will in turn provide access to training, collaborative efforts on tackling different aspects of climate adaptation such as land planning, agro-forestry, soil conservation practices and energy saving stoves and technology. A more detailed list of organizations can be accessed in Annex 4.</i> 2. <i>More balanced control over the four Factors of Production: ARCAFIM shall play a crucial role in promoting a balance of control between men and women program end beneficiaries over the factors of production, thereby facilitating their participation in decision-making processes.</i> 3. <i>Mitigate the disproportionate impact of climate change on vulnerable groups (women and young girls):</i>			

		<i>Increased resilience and enhanced livelihoods of the most vulnerable people and communities in East Africa via opportunities benefiting women and girls, leads to their enhanced access to resources and economic engagement. Examples of these opportunities include access to financial resources, including credit, to increase their economic power, and promotion of equal pay for equal work.</i> 4. <i>Increase the climate resilience and adaptation capacity for vulnerable communities, including women, girls and indigenous communities in EA: via tools to support them in the adoption of distributed, data-based, and efficient water technologies, and more resilient farming practices, in order to enhance access to reliable and safe water supply, despite climate shocks and stresses.</i> 5. <i>Mainstreaming gender in concessional finance for climate change adaptation and related technical advice: Apply a gender and climate lens across the investment process and ARCAFIM implementing activities of Equity Bank Group and the Participating Financial Intermediaries (e.g. KWFT, Faulu, Rafiki, TADB), via Gender and Climate Policies, as well as a Gender-Smart Climate Financing Toolkit to be used by the bank to disburse direct and indirect concessional finance for climate adaptation and gender-smart technical advice to smallholders and rural micro-, small- and medium-sized enterprises (MSMEs) in the agricultural sector in East Africa.</i> The overall budget required for the implementation of the GSIAP is estimated as USD 960,000. This amount is mostly included in the TA capacity building budget with the remainder in the Monitoring and Evaluation budget of ARCAFIM.			
Activities:		Indicators & Targets:	Timeline:	Responsibilities:	Costs (USD)
		ARCAFIM PROGRAM LEVEL OUTPUTS			
		Output 1: Establish an ARCAFIM Gender Mainstreaming Process & Outcome			
1A. Alignment to International Standards & Frameworks: The ARCAFIM program shall seek to align with national and international gender frameworks such as the Bloomberg Gender-Equality Index, 2X Collaborative's 2X Green toolkit, the Women Empowerment Principles		Indicator 1A: Report on alignment with national and international gender frameworks such as the Bloomberg Gender-Equality Index, 2X Collaborative's 2X Green toolkit, the Women Empowerment Principles (WEPs), the Gender Equality Mainstreaming (GEM) Framework, 'A Fund Manager's Guide to Gender-Smart Investing' by IFC and CDC. Indicator 1B: Report on alignment with national and international climate frameworks such as GFANZ, TCFD, the	Throughout the investment period.	IFAD, EBG GESI Expert	Will involve a mix of management time to conduct training on relevant Gender and Climate frameworks and a lump sum for preparation of training course material on relevant Gender and Climate frameworks and delivery of course over 2-3 days for 30-

(WEPs), the Gender Equality Mainstreaming (GEM) Framework, 'A Fund Manager's Guide to Gender-Smart Investing' by IFC and CDC; and respective climate eligibility frameworks such as GFANZ, TCFD, the CDSB Framework, Climate Action 100+, and the Just Transition criteria from the Impact Investing Institute.	CDSB Framework, Climate Action 100+, and the Just Transition criteria from the Impact Investing Institute. Target 1A: ARCAFIM shall aim to align its disbursement activities with national gender frameworks in the EA countries it will be implemented in, and ensure minimum compliance with international frameworks, specifically the 2X Collaborative's 2X Green toolkit & the Women Empowerment Principles (WEPs). Target 1B: ARCAFIM shall aim to align its disbursement activities with national climate frameworks in the EA countries it will be implemented in, and ensure minimum compliance with international frameworks, specifically GFANZ, TCFD and Climate Action 100+.			50 participants in each EA implementing country. Total - 40,000
2A. Maximize/Promote and safeguard the gender and social inclusion (GESI) and economic empowerment of women, socially excluded and vulnerable groups, smallholder producers and rural micro, small and medium enterprises: the ARCAFIM program will provide targeted technical advice (TA) to help deliver additional GESI impact, i.e., wider	Indicator 2A: Number of ARCAFIM-supported GESI TA provided to EBG and Tier 2 Financial Intermediaries annually. Target 2A: At least 1 GESI TA program implemented annually for EBG's ARCAFIM-implementing investment teams. Target 2A (i): At least 1 GESI TA program implemented annually for all of EBG Tier 2 Financial Intermediaries and their ARCAFIM-implementing investment teams.	Throughout the Investment period.	EBG's ARCAFIM-implementing investment teams & EBG Tier 2 Financial Intermediaries and their ARCAFIM-implementing investment teams. GESI Expert	Fees for 10 days per quarter retainer on GESI mainstreaming at a Technical Specialist rate of \$900 - \$1000 per day (exclusive of GST, VAT, and WHT). Total - 80,000

gender and social inclusion (GESI) benefits, supporting EBG and Tier 2 Financial Intermediaries to develop appropriate social safeguarding processes and to go beyond these by intentionally integrating a gender and social inclusion analysis across all areas of corporate strategy, decision making and operations.				
3A: Knowledge Generation and Communication: ARCAFIM will ensure equitable gender participation through the inclusion of women in public stakeholder meetings and events such as webinars and other convenings hosted by IFAD/GCF that discuss practical approaches to adaptation and resilience investment.	Indicator 3A: ARCAFIM will collect gender-disaggregated information from key public stakeholder meetings to track gender participation and engagement. Target 3A: 40% of the participants of ARCAFIM's key public stakeholder meetings are women.	December 2024- will occur on an ongoing basis.	ARCAFIM Coordinator (<i>or similar role</i>) working with the GESI Expert at EBG will have day-to-day responsibility for the implementation of this ARCAFIM Gender & Social Inclusion Action Strategy.	Avg. \$1000-\$5000 per quarter for each public stakeholder meeting/Knowledge generation webinar until the end of the implementation phase. (Multiply by number of EA implementing countries for total estimate or based on the geographical coverage required). Total - 100,000
4A: Actioning this ARCAFIM Gender and Social Inclusion Strategy shall require capacity building & knowledge	Indicator 4A: Number of ARCAFIM Participants receiving ARCAFIM GSIAS training annually including training on types of support available for climate	Throughout the programme implementation period	GESI Expert	Avg. \$5000-\$10000 per year for each ARCAFIM GSIAS training/Accelerator/

sharing for all ARCAFIM Participants: This will ensure the Strategy is operationalized throughout the ARCAFIM program thereby increasing knowledge on the document and strengthening staff capacity to implement the actions. This will be meted via training programs, accelerators as well as organizations that support women, youth and IP entrepreneurs in the Agri-Sector in EA.	adaptation measures (260, 000 small-scale producers as end line target). Indicator 4B: Number of ARCAFIM Participants engaging accelerators and organisations that support women, youth, and IPs in EA. Indicator 4C: Number of ARCAFIM-organized Entrepreneurship Development & Financial Inclusion with gender and climate lens training aimed at ARCAFIM participants. Target 4A: 80% of employees of ARCAFIM implementing partners participating in GSIA training within the first year of employment. Target 4B: At least 2 ARCAFIM-organized and supported accelerators annually. Target 4A: 1 training course per year. Topics will range from entrepreneurship development & financial inclusion, Awareness of climate threats and risk-reduction processes, to climate-resilient farming practices such as new water technologies and farming inputs.			Gender TA until the end of the implementation phase. (Multiply by number of EA implementing countries for total estimate). Total- 100, 000
4B: Gender technical advice & assistance: The ARCAFIM program shall provide technical advice and assistance to EBG and its implementing Tier	Indicator 4B (i): Number of ARCAFIM Gender TAs provided annually for EBG. Indicator 4B (ii): Number of ARCAFIM Gender TAs provided annually for Tier 2 Financial Intermediaries (20 PFIs - end line target).	Annually beginning in 2024	GESI Expert	

2 Financial Intermediaries throughout the investment period to enhance their understanding of the intersectionality between gender & climate.	Indicator 4B (iii): Number of ARCAFIM Gender TAs provided annually for end beneficiaries of the program. Target 4B (i): 80% of employees of ARCAFIM implementing partners participate in GSIAS training within the first year of employment. Target 4B (ii): 1 training course per year. Topics will range from entrepreneurship development & financial inclusion, Awareness of climate threats and risk-reduction processes, to climate-resilient farming practices such as new water technologies and farming inputs. Gender and social inclusion will be mainstreamed in these trainings.			
	EQUITY BANK GROUP LEVEL OUTPUTS			
	Output 2: Develop the Equity Bank Group (EBG)GESI Action Plan based on GESI Assessment and document review completed, putting the below into consideration:			
5A. EBG's ARCAFIM KPIs as aligned to the 2X Criteria: With support from ARCAFIM and IFAD, EBG will establish indicators that fulfil the banks' obligations aligned to ARCAFIM's approach to Gender Equality and Social Inclusion. This is done by establishing commitments and ambitions in terms of female ownership by promoting women	Indicator 5A: EBG commits to one of the below criteria as a women-owned company: - Capacity building of the EBG shareholders on the importance of diversity and unconscious bias. - Initiatives (targeted recruitment and promotion) to increase the ownership of women and other members of socially excluded groups, aligned to EBG's ownership shareholding ambitions in terms of female ownership.	Throughout the investment period	IFAD, EBG GESI Expert	EBG Management time, Avg. \$5000-10000 fees for training/ capacity building of the EBG shareholders on the importance of diversity and unconscious bias per year and 5 days per month retainer at Technical Specialist rate of \$900 - \$1000 per day (exclusive of GST, VAT, and WHT)

entrepreneurs at a leadership level and/ or supporting initiatives that support the appointment of women into leadership levels either directly or indirectly (outsourced).	Appointment of pre-selected female investors/board members whose vision aligns with that of EBG's vision. Target 5A: As ARCAFIM's implementing Host Bank in the East Africa region, EBG board should develop a strategy/framework to establish commitments and ambitions in terms of female ownership.			to support EBG to develop a strategy/framework to establish commitments and ambitions in terms of female ownership. Total - 40, 000
5B. Establish commitments and ambitions in terms of EBG's considerations of women as consumers by tailoring products that address critical barriers to women's economic participation and financial inclusion.	Indicator 5B: EBG commits to establishing products and services that disproportionately benefit women: Develop and innovate products and services targeting women entrepreneurs specifically those aimed at women and groups in the Agri-sector in all EBG entities in Kenya, Uganda, Tanzania, South Sudan, DRC and Rwanda. Target 5B: As ARCAFIM's implementing Host Bank in the East Africa region, EBG shall establish commitments and ambitions in terms of women as customers and consumers and commit to the indicator above.	Throughout the investment period.	IFAD, EBG	Management Time.
6A. Equity Bank Group Gender Responsive Climate Policy: A GESI assessment of the bank revealed that there is value in EBG developing a Gender Responsive Climate Policy to recognize and adequately	Indicator 6A: Report on Equity Bank Group Gender Responsive Climate Policy development. Target 6A: EBG Gender Responsive Climate Policy developed Target 6B: EBG Gender Responsive Climate Policy implemented.	By June 2025 2025 onwards	EBG, IFAD, Gender & Climate Experts.	Management time or activity included under 5 days per month gender expert retainer as per above to develop and support EBG in the implementation of

address the needs, priorities, and realities of men and women, in the disbursement of concessional finance for climate adaptation, so that men and women can equally benefit from the ARCAFIM program.				the Equity Bank Group Gender Responsive Climate Policy.
7A. EA Country Level ARCAFIM Participant Engagement: informs country level gender assessments and identify opportunities to align ARCAFIM investments with gender-related priorities at the country level.	Indicator 7A: Number of Country, TIER 2 FI and Agri-sector level consultations that identify barriers and opportunities to expand climate resilient solutions to women vulnerable to climate change. Target 7A: 1 annual country-level consultation for each EA ARCAFIM-implementing country in which Equity Bank Group will make an investment through ARCAFIM.	Annually beginning 2024.	IFAD, Nordic Development Fund, each have a dedicated, permanent employee responsible for the implementation of Gender Policies, and full integration of this gender strategy within the ARCAFIM implementing team including Equity Bank's investment teams.	Avg. \$2000-\$4000 for each annual country-level consultation per EA ARCAFIM-implementing country in which Equity Bank Group has made an investment. Total - 80,000
8A. Application of a gender & climate lens across the EBG Direct Investment process: via the Gender-Smart Climate Financing Toolkit (See Annex 5 Section for Provisional ARCAFIM Gender-Smart Climate Financing Toolkit	Indicator 8A: Number of existing and new EBG investments under the newly developed Gender-Smart Climate Financing Framework throughout the 7-year Disbursement period of the ARCAFIM Program. Target 8A: 30% of EBG's direct investments as part of the ARCAFIM program that are aligned to the 2X	Throughout the investment period.	ARCAFIM Coordinator (<i>or similar role</i>) working in collaboration with the GESI Expert will have day-to-day responsibility for the implementation of this ARCAFIM Gender & Social	Item included in 5 days per month retainer for a gender expert developing and supporting EBG in the implementation of the Gender-Smart Climate Financing Toolkit.

considerations), with an objective to channel concessional finance for climate adaptation towards direct investments or Tier 2 Financial Intermediaries who are women-owned, led/governed, who create income-generating opportunities for women the Agri-sector & Who increase usage by women, of climate resilient products and/or services. The toolkit will additionally identify and address vulnerabilities and challenges experienced by end beneficiaries in East Africa. These vulnerabilities have been detailed in the preceding sections of this strategy.	Gender and Climate Finance Toolkit Framework.		Inclusion Action Strategy.	
9A. Apply the Gender-Smart Climate Financing Toolkit to guide the disbursement of concessional finance for climate adaptation towards direct investments who are women-owned: EBG will use the tools in the Due	Indicator 9A: Report on number of EBG Direct investments in the Agri-sector that meet the follow criteria as women-owned companies: • At least 51% women-owned • Founded by one or more women. • The primary decision-maker is a woman.	Through the investment period.	The ARCAFIM Coordinator working with the GESI Expert will provide oversight of the Gender-Smart Climate Financing Framework and utilize external gender experts to	Management time.

diligence tools in the Gender-Smart Climate Financing Toolkit to evaluate and track women-owned direct investments in the Agri-sector and require them to report on gender-related actions or considerations agreed to in their gender action plans.	One of the female founders is actively involved in management (in the C-Suite) Target 9A: EBG will invest in 2 women-owned companies per country.		ensure compliance and implementation of the GCF & IFAD Gender Policies As well as the ARCAFIM Gender & Social Inclusion Action Strategy.	
10A. Apply the Gender-Smart Climate Financing Toolkit to guide the disbursement of concessional finance for climate adaptation towards direct investments or Tier 2 Financial Intermediaries who are women-led/governed: EBG will use the Due diligence tools in the Gender-Smart Climate Financing Toolkit to evaluate and track women-led/governed direct investments in the Agri-sector and require them to report on gender-related actions or considerations agreed to in their gender action plans that will be	Indicator 10A: Report on number of EBG Direct investments in the Agri-sector that meet the follow criteria as women-led/governed companies: - The business has 20% - 30% women in Senior Management - The business contains 30% share of women in the Investment Committee (IC) - The business contains 30% share of women in the Board. Target 10A: EBG will invest in 2 women-led companies in each country .		GESI Expert	

provided with the first year of ARCAFIM participation.				
11A. Apply the Gender-Smart Climate Financing Toolkit to guide the disbursement of concessional finance for climate adaptation towards direct investments who create income-generating opportunities for women, youth and Indigenous Communities in the Agri-sector: Identify opportunities within EBG direct investments as part of the ARCAFIM program, to provide a new source of income for climate-vulnerable communities, facilitate employment opportunities for women and youth and scale access to localized, asset-specific information on climate-related risks and impacts, as well as physical products and services to manage those risks and impacts.	Indicator 11A: Number of direct jobs created for women in EA within EBG's direct investment as part of the ARCAFIM program. Indicator 11B: Number of direct jobs created for vulnerable youth in EA within EBG's direct investment as part of the ARCAFIM program. Indicator 11C: Number of direct jobs created for indigenous communities in EA within EBG's direct investment as part of the ARCAFIM program. Indicator 11A: Number of Indirect jobs created for vulnerable women EA, within EBG's direct investment as part of the ARCAFIM program. Indicator 11B: Number of Indirect jobs created for vulnerable youth EA, within EBG's direct investment as part of the ARCAFIM program. Indicator 11C: Number of Indirect jobs created for Indigenous communities in EA, within EBG's direct investment as part of the ARCAFIM program. Target 11A, 11B and 11C: [Targets for number or percent of direct and indirect employment created for		GESI Expert	

	women, youth and indigenous people (11A -50% of the 7,500 overall ARCAFIM target and 11 B- 30% of overall 7,500 ARCAFIM target while 11 C is TBD)]			
12A. Apply the Gender-Smart Climate Financing Toolkit to guide the disbursement of concessional finance for climate adaptation towards direct investments who increase usage by women, youth and indigenous communities, of climate resilient products and/or services: Identify opportunities to extend physical products and services to climate-vulnerable women, youth and indigenous communities to better manage climate risks and impacts.	Indicator 12A: Number of additional women, youth and indigenous people that have been de-risked provided access to and/or are benefiting from climate resilient solutions, including localized climate risk information or physical products or services (for example women made more aware of climate threats and risk- reduction processes; made more food secure; provided improved access to water / water management solutions, etc.) Target 12A: At least 30% of all beneficiaries from ARCAFIM investments are women, youth and indigenous people.		GESI Expert	
13A: Actioning the Gender-Smart Climate Financing Toolkit shall require capacity building & knowledge sharing for all ARCAFIM implementing investment teams at EBG: This will ensure the	Indicator 13A: Number of ARCAFIM implementing investment teams at EBG participating in Gender-Smart Climate Financing Toolkit training annually. Target 13A: 80% of ARCAFIM implementing investment teams at EBG participating in Gender-Smart Climate Financing Toolkit.		GESI expert	

toolkit is operationalized throughout the Bank's implementing teams thereby increasing knowledge on the document and strengthening staff capacity to implement the actions.				
	TIER 2 FINANCIAL INTERMEDIARY LEVEL OUTPUTS			
	Output 3: Establish TIER 2 FI-Level ARCAFIM-Implementation Structure			
14A. TIER 2 FI Level Gender Assessment and Action: through the gender assessment, EBG and the TIER 2 FIs will identify GESI gaps and opportunities to mainstream within the TIER 2 FI's governance structures as well as throughout their ARCAFIM-Implementing process and activities invest in women owned (15A), led and governed companies (15B); income generation for women through direct and indirect employment (15C); and the adaptation of climate resilient	Indicator 14A: TIER 2 FI Gender and Social Inclusion Action Plan: Report on TIER 2 FI GSIAP development. Indicator 14B: Report on number of TIER 2 FI investments/CCA loans in the Agri-sector that meet one of the follow criteria as women-owned smallholder producers, Agri-sector entrepreneurs, or rural MSMEs: • At least 51% Women-owned • Founded by one or more women. • Loan beneficiary is a woman smallholder producer or entrepreneur. • The primary decision-maker is a woman. • One of the female founders is actively involved in management (in the C-Suite)	Through the investment period.	GESI Expert	Management time.

products or services by vulnerable women (15D).	Target 14A: 20 Tier 2 Financial Intermediary level GSIAP co-developed with IFAD and implemented by Tier 2 Financial Intermediaries. Target 14B: As ARCAFIM's implementing Host Bank in the East Africa region, EBG shall aim to invest ARCAFIM funds into at least 2 women-owned direct investments. Indicator 14C: Report on number of TIER 2 FI investments/CCA loans in the Agri-sector that meet one of the follow criteria as women-Led/governed smallholder producers, Agri-sector entrepreneurs, or rural MSMEs: • The business has 20% - 30% Women in Senior Management • Loan beneficiary is from a woman-led savings or self-help group. • The business contains 30% share of women in the Investment Committee (IC) • The business contains 30% share of women in the Board. Target 14C: As EBG's indirect investment within the East Africa region, the TIER 2 FI shall aim to invest concessional finance for climate adaptation into at least 5 women-led/governed direct investments within the Agri-sector in each country. Overall 560 MSMEs are targeted in ARCAFIM			
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15A. TIER 2 FI Level Gender Responsive Climate Policy: The abovementioned GESI assessment of the TIER 2 FI should action the development of a Gender Responsive Climate Policy to recognize and adequately address the needs, priorities, and realities of men and women, in the disbursement of concessional finance for climate adaptation, so that men and women can equally benefit from the ARCAFIM program.	Indicator 15A: Report on TIER 2 FI Gender Responsive Climate Policy development. Indicator 15B: Report on TIER 2 FI-specific access to markets & Services Target 15A: TIER 2 FI Gender Responsive Climate Policy developed and implemented. Target 15B: TIER 2 FI Markets & Services access strategy developed and analyzed annually.	By December 2024	GESI Expert	Fees for 10 days per month retainer for a gender expert to develop and support TIER 2 FI in the implementation of the TIER 2 FI Level Gender Responsive Climate Policy.
16A. Channel concessional finance for climate adaptation towards ARCAFIM End Beneficiaries who consist of smallholder producers, under-employed rural men, women and youth with no access to land or assets beyond their skills and time, and rural Agri-MSMEs that meet one of the 4 Direct 2X Challenge Criteria: Identify opportunities within EBG	Indicator 16A: Report on number of EBG Indirect investments/Tier 2 Financial Intermediaries with investments into the Agri-sector that meet one of the following criteria: • Meets at least one of 4 Direct 2X Challenge criteria internally within the TIER 2 FI's governance. • TIER 2 FI receiving ARCAFIM's concessional finance for climate adaptation will use this financing to support smallholder producers, under-employed rural men, women and youth with no access to	Throughout the investment period.	GESI Expert	Management time.

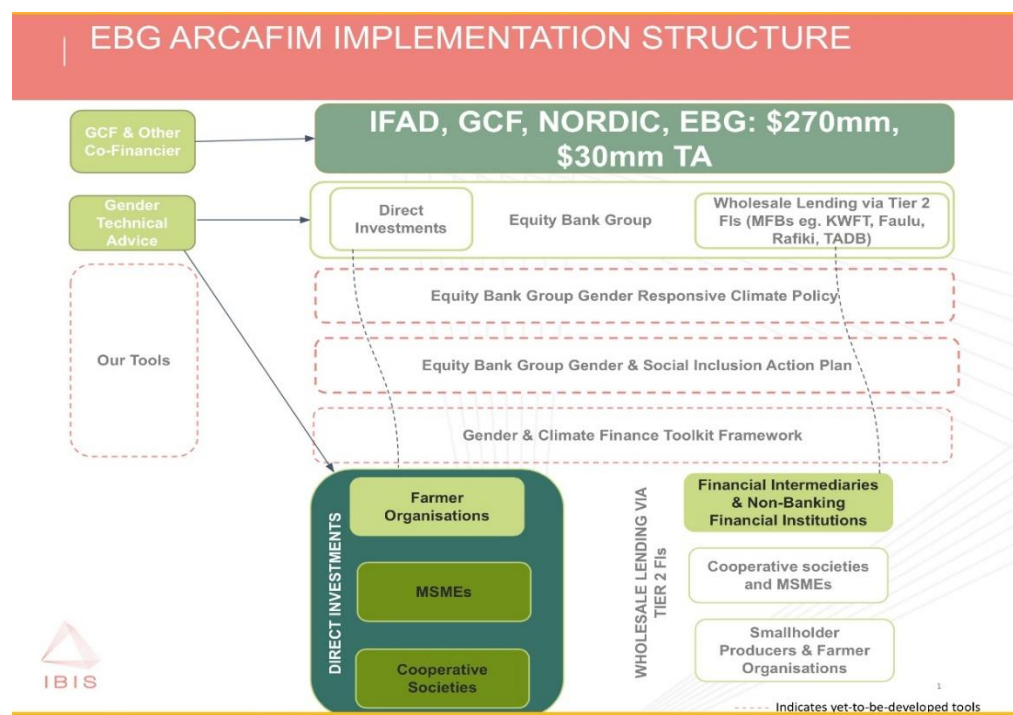
indirect investments/Tier 2 Financial Intermediaries as part of the ARCAFIM program, to receive concessional finance for climate adaptation as long as 30% of their portfolio of clients/businesses meet Direct 2X Challenge criteria.	land or assets beyond their skills and time, and rural Agri-MSMEs that meet at least one of 4 Direct 2X Challenge Criteria. Target 16A: • At least 30% of the TIER 2 FI's financing proceeds support businesses/group lending models that meet direct 2X Challenge Criteria. • At least 30% of the TIER 2 FI's ARCAFIM- Financed portfolio supports businesses that meet direct 2X Challenge Criteria. At least 30% of the TIER 2 FI's end beneficiaries of the ARCAFIM program/Groups meet direct 2X Challenge Criteria.			
17A. Channel concessional finance for climate adaptation towards Participating Financial Intermediaries who create income-generating opportunities for women, youth and indigenous communities in the Agri-sector: Identify opportunities within Tier 2 Financial Intermediaries to provide a new source of income for ARCAFIM End beneficiaries in climate-	Indicator 17A: Number of direct jobs created for vulnerable groups (women, youth & indigenous people) in the EA Agri-sector by the TIER 2 FI as part of the ARCAFIM program. Indicator 17B: Number of Indirect jobs created for vulnerable groups (women, youth & indigenous people) in the EA Agri-sector by the TIER 2 FI as part of the ARCAFIM program. Target 17A and 17B: [Targets for number or percent of direct and indirect employment created for women, youth and indigenous groups		GESI Expert	Management Time.

vulnerable communities and/or facilitate employment opportunities for women, youth and indigenous people.	will be established at the time of each EBG investment into a TIER 2 FI as part of the ARCAFIM program].			
18A: Actioning this ARCAFIM GSIAS at the TIER 2 FI level shall require capacity building & knowledge sharing for ARCAFIM implementing teams: This will ensure the Program is operationalized throughout the TIER 2 FI and its activities thereby increasing knowledge on the program and its tools and strengthening staff capacity.	Indicator 18A: Number of existing and new investment professionals participating in ARCAFIM training within the first year of employment. Target 18A: 80% of employees of TIER 2 FI Employees participating in GSIAS training within the first year of employment.	Annually beginning in 2023.	GESI Expert	Lump sum for external specialist support in preparation of training course on gender inclusion and delivery of course annually over 2 days for 30-50 participants per year at a cost of \$15-20K per year Total -100,000
Output 4: Apply a gender & climate lens to monitoring & evaluation analysis				
19A. ARCAFIM shall develop a Monitoring and Evaluation framework that provides granularity on the impact of vulnerable communities, including women and girls.	Indicator 19A: Number of ARCAFIM beneficiary businesses that incorporate gender metrics into their reporting and / or develop relevant policies, strategies, and plans that include discussion of gender. Target 19A: 100% of ARCAFIM implementing host banks (incl. EBG) and Tier 2 Financial Intermediaries	Throughout the investment period with annual reporting requirements	The GCF, IFAD, Nordic Development Fund, each have a dedicated, permanent employee responsible for the implementation of GCF and IFAD's Gender Policies, and	Management time.

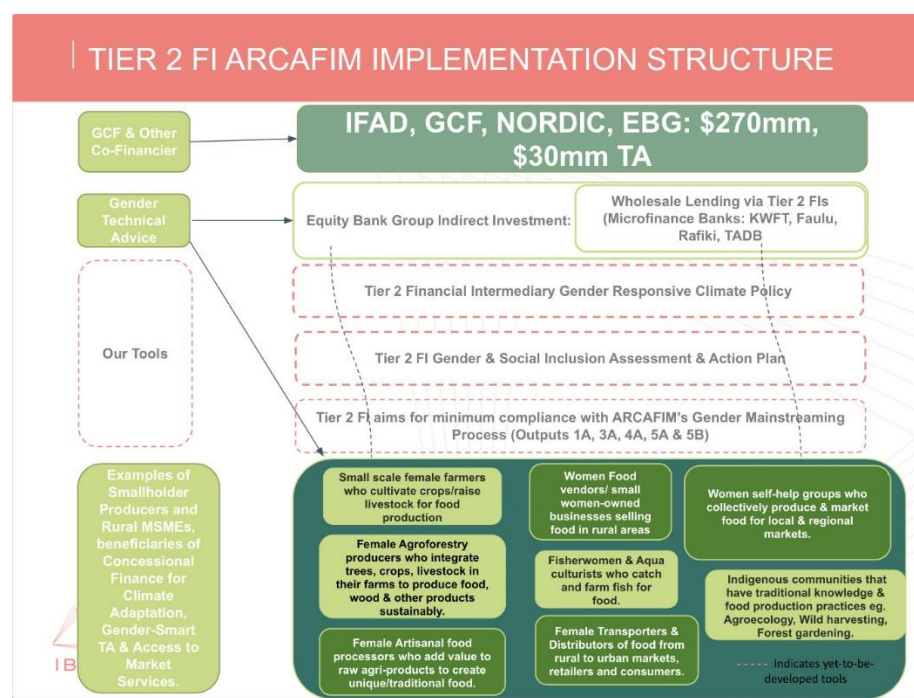
	(Incl. Faulu, Rafiki, TADB, KWFT) incorporate gender metrics in reporting and / or develop policies, strategies, and plans to address gender gaps, barriers and challenge and opportunities.		full integration of this gender strategy within the ARCAFIM implementing team including Equity Bank's investment teams.	
20A. Gender Safeguarding in Equity Bank Group and its Tier 2 Financial Intermediaries: Include protections to ensure that the employment relationship is based on the principle of equal opportunity and fair treatment and will not discriminate with respect to any aspect of the employment relationship (recruitment, hiring, compensation, working conditions, terms of employment, access to training, promotion, termination, etc.).	Indicator 20A: Monitor and report non-compliance through the ESMF and address violations, as necessary, through Environmental and Social Action Plans and GSIAPs. Verify ARCAFIM-related reporting requirements on a routine and randomly selected basis. Target 20A: Equity Bank Group and each active TIER 2 FI monitors and reports for compliance on an annual basis.	EBG and Tier 2 Financial Intermediaries will provide this data annually through the Environmental and Social Action Plans and GSIAPs developed at the bank level as well as with each TIER 2 FI.	EBG & Tier 2 Financial Intermediaries	Management time.
20B. Capacity building to expand understanding of gender responsive climate adaptation and	Indicator 20B: Monitor and report on capacity building initiatives. Verify what M&E means for each fit-for-purpose situation in different EA	EBG and Tier 2 Financial Intermediaries will provide this data	EBG & Tier 2 Financial Intermediaries	Avg. \$100-150 K per year per Tier 2 FI for or the development and implementation

resilience: Including increasing understanding by local institutions and communities of gender responsive climate adaptation and resilience and what M&E means for each fit-for-purpose situation in different EA countries as well as different approaches such as stakeholder engagement on topics such as GBVH, climate resilience and adaptation, climate-smart farming techniques, leadership skills, peer counseling (mentorship programs), technical training on resilient farming practices and use of new water technologies, as well as community-based M&E systems such as identifying impact, reporting ARCAFIM progress at a community level and evaluation mechanisms to feedback lessons learnt and challenges experienced during the implementation of the ARCAFIM programme.	countries and relevant approaches to be taken. Target 20B: Equity Bank Group and each active TIER 2 FI launches gender responsive climate adaptation and resilience M&E programs targeting stakeholder engagements, technical training and a community-based M&E System.	annually through the Environmental and Social Action Plans and GSIAPs developed at the bank level as well as with each TIER 2 FI.		of each gender responsive climate adaptation and resilience M&E program per Tier 2 FI. Annual ongoing monitoring cost would drop to 40-50K USD once framework is set up (to include approx. 2 to 3 monitoring cycles) Total - 500, 000
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ANNEX 1: The Equity Bank Group ARCAFIM Implementing Structure



ANNEX 2: The Tier 2 FI ARCAFIM Implementation Structure



ANNEX 3: Organisations Supporting Women Entrepreneurs in East Africa

REGIONAL

Organisation	Description
Eastern Africa Farmers Federation (EAFF)	EAFF is a corporate members-based regional farmers' organization founded in 2001. It is registered in Kenya under the Societies Act, with country chapters in each of its member countries which includes all the ARCAFIM's focus countries in East Africa i.e., Kenya, Tanzania, Uganda and Rwanda. EAFF's establishment was triggered by the development imperatives of the late 1990s and early 2000, especially the need to strengthen mechanisms for regional collective action to provide an opportunity for farmer organizations to engage at the regional level. One of the organization's core mandates includes active engagement of women and youth in agricultural development regionally.
Africa Women Agribusiness Network (AWAN) Afrika	AWAN Afrika is a non-profit organization limited by guarantee. Its network comprises individual members' businesses including producers, processors, aggregators, export companies, and input suppliers among others across the continent and globally. The organization provides women-owned and youth-owned agribusinesses with an E-Hub, which is a repository of information on agriculture along value chains and supply chains. AWAN Afrika Under 30 champions involves youth of either gender engaged in agribusiness.
UN Women	UN Women supports regional institutions, governments, and other stakeholders in setting up and applying a comprehensive and dynamic set of global norms, policies and standards on gender equality and empowerment of women. Through policy and technical advisory services and regional engagement, the Regional Office partners with regional bodies to support women's participation in intergovernmental policy processes such as the regional preparations for the Commission on the Status of Women - CSW, the Rio+20 follow up, the Beijing+20 review, and the Post 2015 development agenda. These processes are linked to national level gender equality and women empowerment advocacy.
ANDE GLOBAL	Through the Accelerating Women's Climate Entrepreneurs Program , ANDE global hopes to build the gender-lens investing ecosystem for women climate entrepreneurs to grow scalable climate-related businesses in Sub-Saharan Africa.

KENYA

Organisation	Description
Association of Women in Agriculture -	AWAK was conceived on the precept of scaling up agribusinesses from conventional subsistence farming to advanced climate smart agriculture, urban food security, value addition and advocacy in the quest of achieving the Sustainable Development Goals (SDGs)

Kenya AWAK	both at household and national levels.
Women Farmers Association of Kenya (WoFaAK)	WoFaAK is the national umbrella organization of women farmers in Kenya. WoFaAK is a non-political, non-government and non-religious member-based organization. The association provides the women farmers of Kenya with a platform to articulate issues affecting them in agriculture. The goal of WoFaAK is to address issues that impede women farmers from undertaking both profitable and sustainable agricultural enterprises with a view to improve their livelihoods.
Agriculture Sector Network (ASNET)	Agriculture Sector Network (ASNET) is the umbrella body representing the collective voice of the agriculture sector in Kenya. ASNET serves as the agriculture sector board for the Kenya Private Sector Alliance (KEPSA). ASNET's key role is to coordinate agriculture sector actors in Kenya through various mechanisms to engage in policy advocacy and value chain development that promote increased productivity, competitiveness and attracts investments into the agriculture sector. ASNET functions through a network of agencies and organisations such as AAK Grow, Agricultural Employers Association, Agricultural Society of Kenya, Association of Kenya Feeds Manufacturers (AKEFEMA), Avocado Society of Kenya, Cereal Growers Association (CGA), Cereal Millers Association (CMA), Commercial Aquaculture Society of Kenya (CASK), East African Tea Trade Association, Elgon Kenya Ltd, Kenya Association of Manufacturers (KAM), Kenya Camel Association, Kenya Flower Council (KFC), Kenya National Farmers' Federation, Kenya Tea Growers Association, Kenya Camel Association (KCA), Lake Naivasha Growers Group, Micro Enterprises Support Programme Trust (MESPT), National Coffee Platform, National Potatoes Council of Kenya, Seed Trade Association of Kenya and the Ustadi Foundation.
The Kenya National Farmers' Federation (KENAFF)	The Kenya National Farmers' Federation (KENAFF) is the apex, umbrella farmers' organization in Kenya; also known as the National Farmers' Organization (NFO). It was founded in 1946 to represent, articulate, promote, and protect the interests of Kenyan through lobby, advocacy, policy action and farmer empowerment. The federation also deploys a wide range of member services: Capacity building on organizational development for farmer groups/associations/enterprises. Technical advisory and market facilitation. Facilitating linkages between farmers and credit and finance institutions. KENAFF's membership comprises smallholder farmers organized in Producer Business Groups (PBGs); County Farmers Associations (CFAs); apex Commodity Associations (CAs) Cooperative Societies; Farmers' Unions; farmer-owned business entities; and, large-scale producers. The current membership is approximately 1.6 million farm families spread across all the 47 counties and the eleven (11) KENAFF regions.

RWANDA

Organisation	Description
Rwanda Women's Network	Rwanda Women's Network was founded in 1995 to end gender inequality in Rwanda by empowering women to be positive transformation agents in their homes, communities, and the nation at large. One of the organization's key pillars is socio-economic transformation which focuses on enhancing access to knowledge and building financial skills as keys to the mobilization of gender roles and economic growth in Rwanda. The organization's programs provide financial education and invest in the development of women led local small businesses.
Rwanda Youth in Agribusiness Forum (RYAF)	RYAF is a platform established to bring together different youth organizations, individual youth farmers and entrepreneurs in Agriculture Sector working in one or many of the following sub-sectors: crop production, livestock, agro-processing, inputs and other Agro-services (extension, marketing, food packaging, farm mechanization, seed multiplication etc.) as well as ICT for Agriculture in Rwanda. The platform aims to change the old mind-set among the youth vis-à-vis the agricultural sector in Rwanda, while orienting youth to reach out to other farming groups to raise awareness on the practice of business-oriented agriculture.
Youth Engagement in Agriculture Network (YEAN)	YEAN is a Youth-Led Agriculture social enterprise created to empower farmers and agripreneurs through capacity building, foster innovation, optimization of information availability, quality agriculture input access, efficient crop, and animal production technologies deployment towards contributing to the SDG Goal 2: Ending hunger, achieving food security, improving nutrition, and promoting sustainable agriculture through engaging youth as agents of change.

TANZANIA

Organisation	Description
Tanzania Youth in Agribusiness Association (TYAA)	TYAA is an umbrella association formally registered in 2022 whose membership base constitute of valued youth led enterprises, registered firms and initiatives in agribusiness and farm related value chains including cooperatives, services providers, professionals, processors, exporters and related agropreneurs.
IITA Tanzania Youth Agripreneurs (ITYA)	ITYA was formed in March 2014 to change the mindset and attitudes of young people towards agriculture and empowering them to be more productive by setting up and running successful agriculture businesses and becoming job creators. The group is engaged in different agribusinesses, including: packing of high quality cassava flour and selling under the brand 'Mpishi Mkuu', (the great cook; www.mpishimkuu.com), production of tomatoes

	under a greenhouse and drip irrigation, supply of clean cassava planting material, processing of soybean to products such as milk, yogurt, and tofu, providing weed control services to farmers using appropriate and safe herbicides, and the use of modern techniques (hermetic bags) for storage of maize and training farmers on making of high nutrient-dense foods from locally grown crops.
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UGANDA

Organisation	Description
Support for Women in Agriculture and Environment (SWAGEN)	SWAGEN is an indigenous organization founded and owned by grassroots women in Uganda. The organization came into existence in 1998 out of a felt need to go beyond engaging women at the National level due to the proliferation of women focused NGOs at the national level. Its mission is to create strong women groups capable of active participation in and meaningful contribution to mainstream national development. SWAGEN advocates for a transition to agroecology as the food production model in Africa as opposed to industrial agriculture. Agroecology is a people-centred system of sustainable agriculture combining indigenous knowledge with cutting edge science, making the best use of nature to create healthy communities. SWAGEN supports small-scale food producers to build a sustainable, resilient, diverse, healthy, productive, and culturally appropriate food system for Africa.
Association of Uganda Professional Women in Agriculture and Environment (AUPWAE)	AUPWAE is an association of professional women qualified and with vast experience in the fields of Agriculture, Forestry, Fisheries, Food Science and Technology, Environmental Science and Veterinary Medicine. Founded in 1992, it currently boasts of a membership of 300 professional women working in both private and public sectors in all regions of the country. One of their key objectives is to enhance the ability of rural women to acquire and utilize appropriate knowledge, technology and skills for improved food security, income generation and environment conservation. The organization promotes training on entrepreneurship skills and business planning, value chain development and implementation, institutional capacity development, resource mobilization and in improved agricultural and environment conservation technologies.
Rural Women Empowerment Network (ROWONET)	Rural Women Empowerment Network (ROWONET) advances equity for women and girls throughout rural Uganda through research, advocacy, capacity building, and networking. A membership organization comprising 179 women-led organizations across Uganda that represent the communities ROWONET serves, all members share a common vision: equality and socio-economic justice for women and girls. Some of the key focus areas by ROWONET include promoting climate smart agriculture, enhancing access to clean water drinking water and promoting the use of renewable energy technologies in the rural areas.
Uganda Women's Trust	UWT links the lack of economic empowerment among women to the current development challenges such as gender-based violence; education (quality, access, dropout rates, retention), corruption, maternal mortality among others. UWT has three approaches to

	women's economic empowerment: Building capacity of the women in agriculture for both household food security and household income, providing inputs and linking them to relevant services like agriculture training centres, and marketing groups. Building entrepreneurship skills among the women and encouraging the women to work in groups to save and be loanable. Enhancing adult learning and skills development so that the women can negotiate, participate and make informed decisions in all aspects of their social, political and economic lives.
Organization for Rural Development (ORUDE)	ORUDE is a grassroots NGO in south-eastern Uganda. Formed in 1997, the organization had been mobilizing and training rural women's economic groups and preparing them to absorb credit. It then helped the groups to open savings accounts with microfinance institutions (MFIs) from which they hoped their members could access credit.
Youth Go Green	Youth Go Green is a youth-led umbrella organization of youth engaged in climate change, resilience, green growth, environment protection, SDGs, and youth empowerment activities in Uganda & African countries. The organization's mission is to empower and engage young people in pursuance of low carbon socio economic development pathway. Some of its key thematic areas relevant to the project include climate change adaptation and mitigation, biodiversity conservation, green growth and youth skilling and empowerment.
The Young Farmers' Federation of Uganda (UNYFA)	UNYFA is an umbrella body for young farmers in Uganda, established in 2016, and launched in June 2017, as a duly incorporated member-based organization, with 54 members registered as District Young Farmers' Associations (DYFAs), farmer youth groups and school agricultural clubs, with a total of over 35,000 individual young farmers across the country. The organization is driven by the desire to have a holistically transformed youth in agriculture for a sustainable economy: its target group is of youth between 12 to 39 years of age who are rural and/or urban agro-based and young farmers in and out of school/ Institutions. UNYFA provides platforms for these youths where they can express and acquire tailor-made training to enhance their livelihoods.
Young Farmers Champions Network (YOFCHAN)	YOFCHAN is a network of young Agri-entrepreneurs (14 - 40 years) working together to shape the future of agribusiness. It was formed to support young farmers with the necessary entrepreneurial skills to run agri-business enterprises, incubate their agribusiness ideas into viable businesses, provide affordable finances and link them to sustainable markets for them to embrace farming as a profitable business.

ANNEX 4 SAMPLE TIER TWO FI ANALYSIS

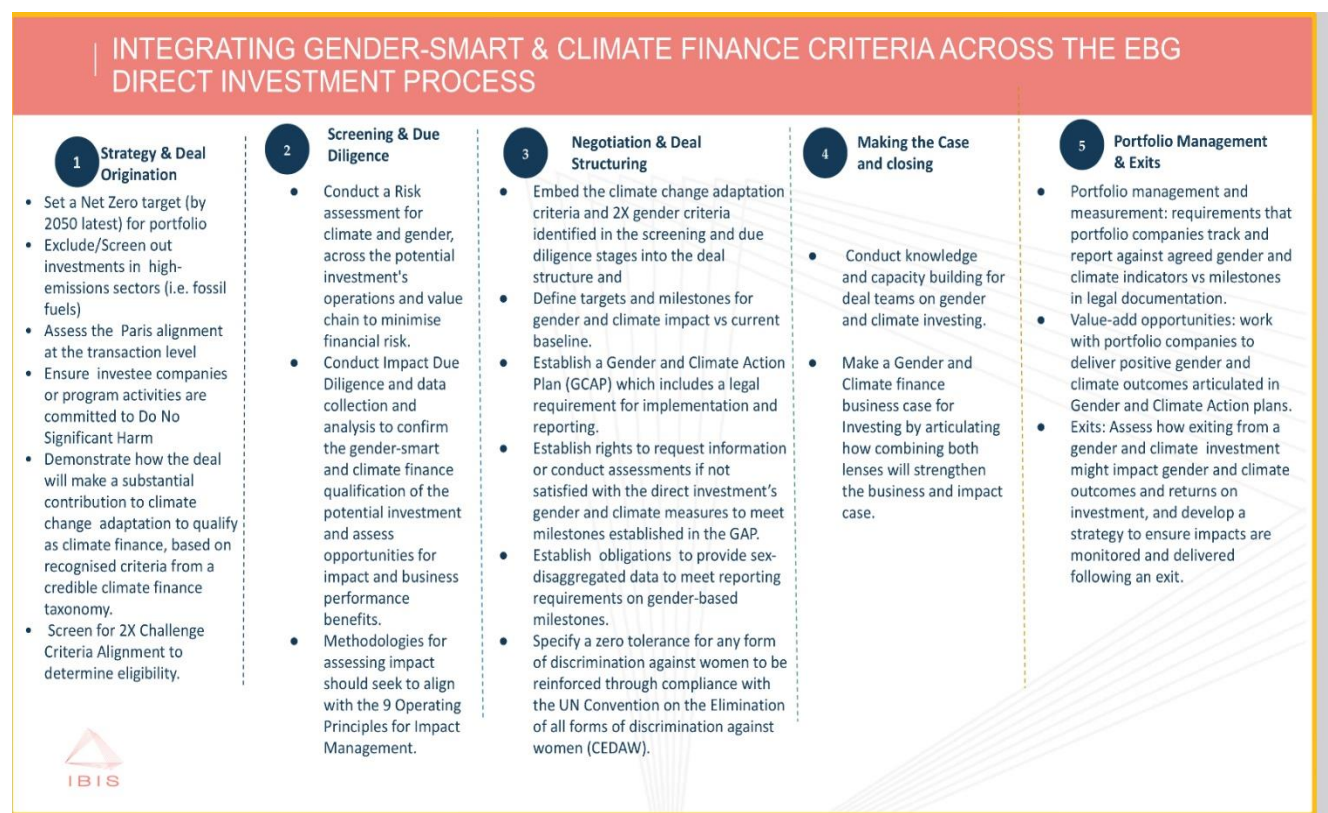
ARCAFIM has engaged a sample of four East Africa-based Tier 2 FIs to gain a general understanding of the maturity of the E&S risk management systems of potential ARCAFIM partners. The results of the ESMS assessment are provided in the table below:

Tier Two FI ESMS Comparison

	TTFI 1	TTFI 2	TTFI 3	TTFI 4
Commitment to E&S/Sustainability	Yes. Annual Report commits to sustainability approach of managing social, environmental, and economic risks	Yes. Have joined UN Global Compact, Women's Empowerment Principles, and are committed to the SDGs	Yes.	Yes.
ESG Resources/Capacity	No resource responsible for ESG.	No resource responsible for ESG.	Regional manager is driving ESG adoption. Would like to have their field staff trained on ESG. Current have been trained on OHS, fire safety, waste management.	In progress. Looking to hire dedicated ESG resource/ establish ESG unit.
Policy	No.	In progress. Recruited ESG consultant in 2023 to develop an ESG Policy and Framework.	In progress. Have a draft ESG Policy in place. Looking for a technical/financial partner to further develop.	Yes.
ESMS	No.	In progress. See above.	No.	Yes, although ESMS not fully implemented. Consultant is currently contracted to revise ESMS (developed in 2016 as part of AfDB loan).
Exclusion List	Yes Part of Old Mutual Group, use Old Mutual Exclusion List	No. Only prohibited projects are those in contravention of Kenyan law.	Yes. Included in credit policy.	Yes. Based on AfDB and other international standards.

E&S Screening/ Due Diligence	No. Investigate necessary environmental permits required by national law only.	No.	No. Have 'green finance' code to denote projects with environmental benefits, but no specific screening.	Yes. Have screening checklist, will be revamped, and better implemented as part of ESMS revision.
E&S Monitoring	No. Monitor conditions against permit only.	In progress. Currently limited reporting against UNGC and WEP. Reporting to be fleshed out through use of above consultant	No.	Yes. Currently only for bigger projects which require an ESIA. As part of ESMS revamp, all clients will have monitoring requirements.
ESG-related to support to loan recipients	No. Some CSR may be linked to sustainability initiatives	Yes. Provide 'life-touching' products to support clients on an individual level. Some relate to ESG e.g., solar to replace kerosene, prevent deforestation	Yes. Field representatives encourage borrowers to adopt environmentally friendly practices e.g., protect water bodies, forests, minimum tillage, alternative energy sources.	No. Work with partners below them who are engaging more directly with loan beneficiaries on the ground.

ANNEX 5: Gender and climate considerations across the EBG investment process to support the development of a Gender and Climate Finance Toolkit for Direct investments and Wholesale lending



ANNEX 6 The 2X Challenge Criteria

		Threshold	
Direct Criteria	1	Entrepreneurship	1A. Share of women ownership 51%
		OR	1B. Business founded by a woman Y/N
	OR		
	2	Leadership	2A. Share of women in senior management 30%
		OR	2B. Share of women on the Board or IC 30%
	OR		
	3	Employment	3A. Share of women in the workforce 30 - 50%*
		AND	3B. One "quality" indicator beyond compliance Y/N
	OR		
	4	Consumption	4. Product or service specifically or disproportionately benefits women Y/N
	AND		
Indirect	5	Investments through Financial Intermediaries (FIs)	5A. On-Lending facilities: Percent of the Investor/FI loan proceeds or percent of FI's portfolio supporting businesses that meet direct criteria 30%
		OR	5B. Funds: Percent of portfolio companies that meet the direct criteria 30%

*sector-specific thresholds